



Office of the Washington State Auditor
Pat McCarthy

Financial Statements and Federal Single Audit Report

City of Redmond

For the period January 1, 2022 through December 31, 2022

Published October 28, 2024

Report No. 1035798



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**Office of the Washington State Auditor
Pat McCarthy**

October 28, 2024

Mayor and City Council
City of Redmond
Redmond, Washington

Report on Financial Statements and Federal Single Audit

Please find attached our report on the City of Redmond's financial statements and compliance with federal laws and regulations.

We are issuing this report in order to provide information on the City's financial activities and condition.

Sincerely,

Pat McCarthy, State Auditor
Olympia, WA

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SCHEDULE OF FINDINGS AND QUESTIONED COSTS

City of Redmond January 1, 2022 through December 31, 2022

SECTION I – SUMMARY OF AUDITOR’S RESULTS

The results of our audit of the City of Redmond are summarized below in accordance with Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance).

Financial Statements

We issued an unmodified opinion on the fair presentation of the basic financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information in accordance with accounting principles generally accepted in the United States of America (GAAP).

Internal Control over Financial Reporting:

- *Significant Deficiencies:* We identified deficiencies in the design or operation of internal control over financial reporting that we consider to be significant deficiencies.
- *Material Weaknesses:* We identified no deficiencies that we consider to be material weaknesses.

We noted no instances of noncompliance that were material to the financial statements of the City.

Federal Awards

Internal Control over Major Programs:

- *Significant Deficiencies:* We reported no deficiencies in the design or operation of internal control over major federal programs that we consider to be significant deficiencies.
- *Material Weaknesses:* We identified no deficiencies that we consider to be material weaknesses.

We issued an unmodified opinion on the City’s compliance with requirements applicable to each of its major federal programs.

We reported no findings that are required to be disclosed in accordance with 2 CFR 200.516(a).

Identification of Major Federal Programs

The following programs were selected as major programs in our audit of compliance in accordance with the Uniform Guidance.

<u>ALN</u>	<u>Program or Cluster Title</u>
20.205	Highway Planning and Construction Cluster
97.047	BRIC: Building Resilient Infrastructure and Communities

The dollar threshold used to distinguish between Type A and Type B programs, as prescribed by the Uniform Guidance, was \$750,000.

The City did not qualify as a low-risk auditee under the Uniform Guidance.

SECTION II – FINANCIAL STATEMENT FINDINGS

See Finding 2022-001.

SECTION III – FEDERAL AWARD FINDINGS AND QUESTIONED COSTS

None reported.

SCHEDULE OF AUDIT FINDINGS AND RESPONSES

City of Redmond January 1, 2022 through December 31, 2022

2022-001 The City's internal controls were inadequate for ensuring proper revenue recognition.

Background

The City Council, state and federal agencies, and the public rely on the information included in the financial statements and reports to make decisions. Management is responsible for designing, implementing and maintaining internal controls that provide reasonable assurance the City's financial reporting is reliable and its financial statements are accurate.

The City prepares its financial statements in accordance with generally accepted accounting principles (GAAP).

Our audit found deficiencies in internal controls over accounting and financial reporting that affected the City's ability to produce reliable financial statements. *Government Auditing Standards* requires the State Auditor's Office to communicate significant deficiencies in internal controls as a finding.

Description of Condition

Under generally accepted accounting principles, revenues are recognized in the governmental funds in the accounting period in which they become measurable and available to finance the expenditures of the fiscal period. As described in Note 1 to the financial statements, the City considers revenue to be available if it is collected during the year or within 60 days after year-end.

We found the City had control deficiencies to evaluate the accurate recording of revenue in the accounting system and financial statements. The City recognized grant funds as intergovernmental revenues even though it did not collect these amounts within 60 days after year-end. Therefore, the City should have recognized the revenues as deferred inflows - unavailable revenue.

Cause of Condition

The City experienced turnover in key accounting positions. Further, the City's finance department revised its processes to capture all unavailable revenue. However, the new process was manual and inadequate. If a department had a year-end billing, it needed to be recorded on an Excel spreadsheet for the finance department to evaluate whether the revenue was within the 60 days after year end.

For the errors identified above, departments did not include these billings on the spreadsheet for finance to review. As a result, the amounts were reported as a revenue when it should have been a deferred inflow - unavailable revenue.

Effect of Condition

The deficiency in internal controls resulted in intergovernmental revenues being overstated by \$4,438,699 and unavailable revenue (deferred inflow) being understated by the same amount in the capital improvements fund. The City should not have reported this as a revenue since it did not collect it until March through May of 2023.

Recommendation

We recommend the City strengthen its year-end review process to ensure activities have met the revenue recognition criteria in accordance with GAAP.

City's Response

The City of Redmond thanks the State Auditor's Office (SAO) for the open communication throughout the fiscal year 2022 audit as well as the opportunity to respond to the audit finding. The City appreciates the efforts of the State Auditor's Office regarding the audit, we take full accountability for the error documented and are proactively working toward steps to prevent recurrence.

For the benefit of Redmond residents, this matter does not represent any misuse of public funds. Rather, it represents a reporting error involving grant funding received in 2023 being reported as revenue in 2022. Due to funds not being received within 60 days of year end the City should have reported this revenue as unavailable.

For the 2022 reporting period, our processes and procedures were revised to prevent this error and ensure all unavailable revenue was captured and reported accurately; unfortunately, the process put in place was very manual and was not adequate. In addition, the City was implementing a new financial software system and experiencing turnover in key accounting personnel. Positions have since been filled.

The City makes every effort to ensure accurate financial reporting and to make sure the financial statements are a true and correct representation of its financial standing and takes the accuracy of its financial reporting very seriously. Our approach includes the following:

- *Review guidance and resources available from:*
 - *The State Auditor's Office (SAO),*
 - *The Government Finance Officers Association (GFOA),*
 - *Washington Finance Officers Association (WFOA), and*
 - *Governmental Accounting Standards Board (GASB)*
 - *Accounting staff prepares the financial statements.*
 - *The Financial Planning Division reviews the statements for accuracy.*
 - *The Accounting Manager reviews the statements against best practices.*
 - *The Deputy Finance Director and the Director review the statements.*
 - *The review of our 2022 financial statements also included an external review process. The City hired an accounting firm to consult with and review the cities financial report.*

To ensure adequate reporting of grant related revenue in the future the city has taken measures to address internal controls including:

- *Process and Procedures for 2023 reporting have been updated.*
- *Staffing weaknesses have been addressed.*
- *A dedicated grant management and reporting system was implemented in 2023.*
- *Vacant positions have been filled.*
- *Capacity issues have been addressed (2 accountants were added in 2024 and 1 financial analyst).*
- *Accounting and financial reporting software systems are being considered to further address reporting requirements and deficiencies.*

Auditor's Remarks

We thank the City for its cooperation throughout the audit and the steps it is taking to address these concerns. We will review the status of the City's corrective action during our next audit.

Applicable Laws and Regulations

Government Auditing Standards, July 2018 Revision, paragraphs 6.40 and 6.41 establish reporting requirements related to significant deficiencies or material weaknesses in internal control, instances of fraud, and noncompliance with provisions of laws, regulations, contracts, or grant agreements.

The American Institute of Certified Public Accountants defines significant deficiencies and material weaknesses in its *Codification of Statements on Auditing Standards*, section 265, Communicating Internal Control Related Matters Identified in an Audit, paragraph 7.

Budgeting, Accounting and Reporting System (BARS) Manual, 3.1.3, Internal Control, requires each local government to establish and maintain an effective system of internal controls that provides reasonable assurance that the government will achieve its objective.

RCW 43.09.200 Local government accounting – Uniform system of accounting, requires the State Auditor to prescribe the system of accounting and reporting for all local governments.

Budgeting, Accounting and Reporting System (BARS) Manual, 3.6.9, Revenue Accruals in Governmental Funds.

Budgeting, Accounting and Reporting System (BARS) Manual, 3.5.1, Classification of Deferred Outflows/Inflows of Resources

SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS

City of Redmond January 1, 2022 through December 31, 2022

This schedule presents the status of findings reported in prior audit periods.

Audit Period: 2021	Report Ref. No.: 2021-001	Finding Ref. No.: 1031765
Finding Caption: The City's internal controls were inadequate for ensuring proper revenue recognition.		
Background: During 2021 the City had unusual or infrequent transactions and while City staff performed research to evaluate the accurate recording in the accounting system and financial statements, we noted it was not adequate to fully evaluate and report on these unusual transactions. The City considers revenue to be available if it is collected during the year or within 60 days after year-end. The City recognized paramedic services as revenue even though it was not collected until September 2022, nine months after year-end. Charges for Services (revenue) was overstated by \$1,099,725, and Unavailable Revenue (deferred inflow) was understated by the same amount in the Advance Life Support Fund. The City should not have reported this as a revenue since it was not collected until September 2022. Additionally, the City reports two community facilities districts as blended component units in its Capital Improvements Program Fund. A total of \$48.9 million was advanced to the City at the time both districts were formed. As of December 31, 2021, the unspent deposits totaled \$13,352,386. Unearned Revenues (liability) was understated by \$13,352,386, and Deferred Inflow – Unavailable Revenues (Special Assessments) was overstated by the same amount in the Capital Improvements Program Fund. The City should not have reported a deferred inflow because it had already received the money in advance at the time both CFDs were formed. The City subsequently corrected these misstatements.		
Status of Corrective Action: (check one) ☐ Fully Corrected ☒ Partially Corrected ☐ Not Corrected ☐ Finding is considered no longer valid		

Corrective Action Taken:

The City of Redmond disagrees with the findings of this audit. The City has a long history of accurate financial reporting and a many pronged approach to make sure the financial statements are a true and correct representation of its financial standing and takes the accuracy of its financial reporting very seriously. We have a proven track record that our internal controls and management oversight is adequate. Our approach includes the following:

- Accounting staff prepares the financial statements.*
- The Financial Planning Division reviews the statements for accuracy.*
- The Accounting Manager reviews the statements against best practices.*
- The Deputy Finance Director and the Director review the statements.*
- The review of our 2021 financial statements also included an external review process.*

The City hired an accounting firm to consult with and review the cities financial report.

In 2021 the City reported \$1,099,725 as charges for services revenue in the ALS fund for services incurred and billed in 2021. Revenue Recognition guidance in the Governmental Accounting, Auditing and Financial Reporting (GAAFR) published by GFOA, beginning on page 135; states, "Under the accrual basis of accounting, revenues are recognized when an entity obtains a claim to the resources (earning process substantially complete); regardless of when collection occurs." Guidance further clarifies revenue recognition by stating that in such unusual circumstances, where the government hasn't collected within its 60-day availability period, the government can recognize revenue based on its normal collection patterns. In this case, revenue was related to December 2021 expenditures and had been billed to King County; past practices would indicate the City would receive payment within 30 days of billing. Based on our interlocal agreement in place, King County is required to pay invoices within 30 days. This is an unusual circumstance; based on the above criteria, the City met the reporting requirements and recorded the transaction correctly. In fact, not recording the transaction would have misled the reader. The City updated the financial statements to comply with the audit team's recommendation. In addition, the City updated our policy to provide clarification; it now includes the following language, "In unusual circumstances, where payment has been delayed beyond the 60-day cut off, the City may recognize the revenue based on normal collection patterns as to not mislead the reader or distort revenue trends from one year to the next."

In 2021 the City reported Unearned Revenue related to Community Facilities Districts (CFD) 2014-1 & 2016-1. The CFDs were established in 2014 and 2016, at that time the City consulted with SAO to ensure accounting standards and practices were followed; reporting in 2021 is consistent with past practice and historical audited statements, the City recorded \$13,352,386 as Deferred Inflow – Unavailable Revenues (Special Assessments) in the Capital Improvements Program Fund. Community Facilities Districts are considered Special Purpose Districts and are legally separate entities with its own governing board. The City has no financial liability and although the funding was received in advance of the Project, funding is

not available without Board approval. Revenue Recognition guidance in the Governmental Accounting, Auditing and Financial Reporting (GAAFR) published by GFOA, provides the following guidance, “the receipt of cash is not a sufficient basis for recognizing revenue. A government must obtain a claim to resources (earning) before revenue recognition can occur.” Guidance further clarifies revenue recognition by stating that a deferred inflow of resources should be recognized for amounts not considered to be available to liquidate liabilities of the current period. Revenue should not be recognized until relevant Project costs have occurred and funding is not available without board approval. Based on the above criteria the City believes we recorded the transaction accurately. The City updated the financial statements to comply with the audit team’s recommendation.

Measures have been put in place to proactively monitor and address concerns:

- *Additional training has been provided to new staff.*
- *Processes and procedures were updated to provide additional monitoring and tracking of when revenues are billed and received.*
- *Additional levels of review for year-end receivables drafted during year end; specifically, to ensure revenue is received and recorded accordingly.*

INDEPENDENT AUDITOR'S REPORT

Report on Internal Control over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with *Government Auditing Standards*

City of Redmond January 1, 2022 through December 31, 2022

Mayor and City Council
City of Redmond
Redmond, Washington

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Redmond, as of and for the year ended December 31, 2022, and the related notes to the financial statements, which collectively comprise the City's basic financial statements, and have issued our report thereon dated October 15, 2024.

REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

In planning and performing our audit of the financial statements, we considered the City's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we do not express an opinion on the effectiveness of the City's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the City's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described above and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified.

Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, we identified certain deficiencies in internal control, described in the accompanying Schedule of Audit Findings and Responses as Finding 2022-001, that we consider to be significant deficiencies.

REPORT ON COMPLIANCE AND OTHER MATTERS

As part of obtaining reasonable assurance about whether the City's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion.

The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

CITY'S RESPONSE TO FINDINGS

Government Auditing Standards requires the auditor to perform limited procedures on the City's response to the findings identified in our audit and described in the accompanying Schedule of Audit Findings and Responses. The City's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on the response.

PURPOSE OF THIS REPORT

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control and compliance. Accordingly, this communication is not suitable for any other purpose. However, this

report is a matter of public record and its distribution is not limited. It also serves to disseminate information to the public as a reporting tool to help citizens assess government operations.

A handwritten signature in black ink that reads "Pat McCarthy". The signature is written in a cursive, flowing style.

Pat McCarthy, State Auditor

Olympia, WA

October 15, 2024

INDEPENDENT AUDITOR'S REPORT

Report on Compliance for Each Major Federal Program and Report on Internal Control over Compliance in Accordance with the Uniform Guidance

City of Redmond January 1, 2022 through December 31, 2022

Mayor and City Council
City of Redmond
Redmond, Washington

REPORT ON COMPLIANCE FOR EACH MAJOR FEDERAL PROGRAM

Opinion on Each Major Federal Program

We have audited the compliance of the City of Redmond, with the types of compliance requirements identified as subject to audit in the U.S. *Office of Management and Budget (OMB) Compliance Supplement* that could have a direct and material effect on each of the City's major federal programs for the year ended December 31, 2022. The City's major federal programs are identified in the auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, the City complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended December 31, 2022.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance)* are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination on the City's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the City's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the City's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards* and the Uniform Guidance will always detect a material noncompliance when it exists. The risk of not detecting a material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgement made by a reasonable user of the report on compliance about the City's compliance with the requirements of each major federal program as a whole.

Performing an audit in accordance with GAAS, *Government Auditing Standards* and the Uniform Guidance includes the following responsibilities:

- Exercise professional judgment and maintain professional skepticism throughout the audit;
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the City's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances;
- Obtain an understanding of the City's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control over compliance. Accordingly, no such opinion is expressed; and
- We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

REPORT ON INTERNAL CONTROL OVER COMPLIANCE

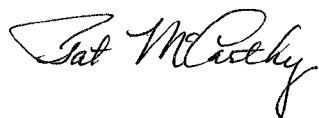
A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed. Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance and therefore, material weaknesses or significant deficiencies may exist that were not identified.

Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above.

Purpose of this Report

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose. However, this report is a matter of public record and its distribution is not limited. It also serves to disseminate information to the public as a reporting tool to help citizens assess government operations.



Pat McCarthy, State Auditor

Olympia, WA

October 15, 2024

INDEPENDENT AUDITOR'S REPORT

Report on the Audit of the Financial Statements

City of Redmond January 1, 2022 through December 31, 2022

Mayor and City Council
City of Redmond
Redmond, Washington

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinions

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Redmond, as of and for the year ended December 31, 2022, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the financial section of our report.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Redmond, as of December 31, 2022, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

Performing an audit in accordance with GAAS and *Government Auditing Standards* includes the following responsibilities:

- Exercise professional judgment and maintain professional skepticism throughout the audit;
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements;
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, no such opinion is expressed;
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements;

- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for a reasonable period of time; and
- Communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis and required supplementary information listed in the financial section of our report be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The accompanying Schedule of Expenditures of Federal Awards is presented for purposes of additional analysis as required by Title 2 *U.S. Code of Federal Regulations* (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). This supplementary information is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

OTHER REPORTING REQUIRED BY GOVERNMENT AUDITING STANDARDS

In accordance with *Government Auditing Standards*, we have also issued our report dated October 15, 2024 on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control over financial reporting and compliance.

A handwritten signature in black ink, reading "Pat McCarthy". The signature is written in a cursive, flowing style.

Pat McCarthy, State Auditor

Olympia, WA

October 15, 2024

FINANCIAL SECTION

City of Redmond January 1, 2022 through December 31, 2022

REQUIRED SUPPLEMENTARY INFORMATION

Management's Discussion and Analysis – 2022

BASIC FINANCIAL STATEMENTS

Statement of Net Position – 2022

Statement of Activities – 2022

Balance Sheet – Governmental Funds – 2022

Statement of Revenues, Expenditures and Changes in Fund Balance – Governmental
Funds – 2022

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund
Balances of Governmental Funds to the Statement of Activities – 2022

Statement of Net Position – Proprietary Funds – 2022

Statement of Revenues, Expenses and Changes in Fund Net Position – Proprietary Funds
– 2022

Statement of Cash Flows – Proprietary Funds – 2022

Notes to Financial Statements – 2022

REQUIRED SUPPLEMENTARY INFORMATION

Schedule of Revenues, Expenditures and Changes in Fund Balance – Budget and Actual
– General Fund – 2022

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PSERS, LEOFF 1, LEOFF 2 – 2022

Schedule of Employer Contributions – PERS 1, PERS 2/3, PSERS, LEOFF 2 – 2022

Schedule of Changes in Total Pension Liability and Related Ratios – Firefighter's
Pension Plan – 2022

Schedule of Changes in Total OPEB Liability and Related Ratios – OPEB Plan –
LEOFF 1 – 2022

Notes to the Required Supplementary Information – 2022

SUPPLEMENTARY AND OTHER INFORMATION

Schedule of Expenditures of Federal Awards – 2022

Notes to the Schedule of Expenditures of Federal Awards – 2022

Management's Discussion and Analysis

The management discussion and analysis section of the City of Redmond's Annual Financial Report provides an overview of the financial activities for the year ending December 31, 2022. The purpose is to highlight significant financial issues, major financial activities and resulting changes in the financial position and economic factors affecting the City. Readers are encouraged to consider the information presented here in conjunction with the information furnished in the letter of transmittal, financial statements and the accompanying notes following the financial information.

Financial Highlights

Development activity remained strong in 2022. Many employees returned to their workplace in some capacity and business continued to recover from the pandemic. As a result, sales tax and development-related revenues continued to be Healthy. Development activity was concentrated primarily in the Overlake, Downtown, and Southeast Redmond neighborhoods. Led by the Microsoft Campus Refresh project to redevelop the Microsoft campus, and the construction of a new light rail system by Sound Transit, which includes four light rail stations in Redmond, and several new mixed used developments. Major financial highlights are noted below:

- The City received \$9.93 million in federal funding through the American Rescue Plan Act (ARPA) to aid public health and economic recovery from the COVID-19 pandemic.
- In June 2022, the City issued limited tax general obligation (LTGO) bonds to finance a portion of the costs necessary to design, construct and furnish the new Redmond Senior & Community Center. The principal amount issued was \$14,015,000 with a 15-year repayment term.
- Property tax growth encompassed the 1% levy increase allowed by state law and new construction additions to the property tax rolls. Assessed value increased by \$3.6 billion (13.3%) and the City's regular tax levy was \$0.99541 per \$1,000 on an assessed valuation of \$30,574,457,288 for a total regular levy of \$30,364,476.
- Utility tax revenue collections increased \$2.0 million. Most of the growth in utility taxes was in electric utility tax, which has increased by \$1.6 million primarily due to employees returning to the workplace in some capacity during the COVID-19 pandemic recovery.
- Real Estate Excise Tax (REET) decreased by \$1.5 million (13.1%); however, the five year trend remained strong at an average of \$9.8 million in collections per year.
- Impact fees increased \$11.0 million (66.0%), from \$16.6 million to \$27.6 million due to high development activity and an increase in impact fee rates of 5.38% for Transportation, 5.64% for Parks, and 3.34% for Fire. Transportation Impact Fees collected increased by \$7.1 million (59.9%) and Parks Impact fees increased by \$3.7 million (84.2%).
- Sales Tax collections on construction remained strong (\$48.9 million) due to high development activity. Non-construction related Retail Sales Tax increased by \$1.7 million in food services, recreation, retail trade and hotel services; recovering to pre-pandemic revenues.
- Recreation Program revenue recovered to pre-pandemic level. Community demand returned to pre-pandemic levels and total revenue increased by about \$600,000 (52% increase) compared to 2021. Revenues has also increased due to an updated cost-of-service policy and fees that were adopted and implemented in early 2022. The updated cost recovery model has increased revenues and decreased expenditures across the program.
- The assets and deferred outflows of resources of the City exceeded its liabilities and deferred inflows by \$1.2 billion (total net position), which represents an increase of \$90.0 million (7.9%) over 2021. The largest component of total net position is net investment in capital assets at \$830.6 million. The unrestricted net position totals \$253.6 million and may be used to meet the city's ongoing obligations to residents and creditors. In addition, the restricted net position totals \$151.8 million and is earmarked for debt service, capital projects, and special revenue funds.
- The ending net position for governmental activities was \$722.1 million, which represents an increase of \$69.8 million (10.7%). Of this total amount (\$122.6 million) is available for spending at the City's discretion (unrestricted net position).

- The City's net investment in capital assets increased by \$16.3 million. The increase is primarily due to the Redmond Senior & Community Center Rebuild (\$17.11 million). Other significant projects include wastewater lift stations upgrades (\$4.24 million), stormwater trunk extension (\$2.11 million), seismic upgrades to Fire Station 16 (\$2.5 million), 152nd Avenue NE improvements (\$2.87 million), NE 40th Street Shared Use Path (\$2.09 million), pavement overlay on NE 90th Street (\$1.96 million) and intersection improvements at Redmond Way and East Lake Sammamish Parkway (\$1.31 million). Offset by \$8.9 million related to liabilities for payables related to accounts payable, retainage payable and lease payables.

Overview of the Financial Statements

This discussion and analysis are intended to serve as an introduction to the City of Redmond's basic financial statements, which are comprised of three components: 1) government wide financial statements, 2) fund financial statements and 3) notes to the financial statements. Other supplementary information, intended to furnish additional detail to support the basic financial statements, is also contained in the report.

Government-wide Financial Statements

The government-wide financial statements are designed to provide readers with a broad overview of the City's finances, in a manner similar to a private-sector business.

The **Statement of Net Position** presents financial information on all of the City's assets, liabilities, and deferred inflows/outflows of resources, with the difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position improving or deteriorating.

The **Statement of Activities** presents information designed to show how the net position changed during the year. The statement distinguishes revenue generated by specific functions from revenue provided by taxes and other sources not related to a specific function. The revenue generated by the specific functions (charges for services, grants, and contributions) is compared to the expenses for those functions to show the degree to which each function supports itself or relies on taxes and other general funding sources for support. All activity on this statement is reported on the accrual basis of accounting, requiring that revenues are reported when they are earned and expenses are reported when they are incurred, regardless of when cash is received or disbursed. Items such as (but not limited to) uncollected taxes, unpaid vendor invoices for goods or services received during the year and earned but unused vacation leave are included in the statement of activities as revenue and expenses even though no cash has changed hands.

The government-wide financial statements distinguish functions that are principally supported by taxes and intergovernmental revenues (*governmental activities*) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (*business-type activities*). The governmental activities include general government (finance, executive and human resources), security (police and fire), economic environment, transportation, and culture and recreation. The business-type activities are limited to water/wastewater and stormwater utilities. Governmental activities are primarily supported by taxes, charges for services, and grants. Business-type activities are primarily self-supporting through user fees and charges.

Fund Financial Statements

The annual financial report includes fund financial statements in addition to the government-wide financial statements. While the government-wide statements present the finances based on the type of activity, general government versus business-type, the fund financial statements are presented by fund type such as the general fund, special revenue funds, and proprietary funds. A fund is a fiscal and accounting entity with a self-balancing set of accounts used to account for specific activities or meet certain objectives. Funds are often set up in accordance with special regulations, restrictions, or limitations. The City, like other state and local governments, uses fund accounting to ensure and show compliance with finance-related legal requirements. The funds are divided into two categories: governmental funds and proprietary funds.

Governmental funds are used to account for essentially the same functions as are reported as governmental activities in the government-wide financial statements. These reports use a different "basis of accounting" than that used in government-wide financial statements. The governmental fund statements focus on near-term revenues/financial resources and expenditures while the government-wide

financial statements include both near-term and long-term revenues/financial resources and expenses. The information in the governmental fund statements can be used to evaluate the near-term financing requirements and immediate fiscal health. Comparing the governmental fund statements with the government-wide statements can help the reader better understand the long-term impact of the current year financing decisions. To assist in this comparison, reconciliations between the governmental fund statements and the government-wide financial statements are included with the governmental fund Balance Sheet and the governmental fund Statement of Revenues, Expenditures, and Changes in Fund Balances.

The City maintains thirteen individual governmental funds. There are three major governmental funds – the General Fund and the Capital Investment Program Funds – presented separately in the governmental fund balance sheet and the governmental fund Statement of Revenues, Expenditures, and Changes in Fund Balances. The remaining governmental funds are combined in this statement into a single column labeled Other Governmental Funds. Individual fund data for each of the other governmental funds can be found in combining statements later in this report.

The City maintains budgetary control over its operating funds through the adoption of a biennial budget. Budgets are adopted at the fund level for all funds in accordance with state law. All budgetary comparison schedules are included following the other governmental funds' combining statements in this report.

Following is a brief analysis of each of the City's major governmental funds:

The General Fund is the primary operating fund of the City through which all receipts and payments of ordinary City operations are processed unless they are required to be accounted for in different fund. At the end of 2022, the fund balance of the General Fund was \$95.4 million, which represents an increase from the prior year of \$13.5 million (16.5%).

General Fund revenues increased by \$8.9 million (6.7%) in 2022 primarily due to the net effect of the following:

- Collectively, taxes increased by \$5.3 million (5.6%) with sales tax up \$1.7 million (3.5%), utility taxes up \$2.0 million (19%), and property tax up \$1.0 million (3.3%). Most of the growth in sales tax was in the construction, services, and wholesale business sectors due to construction and development. Most of the growth in utility taxes was in electric utility tax, which increased \$1.6 million primarily due to employees returning to the workplace in some capacity during the COVID-19 pandemic and recovery. Property tax growth encompassed the 1% levy increase allowed by state law and new construction added;
- Revenue from license and permits were \$3.2 million greater than budget and \$1.9 million greater than 2021. The increase is primarily due to the high level of development activity. Electrical and plumbing permit revenue increased by \$1.0 million and mixed-use development fees increased by \$322,000. Business License revenue increased by \$2.1 million primarily due to issuing pro-rated licenses to align a business with renewal month when the City moved to State Department of Revenue system;
- Charges for services was \$2.0 million higher than budget, a \$0.7 million increase over 2021. This is primarily due to engineering review fees, which were driven by the high level of development activity and Fire District 34 contract negotiations that resulted in an increase in rates effective in 2022;
- Contributions increased by \$2.9 million from \$1.4 million, primarily from mitigation fees \$4.9 million, and from contributions for Affordable Housing units (\$3.6 million) as a result of the Modera Rivertrail Project;
- Intergovernmental decreased by \$1.3 million (17.5%); of which \$2.2 million was related to a reduction in Department of Transportation Grant funding, offset by an increase of \$1.4 million in indirect federal grant funding and an increase of \$0.5 million related to a reduction in Criminal Justice State Entitlement revenue.
- The net change in fair value of investments decreased by \$1.4 million (96.3%) primarily due to changes in the value of investments and federal interest rate changes.

General Fund expenditures increased by \$20.1 million (19.3%) in 2022 primarily due to the following factors:

- Increased cost of salaries and benefits of \$7.3 million (10.0%) due to cost of living rate increases, position reclassifications, and overtime costs;
- Fire Department overtime cost increased by \$0.7 million (16.8%) due to vacancies resulting from the State's vaccination mandate for first responders;
- Capital outlay increased by \$3.2 million (3.4%) primarily driven by the implementation of GASB 87. See Note 12: Leases for additional information.
- Increase in legal expenses by \$75,000 (31.1%) due to vaccination mandate action and National Opioid Settlement;
- Supplies and Outside Repairs & Maintenance expenses are higher than usual by \$274,000 (10.7%) due to staffs return to work, and an increase in supply cost due to supply chain and labor shortages.

The Capital Investment Program Fund (CIP Fund) accounts for financial resources to be used for the acquisition, construction, and preservation of major capital facilities other than those financed by proprietary funds. At the end of 2022, the collective fund balances of the CIP Funds amounted to \$99.1 million, which represents an increase from the prior year of \$32.1 million (47.96%). Some of the key contributing factors:

- Capital Investment Program revenues increased by \$14.7 million (67.6%) primarily due to the net effect of a \$7.8 million increase in charges for services (increase of \$11.0 million in Impact Fees, offset by a decrease of \$2.9 million in fire control services revenue received in 2021 from Fire District 34 for seismic upgrades at Fire Station 14); a \$7.5 million increase in intergovernmental grant revenues for capital projects; and an increase of \$1.0 million in contributions from Puget Sound Energy for an Easement along the BNSF rail corridor.
- Other financing sources decreased by \$2.9 million; capital investment program net transfers between other funds decreased by \$20.4 million primarily due to a substantial one-time transfer in 2021 of \$15.6 million to General Government for facility improvements, a \$1.2 million increase in transfers from the Real Estate Excise Tax Fund, and a \$2.1 million transfer for the Redmond Senior & Community Center. This decrease was offset by the issuance of \$14.0 million in limited tax general obligation bonds in 2022 to finance a portion of the costs necessary to rebuild the Redmond Senior & Community Center.
- Capital Investment Program expenditures total \$26.7 million, an increase of \$12.4 million (86.5%). The program remains active with many significant investments underway including but not limited to: the construction of the Redmond Senior & Community Center (\$17.0 million), Intersection Improvements at Redmond Way and East Lake Sammamish Parkway (\$1.3 million), 152nd Avenue Improvements (\$2.8 million), NE 40th Street Shared Use Path (\$2.1 million) and Fire Station Seismic Upgrades (\$2.4 million).

Proprietary funds are used by governments to account for their business-type activities. Business-type activities provide specific goods or services to a group of customers that are paid for by fees charged to those customers. There is a direct relationship between the fees paid and the services received.

The City of Redmond has two types of proprietary funds, enterprise funds and internal service funds. Enterprise funds are used to account for goods and services provided to the community. Internal service funds are used to account for goods and services provided internally to various City departments. The same basis of accounting is used for proprietary funds in both the government-wide statements and the individual fund statements.

Enterprise funds are used to report the same functions presented as business-type activities in the government-wide statements with the fund statements providing more detail than is reported in the government-wide statements. The enterprise fund statements provide separate information for the City's water/wastewater utility, an Urban Planned Development (UPD) water/wastewater utility outside the City limits, and the City's stormwater utility.

Internal service funds are an accounting device used to accumulate and allocate costs internally among various functions. The City uses internal service funds to account for its fleet of vehicles, insurance premiums and claims, medical self-insurance, worker's compensation self-insurance program, and information technology. Internal service fund activities are predominantly governmental and have been included in the governmental activities' columns of the government-wide Statement of Net Position and Statement of Activities.

Notes to the Financial Statements

The notes to the financial statements provide additional information that is important for a full understanding of the data in the government-wide and fund financial statements. The notes are located immediately following the basic financial statements.

Other Information

In addition to the basic financial statements and accompanying notes, this report also presents certain **required supplementary information** concerning the City's progress in funding its obligation to provide pension benefits, and lifetime medical benefits to uniformed personnel hired before October 1, 1977. Required supplementary information may be found immediately following the notes to the financial statements.

The combining statements for other governmental funds and internal service funds are presented immediately following the required supplementary information.

Government-wide Financial Analysis

Statement of Net Position

The Statement of Net Position can serve as a useful indicator of the City's financial position. The total net position as of December 31, 2022 was \$1.2 billion, which represents a \$90.0 million (7.8%) increase over 2021. The reasons for the increase is discussed in the following sections for governmental activities and business-type activities.

The largest component of the total net position (\$830.1 million, or 67.2%) is net investment in capital assets (i.e., land, buildings, machinery, equipment, vehicles, and infrastructure less any related outstanding debt that was used to acquire those assets). The City uses these capital assets to provide a variety of services to the community. Accordingly, these assets are not available for future spending. Although investment in capital assets is reported net of related debt, it should be noted that the resources used to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities. The restricted component of total net position (\$151.8 million, or 12.3%) represents resources that are subject to external restrictions on how they may be used. It mostly encompasses resources that are restricted for capital projects (\$97.3 million) and net pension asset (\$40.6 million). The remaining total net position balance of \$253.6 million (20.5%) is unrestricted and may be used to meet ongoing obligations to the community and creditors.

Following is a condensed version of the government-wide Statement of Net Position for 2022 compared to 2021, with governmental activities and business-type activities separately identified.

City of Redmond's Net Position (in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2022	2021	2022	2021	2022	2021
Current and other assets	\$ 308,354	\$ 236,983	\$ 140,187	\$ 131,216	\$ 448,541	\$ 368,199
Net pension asset	36,088	81,755	2,304	6,301	38,392	88,056
Capital assets, net of accumulated depreciation	524,894	493,414	397,299	388,838	922,193	882,252
Total assets	\$ 869,336	\$ 812,152	\$ 539,790	\$ 526,355	\$ 1,409,126	\$ 1,338,507
Deferred outflows:						
Debt refunding	2,213	2,424	201	218	2,414	2,642
Pensions	24,351	7,421	2,368	685	26,719	8,106
OPEB	-	-	-	-	-	-
Asset retirement Obligation	22	-	204	172	226	172
Total assets and deferred outflows	\$ 895,922	\$ 821,997	\$ 542,563	\$ 527,430	\$ 1,438,485	\$ 1,349,427
Long-term liabilities	\$ 74,157	\$ 51,248	\$ 23,023	\$ 23,818	\$ 97,180	\$ 75,066
Net pension liability	6,024	3,375	1,451	655	7,475	4,030
Total OPEB liability	13,824	17,930	-	-	13,824	17,930
Other liabilities	53,836	38,402	1,242	2,444	55,078	40,846
Total liabilities	\$ 147,841	\$ 110,955	\$ 25,716	\$ 26,917	\$ 173,557	\$ 137,872
Deferred inflows - Property Taxes	292	-	-	-	292	-
Deferred inflows - Leases	1,300	-	597.00	-	1,897	-
Deferred inflows - OPEB	1,153	425	-	-	1,153	425
Deferred inflows - Pensions	22,694	58,331	2,427	6,576	25,121	64,907
Total liabilities and deferred inflows	\$ 173,280	\$ 169,711	\$ 28,740	\$ 33,493	\$ 202,020	\$ 203,204
Net Position						
Net investment in capital assets	\$ 454,887	\$ 449,934	\$ 375,690	\$ 364,354	\$ 830,577	\$ 814,288
Restricted	141,669	128,422	10,127	7,807	151,796	136,229
Unrestricted	125,554	73,931	128,007	121,776	253,561	195,707
	\$ 722,110	\$ 652,287	\$ 513,824	\$ 493,937	\$ 1,235,934	\$ 1,146,224

Changes in Net Position

Following is a condensed version of the Changes in Net Position for 2022 compared to 2021, noting the revenues, expenses, and other items, with governmental activities and business-type activities separately identified.

City of Redmond's Changes in Net Position (in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2022	2021	2022	2021	2022	2021
Revenues:						
Program revenues:						
Charges for services	\$ 76,817	\$ 67,486	\$ 63,408	\$ 62,335	\$ 140,225	\$ 129,821
Operating grants and contributions	10,889	9,167	6,552	898	17,441	10,065
Capital grants and contributions	22,052	5,606	9,387	6,338	31,439	11,944
General revenues:						
Property taxes	29,943	28,946	-	-	29,943	28,946
Sales taxes	52,453	50,524	-	-	52,453	50,524
Other taxes	27,950	26,826	-	-	27,950	26,826
Investment interest	(3,491)	(877)	1,706	(442)	(1,785)	(1,319)
Miscellaneous	7,076	4,489	272	278	7,348	4,767
Total revenues	\$ 223,689	\$ 192,167	\$ 81,325	\$ 69,407	\$ 305,014	\$ 261,574
Expenses:						
General government	\$ 25,937	\$ 20,731	\$ -	\$ -	\$ 25,937	\$ 20,731
Public Safety	74,591	57,370	-	-	74,591	57,370
Economic environment	13,680	8,871	-	-	13,680	8,871
Transportation	20,880	17,997	-	-	20,880	17,997
Culture and recreation	11,686	8,186	-	-	11,686	8,186
Social Services	4,205	2,756	-	-	4,205	2,756
Interest on long term debt	2,114	2,798	-	-	2,114	2,798
Water/Wastewater	-	-	39,463	33,213	39,463	33,213
UPD Water/Wastewater	-	-	7,331	6,928	7,331	6,928
Stormwater	-	-	11,808	10,835	11,808	10,835
Total expenses	\$ 153,093	\$ 118,709	\$ 58,602	\$ 50,976	\$ 211,695	\$ 169,685
Increase/(Decrease) in net position						
Before special item and transfers	70,596	73,458	22,723	18,431	93,319	91,889
Gain/(Loss) on disposal of capital assets	(99)	1	(3,240)	-	(3,339)	1
Transfers, internal activities	(404)	356	404	(357)	-	(1)
Increase (decrease in net position)	70,093	73,815	19,887	18,074	89,960	91,889
Net position - beginning	652,287	591,247	493,937	475,863	1,146,224	1,067,110
Prior period adjustments	-	(12,776)	-	-	-	(12,776)
Net position - ending	\$ 722,380	\$ 652,286	\$ 513,824	\$ 493,937	\$ 1,236,204	\$ 1,146,223

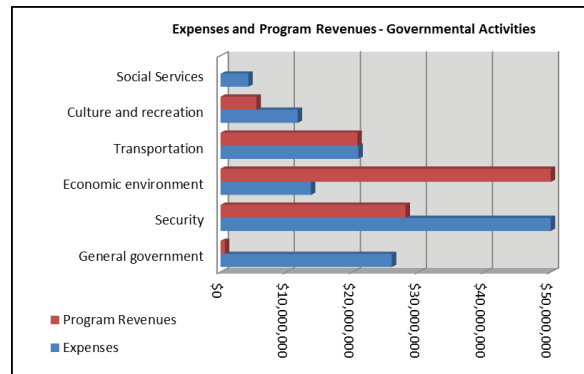
Governmental Activities

The net position for governmental activities increased by \$70.0 million (10.7%) in 2022. Key elements of the increase are as follows:

- Total assets and deferred outflows from governmental activities increased by \$73.6 million (9.0%) due to the following factors:
 - Cash and investments increased by \$62.2 million (31.0%).
 - Due from other governments increased by \$3.2 million (24.5%) in 2021 due to grant funding for the Senior Center rebuild (\$1.2 million from Department of Commerce and \$0.5 million from King County); for Seismic Upgrades at Fire Station 16 (FEMA \$0.8 million) and funding from Washington State Department of Transportation (\$0.8 million for 40th Street shared use path, \$0.3 million for pavement preservation projects and \$0.7 for 152nd Avenue NE Main Street improvements).
 - Capital assets increased by \$31.2 million (6.3%), which reflects the City's investments in infrastructure and technology and includes assets contributed by developers.
 - Net pension assets decreased \$45.7 million (55.9%), and deferred outflows for pensions increased \$16.9 million (228.2%). See Note 7 – Pensions for additional information.
- Total liabilities and deferred inflows from governmental activities increased by \$3.8 million (2.3%) from 2021 to 2022. Primarily due to the following:
 - Debt increased by \$20 million (39.2%); primarily due to the issuance of \$14.0 million in LTGO bonds. See Note 11 – Long-Term Obligations for more information.
 - Net pension liability (including total pension liability for the fire fighter pension plan) increased \$3.2 million (93.7%), and deferred inflows for pensions decreased by \$35.6 million (61.1%). Pension liabilities fluctuate from year-to-year due to assumption changes, investment returns, and several other reasons. See Note 7 – Pensions for additional information.
 - Accounts/claims payable increased by \$3.2 million (55.8%) primarily due to an increase of \$1.4 million in payments due to other governments due to the remittance timing of school impact fees to the Lake Washington School District.

- Total revenues increased by \$31.5 million (16.4%) from 2021 to 2022 due to the following:
 - Total tax revenues increased by \$4.1 million (4.3%). Key contributing factors are:
 - An increase in sales taxes of \$1.9 million (3.8%) due to higher level of development activity in 2022 compared to 2021;
 - Other taxes, including utility tax overall increased \$1.1 million (4.2%) due to employees returning to the workplace in some capacity during the COVID-19 pandemic and recovery;
 - Property taxes increased \$1.0 million (3.4%) primarily because of the assessed value increase of 13.3%.
 - Program revenues increased by \$27.5 million (33.4%) due to the net effect of the following:
 - Charges for services increased by 9.3 million (13.8%); this includes:
 - An increase of \$10.7 million (26.5%) related to economic environment; primarily due to a \$11.0 million (66.0%) increase in impact fees (including Parks, Fire and Transportation) due to a high level of development and large developments projects such as the Microsoft Refresh and various mixed-use projects spanning across Downtown and Overlake neighborhoods, offset by a \$1.2 million decrease in commercial building permit fee revenue.
 - Revenue growth related to culture and recreation; an increase of 42% from \$1.6 million in 2021 to \$2.3 million in 2022. Primarily due to the revitalization of parks programs after the COVID-19 pandemic, implementation of an update cost recovery model and the addition of new programs in both indoor and outdoor facilities.
 - Fire District 34 contract negotiations in 2022 increased annual dues by \$1.0 million; however, overall public safety revenue decreased by \$2.0 million primarily due to one-time revenue received in 2021 from Fire District 34 to pay for seismic upgrades for Fire Station 14.
 - Grants and contributions; including Intergovernmental revenue increased by \$18.2 million (123.0%) due to:
 - Receipt of the second half of the ARPA federal grant funding (\$4.9 million);
 - Washington Department of Commerce grant for the Redmond Senior & Community Center (\$1.7 million);
 - Washington State Department of Transportation grants for 152nd Avenue Improvements (\$1.7 million) and 40th Street Shared Use Path Project (\$1.4 million);
 - Washington State Department of Transportation grant funding association with pavement preservation projects (\$1.4 million);
 - FEMA grant funding for Fire Station 16 (\$1.7 million).
 - Interest on investments increase \$2.0 million (135.4%) primarily due to the impact of federal interest rate increases on the City's short term investments.
- Total expenses increased by \$34.4 million (29.0%) primarily due to COVID-19 pandemic recovery and salary and benefit cost of living increases. Public safety costs increased \$17.2 million (30.0%), general government \$5.2 million (25.1%), economic environment \$4.8 million (54.2%), culture and recreation \$3.5 million (42.8%) and transportation \$2.9 million (16.0%).

The following graph compares 2022 program revenues to program expenses from the Statement of Activities and illustrates the impact of various City functions on net position from operations before taxes for governmental activities.



Business-type Activities

Business-type activities account for 41.6% of the City's net position. Business-type activities of the utilities increased the net position by \$19.9 million (4.0%). Key elements of this increase are as follows:

- Net investment in capital assets increased \$11.3 million or 3.1%.

Recognizing the financial difficulties that the recession caused by the COVID-19 pandemic placed on the community, no utility rate increases were implemented in 2021 or 2022. The City did implement rate increases for all utility services effective January 2023.

Water/Wastewater Utility:

Water/Wastewater utility showed operating income of \$1.5 million, a 75% decrease from 2021. Total revenues increased \$1.8 million (4.6%) and expenditures increased \$6.2 million (18.8%) from 2021 to 2022. The main contributing factors are as follows:

- New growth resulted in an increase \$0.3 million (1.3%) in revenue, this is primarily resulting from new water connections which increased \$0.4 million (31.5%). Commercial revenue increased by \$0.1 million (13.8%) for wastewater and \$0.2 million (8.6%) for water. The increase is related the return of employees to the workplace, overall growth, and the reconnection of several Microsoft meters that had been removed due to construction of the Refresh project; Commercial ERUs (Equivalent Residential Units) increased by 3,131 units in 2022 and irrigation increased by 29 units. Increases were offset by a decrease in water revenue from residential customers of \$0.2 million (4.0%) and irrigation of \$0.4 million (11.9%) due to household members returning to the workplace and milder weather conditions compared to the extreme heat experienced in 2021.
- King County (Metro) wastewater service operating revenue increased \$1.5 million (9.5%) as a result of a 4% rate increase to \$49.27 per month, growth, and the return of employees to the workplace. Rates are expect to continue to increase by 5.76% per year in 2023 and 2024.
- As a result of King County Metro's rate increase the cost of wastewater treatment increased \$1.25 million (8.3%).
- The cost of purchasing water increase \$2.7 million (42.9%) due to regional capital facility charges remitted to Cascade Water Alliance (CWA) for new connections to the regional water system. CWA water rates increased 2.2% in 2022 and are anticipate to increase by 2.2% per year in 2023 & 2024 and 4-5% from 2025-2029.
- City water and wastewater utility rates were not increased in 2021 or 2022 as a result of the financial difficulties the COVID-19 pandemic placed on the community. Water rate increases of 8% and wastewater rate increase of 3% per year will be effective for 2023 and 2024.
- Expenses related to salary and benefits increased \$1.5 million (30.8%) due to cost of living increases and supplies increased \$1.1 million due to the recovery of the COVID-19 pandemic and employees return to the workplace, the full return to operations and increase in supply cost due to supply chain issues and labor shortages.
- Capital Contributions increased from \$3.3 million (106.9%).

- Capital additions are multi-year projects completed in 2022 and reclassified from construction in progress. A few of the largest capital additions are:
 - Pressure Reducing Value (\$1.67 million)
 - SE Redmond Tank Painting (\$5.23 million)

Novelty Hill Water and Wastewater Utility:

Novelty Hill Water/Wastewater shows operating income of \$0.6 million, a \$0.5 million decrease from 2021. Overall revenues decreased \$0.1 million (1.2%), and expenses increased \$0.4 million. The main contribution factors are as follows:

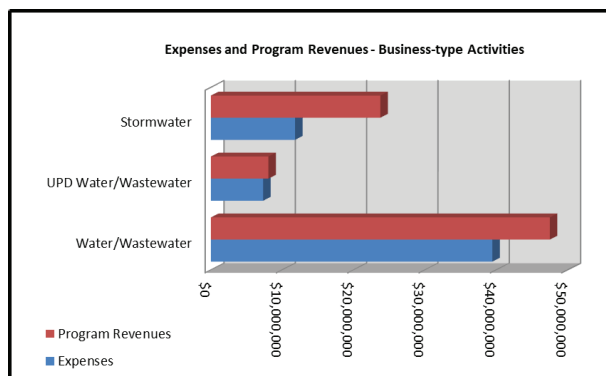
- Operating revenue decreased \$0.1 million (1.2%). Revenue from water sales decreased \$0.2 million (4%) from 2021 to 2022 primarily due to a decrease in residential and irrigation usage as a result of mild weather conditions in 2022 compared to the extreme weather conditions experienced in 2021. Wastewater sales increased \$0.1 million (5.2%) from 2021 to 2022 in the residential and commercial sectors due to a King County Metro rate increase of 4.0% and employees returning to the workplace. Commercial ERUs increased by 5 in 2022 with no changes in irrigation.
- As a result of King County Metro's rate increase the cost of wastewater treatment increased \$0.2 million (8.5%). Other expenses related to operation increased \$0.2 million (32.7%) this includes the increase in costs seen across the City for supplies and salary and benefits.
- Novelty Hill water and wastewater utility rates were not increased in 2021 and 2022 as a result of the financial difficulties the COVID-19 pandemic placed on the community. Expected rate increases for water and wastewater are anticipated to be 8% and 6%, respectfully, in 2023 and 2024.

Stormwater Utility:

Stormwater Utility showed operating income of \$3.0 million in 2022 compared to \$5.2 million in 2021; a decrease of \$2.2 million (42%) resulting from a decrease in operating revenues of \$0.6 million (\$4.2%) and an increase in expenses of \$1.6 million (15.7%).

- Revenue from charges for services decreased \$0.6 million (4.2%) from 2021 primarily due to decrease in residential and other services.
- Operating expenses increased \$1.6 million (15.7%), due to inflationary increases in supplies and personnel costs as seen across the City.
- City stormwater utility rates were not increased in 2021 and 2022 as a result of the financial difficulties the COVID-19 pandemic placed on the community expect a rate increase of 1% in 2023 and 2024.

The graph that follows compares program revenues to program expenses from the Statement of Activities and illustrates the revenues by source separately for the business-type activities in 2022.



General Fund Budgetary Highlights

The City of Redmond budgets on a biennial basis. In 2022, the following budget amendments to the adopted budget were approved by Council:

- Increasing the General Fund transfer to:
 - Workers Compensation Fund to build up fund balance as the increased cost and volume of claims is expected to continue (\$1.3 million);
 - Risk Insurance Fund to accommodate the increased in insurance premiums (\$1.1 million);
 - Restore an Events Program Coordinator (1.00 FTE) in Parks Department (\$159,390);
 - Parks Levy and Parks Maintenance & Operations Funds to correct an error (\$437,653);
 - Funding for Parks Events Program Coordinator (1.00 FTE) restored during the 2021-2022 biennium, following reductions made in 2020 as a response to the COVID-19 pandemic.
- Recognizing revenue and expenses related to grants including but not limited to:
 - Transit Oriented Development and Implementation grant (\$115,000);
 - Community Development Block Grant for Coronavirus (\$392,857);
 - Microsoft Vaccination Site (\$701,991);
 - Traffic Operations Knock Downs (\$57,742);
 - Body-Worn Camera grant (\$170,000);
 - Willow Run/Facebook Building X (\$100,000);
 - Economic Development Grant (\$120,000)

Total revenues increased by \$23.4 million (16%) in 2022.

- Business License revenue increased by \$2.1 million primarily due to moving to State Department of Revenue system and because the Microsoft's license renewals aligning with DOR renewal date.
- Sales and use tax was \$20.1 million higher than budget. The increase is primarily due to the high level of development activity.
- Permit revenues were \$3.4 million higher than budget. The increase is primarily due to the high level of development activity.
- Contributions were \$2.8 million higher than budget. The increase is primarily due to Alternative Compliance Multi-Family Property Tax Exemption payment.

Total expenditures in 2022 were under budget by \$42.0 million primarily due to the net effect of,

- Salaries and benefits were \$4.7 million over the budget primarily due to position reclassifications, cost of living (COLA) rate increase, benefit rate increases and overtime spending.
- Overtime salaries were \$2.7 million over budget due primarily to backfilling vacancies resulting from the State's vaccination mandate for first responders as well as training new recruits hired to fill these vacancies, position vacancies as well as several sensitive investigations performed by the Criminal Investigations Division (CID).
- Professional services were \$6.1 million over the budget due to the adjustment of the slow start of spending in 2021. Human Services funded several non-profit organizations in 2022 with the additional funding received and approved for the 2021-22 budget. Planning received grants from the state in 2022, resulting in increased consulting work related to Redmond 2050. Similarly, some Parks and Recreation programs were canceled or delayed in 2021, and carried over funds were used for programs in 2022, as larger gatherings and events returned after the pandemic.
- Capital expenditures were \$1.7 million under the budget due to delay in Fire apparatus purchases in 2022.
- Outside Repairs and Maintenance was \$2.9 million under the budget primarily due to slow start of some projects including but not limited to intersection work in Southeast Redmond on NE 70th Street and Redmond Way Bridge and 76th Street. Also, a slow start in street maintenance including a bridge deck overlay and street markings and striping.

City of Redmond's Capital Assets (Net of Accumulated Depreciation)

The City of Redmond's investment in capital assets for its governmental and business-type activities (not including investment in joint ventures) at the end of 2022 amounted to \$918.6 million (net of accumulated depreciation), which represents an increase of \$36.3 million from 2021. Investment in capital assets

includes land, art and construction in progress, which are not subject to depreciation. The other capital assets, buildings and building improvements, improvements other than buildings, machinery and equipment, and infrastructure are subject to depreciation.

Governmental capital assets (net of accumulated depreciation) totaled \$524.6 million at the end of 2022, which represents an increase of \$31.2 million from 2021. Business-type capital assets (net of accumulated depreciation) totaled \$397.3 million at the end of 2022, which represents an increase of \$8.4 million from 2021. In addition to the effects of depreciation, these increases are the result of land acquisitions, improvements to buildings, contributed capital, and construction in progress. More information on the City's Capital Assets can be found in Note 6 – Capital Assets in the notes to the financial statements.

City of Redmond's Capital Assets
(net of depreciation)
(in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2022	2021	2022	2021	2022	2021
Land & Land Rights	\$ 172,090	\$ 161,925	\$ 25,802	\$ 25,757	\$ 197,891	\$ 187,682
Intangibles	-	-	1,125	1,125	1,125	1,125
Buildings/ Bldg. Improvements	73,182	71,663	25,012	25,771	98,194	\$ 97,434
Improvements other than Buildings	30,820	32,577	312,118	307,767	342,938	\$ 340,344
Machinery and Equipment	14,335	15,300	473	604	14,808	\$ 15,904
Construction in Progress	36,510	15,426	32,551	27,814	69,061	\$ 43,240
Infrastructure	192,292	194,265	-	-	192,292	\$ 194,265
Art	2,257	2,257	-	-	2,257	\$ 2,257
Leases	3,146	-	218	-	3,364	-
Total	\$ 524,632	\$ 493,414	\$ 397,299	\$ 388,838	\$ 918,566	\$ 882,253

City of Redmond's Outstanding Debt

At the end of 2022, the City of Redmond had total outstanding bonds of \$5.3 million, which consists of \$4.0 million in general obligation bonds and \$1.3 million in revenue bonds. In addition, the City had \$0.3 million in Public Works Trust Fund Loans, which constitute direct borrowings.

City of Redmond's Long-term Debt
(in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2022	2021	2022	2021	2022	2021
General obligation bonds	\$ 3,960	\$ 40,570	\$ -	\$ -	\$ 3,960	\$ 40,570
G.O. bond premiums	-	2,248	-	-	-	2,248
Revenue bonds	-	-	1,295	18,850	1,295	18,850
Revenue bond issuance premiums	-	-	-	425	-	425
Public Works Trust Fund loans	94	945	213	3,311	307	4,256
Total	\$ 4,054	\$ 43,763	\$ 1,508	\$ 22,586	\$ 5,562	\$ 66,349

The City's outstanding general obligation bonds, which are reported under governmental activities, include the following. In 2013, the City issued \$33.1 million in limited tax general obligation refunding bonds with an interest rate of 1.75-5.00% to advance refund \$32.8 million of outstanding 2004 Limited Tax General Obligation Lease Revenue Bonds for City Hall and the parking garage. The refunding resulted in deferred outflows of \$1.5 million. In 2015, the City issued \$9.3 million in limited tax general obligation refunding bonds with an interest rate of 3.00% to advance refund \$8.9 million of outstanding 2008 Limited Tax General Obligation Bonds. The refunding resulted in deferred outflows of \$0.95 million. In 2016, the City issued \$11.6 million in limited tax general obligation refunding bonds with an interest rate of 2.0-5.0% to advance refund \$11.7 million of outstanding 2008 Limited Tax General Obligation Bonds. The refunding resulted in deferred outflows of \$1.4 million. In addition, the City issued \$6.0 million in limited tax general obligation bonds with an interest rate of 2.0-5.0% to finance the costs of transportation improvements. In 2021, the City issued \$18.9 million in limited tax general obligation

refunding bonds with an interest rate of 0.24-2.40% to advance refund \$17.1 million of outstanding 2013 Limited Tax General Obligation Bonds. The refunding resulted in deferred outflows of \$0.96 million.

The City's outstanding revenue bonds, which are reported under business-type activities, include the following. In 2014, the City issued \$23.0 million in stormwater revenue bonds with an interest rate of 3.26-4.25% to finance the construction and improvement of various pump stations, access chambers, regional facilities in the Overlake and Downtown areas of the City, flow control, and water quality facilities. The 2014 stormwater revenue bonds also provided funding for stream and habitat restoration projects. In 2021, the City issued \$15.9 million in stormwater revenue refunding bonds with an interest rate of 0.25-2.34% to advance refund \$13.9 million of outstanding 2014 Stormwater Revenue Bonds. The refunding resulted in deferred outflows of \$0.22 million.

The City's outstanding Public Works Trust Fund Loans include the following. Under governmental activities, the City has a loan with an outstanding balance of \$0.09 million and an interest rate of 0.25%. Under business-type activities, the City has a loan with an outstanding balance of \$0.2 million and an interest rate of 2.6%.

For further details related to the outstanding debt please refer to note 11 – Long-term Obligations, in the notes to the financial statements.

Economic Factors and Next Year's Budget

The Long-Range Financial Strategy (LRFS) is the framework which the City of Redmond uses to make budget decisions over future budget cycles. It encourages a deeper understanding of service commitments to the community and a plan to meet those commitments in a sustainable and responsible manner. Such a strategy makes it possible to focus on Redmond's vision to realize the future as a connected community that enhances livability and sustains the environment, and that places Redmond as a leader locally, regionally, and nationally. Through innovation and efficiencies, the City continues to provide quality services that meet or exceed the expectations of our community members. Strong financial stewardship, as evidenced by the City's AAA bond rating, and quality customer service are hallmarks of Redmond city government.

In 2022, the City's economic recovery from the pandemic was better than expected. Total revenues in the General Fund were 16.0%, or \$23.4 million, above target primarily due to the high level of development activity in the City. In addition, there were significant economic impacts as businesses opened and employees started to return to the workplace. Of particular note, sales tax was 67.1%, or \$20.2 million, above target, and license and permit fees were 28%, or \$3.7 million, above target. Construction-related sales tax amounted to \$17.2 million in 2022, which is 1.6% lower than in 2021. In 2022, similar to other neighboring legislations, some of the challenges that the City faced were supply chain issues, high inflation and labor shortages. Although all expenditures in the General Fund were 2.7%, or \$4.0 million, below target, the expenditure in some categories were above target for the reasons mentioned above. Those categories including but not limited to salaries, benefits, overtime, supplies, and professional services.

In 2022, the Capital Investment Projects included the Redmond Senior & Community Center Rebuild, wastewater lift stations upgrades, a stormwater trunk extension, seismic upgrades to Fire Station 16, 152nd Avenue NE improvements, NE 40th Street Shared Use Path, pavement overlay on NE 90th Street and intersection improvements at Redmond Way and East Lake Sammamish Parkway.

In 2023, the City's regular levy rate is \$0.81014 per \$1,000 on an assessed value of \$38,888,236,196 for a total regular levy of \$31,642,657. This represents a percentage increase of 1.00%, \$303,042, from year 2022. Since 2021 and in 2023-2024 biennial budget, a total of \$9.6 million of ARPA funds are allocated to fund programs such as affordable housing, PPE purchases, Fire and Police peer support, tourism, recreation programs, small business awards, human services and replace water/wastewater utility revenue.

In 2023-2024 biennial budget, City Council approved the formation of a Transportation Benefit District (TBD) by implementing 0.1% sales tax beginning in 2024 to support transportation projects. This fee will generate \$27.5 million in funding for transportation-related projects in the 2023-2028 General Government Capital Investment Program.

The City's infrastructure investments reinforce the urban centers, Downtown, Overlake and Marymoor Village, as the primary growth areas and preserve the character of Redmond's residential neighborhoods. Light rail will be arriving at stations in the Overlake and Downtown Urban Centers in 2023 and 2024,

generating additional growth. Anchored by a new light rail station, the new Marymoor Village is further anticipated to add over 1,400 dwelling units and one million square feet of new commercial space by 2030.

Overlake is thoughtfully evolving into the envisioned urban center. The redevelopment of the Microsoft campus will generate new opportunities and new challenges for the City's infrastructure and services as the City will take on a more urban feel, replete with needs for large-scale infrastructure investments, much like the completed regional stormwater vaults and the pedestrian bridge over State Route 520. Development of the Downtown urban center is progressing, with thousands of new housing units having come online and many hundreds more programmed over the next several years, complemented by strategic investments in the new Downtown Park and transportation infrastructure that promotes mobility choices. Planning efforts continue to refine design standards, zoning district regulations, parking management, and wellhead protection in the Downtown. In 2022, Sound Transit completed substantial work on the E360 Extension, and continue to work on the construction of the Redmond Technology Station (RTS) pedestrian bridge and Sound Transit Loop in Overlake.

Redmond 2050 continues to make progress. In the upcoming biennium, the City will likely adopt new zoning and development regulations for Overlake to allow for increased density and plans for the adoption of updated land-use and housing policies, with a focus on planning for all economic segments of the community and reducing barriers to "middle housing." The City also plans for the adoption of all other parts of Redmond 2050, including updates to policies related to the natural environment, capital facilities, utilities, parks, transportation, regional planning, participation, human services, community design, and economic vitality.

The City continued investment in technology infrastructure represents a short and mid-term plan for technology implementations to fully support the City's strategic goals. In 2023-2026 period, as the City moves toward completion of the initial implementation phase for both the Finance and Human Resource system replacement projects, the TIS department is able to schedule and allocate resources to slightly smaller but equally critical new technology initiatives throughout the City. The total investment for technology projects is about \$9.6 million that funds some major technology projects including but not limited to the Capital Investment Portfolio Management Tool, D365 Financial Tool implementation, Parks Activenet replacement, Human Resources Workforce Management tool (phase-2) and, Springbrook our utility billing software.

Looking forward, development activity is expected to be strong through 2024. Along with the growth we are seeing in multi-family developments, the City hopes to complete in 2024 some projects including but not limited to the new Redmond Senior & Community Center, Redmond Technology Bridge and Overlake Pedestrian Bridge, 40th Street Shared Use Path, 152nd Avenue Improvements, Maintenance and Operations (MOC) plumbing, Redmond Way and East Lake Sammamish Parkway, 156th Cycle Track project. This is expected to positively impact retail sales tax revenue, as new residents move to Redmond, and property tax revenue, as new properties are added to the tax rolls.

Accordingly, revenue growth in 2023 is projected to be strong relative to 2022. On the downside, the City faces two significant economic challenges. First, impacts of the high inflation in 2022, which hit a 40-year high of 9.5% in June 2022 as measured by the CPI-W for the Seattle-Tacoma-Bellevue area, resulted in increased cost of living adjustments (COLAs) and increased cost of goods and services. Inflation is expected to stay high through 2023, not returning to historical norms until 2024. Second, a recession is looking increasingly likely in 2023-2024, as the Federal Reserve tries to bring down resurgent inflation and the uncertainty around interest rate hikes resulted in increased layoffs in the tech industry. While the high level of development activity should minimize the negative economic impact of a recession, ongoing revenue growth is not projected to keep pace with ongoing expenditure growth in 2023-2024, with a 2.0-3.0% funding gap projected in the General Fund. If the City Council wants to maintain current service levels

Requests for Information

This financial report is designed to provide a general overview of the City of Redmond's finances for readers with an interest in the government's finances. Questions concerning any of the information provided in this report, or requests for additional information, may be addressed to the Director of Finance, City of Redmond, PO Box 97010, Redmond, WA 98073-9710.

CITY OF REDMOND
STATEMENT OF NET POSITION
DECEMBER 31, 2022

	Governmental	Business-Type	Total
	Activities	Activities	
ASSETS			
Cash and cash equivalents	\$ 126,826,204	\$ 63,161,770	\$ 189,987,974
Cash with outside agency	3,374,634	-	3,374,634
Investments (Note 3)	132,707,964	60,573,157	193,281,121
Receivables:			
Taxes	11,794,396	-	11,794,396
Accounts	3,279,063	6,611,637	9,890,700
Lease	1,073,147	119,114	1,192,261
Interest	519,011	248,973	767,984
Opioid settlement	1,040,489	-	1,040,489
Due from other governments	16,103,047	909,215	17,012,262
Inventory	56,066	212,998	269,064
Prepayments	1,592,007	-	1,592,007
Restricted assets:			
Deposit cash	1,112,831	57,973	1,170,804
Deposit investments	8,613,141	-	8,613,141
Revenue bond reserve	-	1,999,954	1,999,954
Rate stabilization fund	-	5,807,077	5,807,077
Noncurrent assets:			
Lease receivable	262,430	477,883	740,313
Net pension asset	36,087,517	2,303,626	38,391,143
Advance on service contract	-	7,020	7,020
Capital assets (Note 6):			
Land, artwork, construction in progress	210,856,770	59,477,876	270,334,646
Depreciable capital assets, net	313,774,824	337,821,430	651,596,254
Total assets	<u>869,073,541</u>	<u>539,789,703</u>	<u>1,408,863,244</u>
DEFERRED OUTFLOWS OF RESOURCES			
Debt refunding	2,213,026	200,719	2,413,745
Pensions	24,350,807	2,368,475	26,719,282
Asset retirement obligation (Note 20)	22,306	204,443	226,749
Total deferred outflows of resources	<u>26,586,139</u>	<u>2,773,637</u>	<u>29,359,776</u>
Total assets and deferred outflows of resources	<u>895,659,680</u>	<u>542,563,340</u>	<u>1,438,223,020</u>
LIABILITIES			
Payables:			
Accounts/claims	9,022,750	535,548	9,558,298
Retainage payable	926,684	75,426	1,002,110
Employee wages	3,462,557	443,380	3,905,937
Interest	170,185	31,532	201,717
Due to other governments	4,124,908	98,182	4,223,090
Unearned revenues	27,648,094	-	27,648,094
Customer deposits	8,236,391	57,973	8,294,364
Noncurrent liabilities (Note 11):			
Due within one year	16,285,752	2,597,174	18,882,926
Due in more than one year	54,749,957	19,752,798	74,502,755
Lease liability	2,861,171	174,619	3,035,790
Asset retirement obligation	259,935	498,437	758,372
Net pension liability	6,024,293	1,450,628	7,474,921
Total pension liability - firefighters' pension plan	513,444	-	513,444
Total OPEB liability	13,823,542	-	13,823,542
Total liabilities	<u>148,109,663</u>	<u>25,715,697</u>	<u>173,825,360</u>
DEFERRED INFLOWS OF RESOURCES			
Property taxes	291,959	-	291,959
Leases	1,300,225	596,805	1,897,030
OPEB	1,153,120	-	1,153,120
Pensions	22,694,393	2,426,692	25,121,085
Total deferred inflows of resources	<u>25,439,697</u>	<u>3,023,497</u>	<u>28,463,194</u>
Total liabilities and deferred inflows of resources	<u>173,549,360</u>	<u>28,739,194</u>	<u>202,288,554</u>
NET POSITION			
Net investment in capital assets (Note 6)	454,886,943	375,689,503	830,576,446
Restricted for:			
Net pension asset	38,309,450	2,320,723	40,630,173
Public safety	1,865,525	-	1,865,525
Cable access	12,766	-	12,766
Parks	338,356	-	338,356
Debt service	251,227	1,999,954	2,251,181
Capital projects	36,769,236	-	36,769,236
Impact fees	60,492,041	-	60,492,041
General governmental maintenance	115,266	-	115,266
Tourism	929,868	-	929,868
Planning-transportation	1,349,807	-	1,349,807
Recycling	1,235,707	-	1,235,707
Rate stabilization fund	-	5,807,077	5,807,077
Unrestricted	125,554,128	128,006,889	253,561,017
Total Net Position	<u>\$ 722,110,320</u>	<u>\$ 513,824,146</u>	<u>\$ 1,235,934,466</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF ACTIVITIES
For the Year Ended December 31, 2022

Function/Program	Program Revenues				Net (Expense) Revenue and Changes in Net Position		
	Expenses	Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total
Governmental activities:							
General government	\$ 25,937,292	\$ 602,200	\$ 63,643	\$ -	\$ (25,271,449)	\$ -	\$ (25,271,449)
Public safety	74,590,581	22,425,082	3,865,509	1,715,099	(46,584,891)	-	(46,584,891)
Transportation	20,879,932	636,603	2,637,203	17,450,519	(155,607)	-	(155,607)
Economic environment	13,678,923	50,861,053	4,060,986	-	41,243,116	-	41,243,116
Culture and recreation	11,686,300	2,291,597	261,457	2,886,127	(6,247,119)	-	(6,247,119)
Social services	4,205,278	-	-	-	(4,205,278)	-	(4,205,278)
Interest on long-term debt	2,114,452	-	-	-	(2,114,452)	-	(2,114,452)
Total governmental activities	153,092,758	76,816,535	10,888,798	22,051,745	(43,335,680)	-	(43,335,680)
Business-type activities							
Water/Wastewater	39,462,588	40,932,449	2,684,614	3,904,188	-	8,058,663	8,058,663
UPD Water/Wastewater	7,331,081	7,967,962	95,550	-	-	732,431	732,431
Stormwater	11,808,505	14,507,670	3,772,300	5,483,240	-	11,954,705	11,954,705
Total business-type activities	58,602,174	63,408,081	6,552,464	9,387,428	-	20,745,799	20,745,799
Total government	\$ 211,694,932	\$ 140,224,616	\$ 17,441,262	\$ 31,439,173	(43,335,680)	20,745,799	(22,589,881)
General revenues:							
Taxes							
Property					29,943,391	-	29,943,391
Sales					52,452,575	-	52,452,575
Business and occupation					18,711,701	-	18,711,701
Excise					9,238,187	-	9,238,187
Investment interest					3,524,188	1,705,978	5,230,166
Gain (loss) in change of fair value					(7,015,282)	(3,240,474)	(10,255,756)
Miscellaneous					7,076,453	271,726	7,348,179
Loss on disposal of capital assets					(98,803)	-	(98,803)
Transfers, internal activities					(404,238)	404,238	-
Total general revenues					113,428,172	(858,532)	112,569,640
Change in net position					70,092,492	19,887,267	89,979,759
Net position-beginning					652,286,582	493,936,879	1,146,223,461
Prior period adjustments (Note 21)					(268,754)	-	(268,754)
Net position-ending					\$ 722,110,320	\$ 513,824,146	\$ 1,235,934,466

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
BALANCE SHEET
GOVERNMENTAL FUNDS
December 31, 2022

	General Fund	Capital Investment Program Fund	Other Governmental Funds	Governmental Funds Total
ASSETS				
Cash and cash equivalents	\$ 45,761,627	\$ 53,352,449	\$ 19,424,029	\$ 118,538,105
Cash with outside agency	3,374,634	-	-	3,374,634
Investments	47,789,408	57,704,267	18,249,655	123,743,330
Receivables:				
Taxes	11,492,788	-	271,314	11,764,102
Accounts	706,345	1,632	2,571,086	3,279,063
Interest	205,394	200,747	82,146	488,287
Leases	1,099,721	-	235,856	1,335,577
Opioid settlement	-	-	1,040,489	1,040,489
Due from other funds	4,197,926	-	-	4,197,926
Due from other governments	4,898,093	5,603,083	5,601,871	16,103,047
Restricted assets:				
Deposit investments	5,850,051	3,188	2,759,902	8,613,141
Cash	454,814	658,017	-	1,112,831
Total assets	<u>\$ 125,830,801</u>	<u>\$ 117,523,383</u>	<u>\$ 50,236,348</u>	<u>\$ 293,590,532</u>
LIABILITIES, DEFERRED INFLOWS AND FUND BALANCES				
Liabilities:				
Accounts/claims payable	\$ 2,416,135	\$ 4,539,628	\$ 369,836	\$ 7,325,599
Retainage payable	89,321	837,363	-	926,684
Employee wages payable	2,681,757	27,961	482,344	3,192,062
Due to other funds	-	-	3,913,909	3,913,909
Due to other governments	3,790,123	63,225	102,043	3,955,391
Payable from restricted assets:				
Deposits payable	5,473,301	3,188	2,759,901	8,236,390
Unearned revenues	14,297,234	12,840,077	510,782	27,648,093
Total liabilities	<u>28,747,871</u>	<u>18,311,442</u>	<u>8,138,815</u>	<u>55,198,128</u>
Deferred Inflows of resources:				
Unavailable revenues	364,267	72,207	2,251,477	2,687,951
King County property taxes	291,959	-	-	291,959
Leases	1,068,101	-	232,123	1,300,224
Opioid settlement	-	-	962,956	962,956
Total deferred inflows	<u>1,724,327</u>	<u>72,207</u>	<u>3,446,556</u>	<u>5,243,090</u>
Fund balances: (Note 4)				
Non-spendable	31,620	-	3,732	35,352
Spendable:				
Restricted	1,669,890	72,846,661	28,574,493	103,091,044
Committed	10,337,800	-	10,410,574	20,748,374
Assigned	32,155,111	26,293,073	-	58,448,184
Unassigned	51,164,182	-	(337,822)	50,826,360
Total fund balances	<u>95,358,603</u>	<u>99,139,734</u>	<u>38,650,977</u>	<u>233,149,314</u>
Total liabilities, deferred Inflows, and fund balances	<u>\$ 125,830,801</u>	<u>\$ 117,523,383</u>	<u>\$ 50,236,348</u>	

Amounts reported for governmental activities in the Statement of Net Position are different because:	
Capital assets used in governmental activities are not financial resources and therefore not reported in the funds.	514,029,620
Internal service funds are used by management to charge the costs of certain activities, such as insurance, information services, and fleet maintenance to individual funds. The assets and liabilities of these internal service funds are included in governmental activities in the Statement of Net Position.	27,404,831
Some liabilities, including bonds, loans, and compensated absences payable, are not due and payable in the current period and therefore are not reported in the funds. (Note 2)	(70,418,465)
The net pension asset, net pension liability, total pension liability for firefighters' pension plan, and deferred inflows and deferred outflows are reported in the government-wide statement of net position but not in the governmental balance sheet. (Note 2)	14,294,113
Unavailable revenues are susceptible to full accrual in the government-wide statements, but are reported as deferred inflows in the governmental funds.	3,650,907
Net position of governmental activities	<u>\$ 722,110,320</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF REVENUES, EXPENDITURES
AND CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
FOR THE YEAR ENDED DECEMBER 31, 2022

	General Fund	Capital Investment Program Fund	Other Governmental Funds	Total Governmental Funds
REVENUES				
Taxes	\$ 99,862,574	\$ -	\$ 10,452,985	\$ 110,315,559
Licenses and permits	15,246,770	-	4,420,141	19,666,911
Contributions	4,317,759	1,161,127	86,346	5,565,232
Intergovernmental	6,173,178	8,247,904	216,801	14,637,883
Charges for services	15,749,471	27,573,424	12,427,800	55,750,695
Fines and forfeitures	278,875	-	48,600	327,475
Investment income	1,163,908	1,349,378	489,477	3,002,763
Net change in fair value of investment	(2,820,822)	(2,764,912)	(996,332)	(6,582,066)
Miscellaneous	2,768,001	847,914	530,925	4,146,840
Total revenues	<u>142,739,714</u>	<u>36,414,835</u>	<u>27,676,743</u>	<u>206,831,292</u>
EXPENDITURES				
Current:				
General government	23,793,473	626	-	23,794,099
Public safety	58,348,663	-	9,792,366	68,141,029
Transportation	13,997,147	-	736,267	14,733,414
Economic environment	8,540,190	-	5,367,579	13,907,769
Culture and recreation	10,800,770	-	1,610,530	12,411,300
Social services	4,057,845	-	110,820	4,168,665
Capital outlay	4,147,013	26,551,851	795,615	31,494,479
Debt service:				
Principal	451,646	-	3,526,429	3,978,075
Interest and debt issuance costs	205,011	137,963	1,485,665	1,828,639
Total expenditures	<u>124,341,758</u>	<u>26,690,440</u>	<u>23,425,271</u>	<u>174,457,469</u>
Excess (deficiency) of revenues				
Over (under) expenditures	<u>18,397,956</u>	<u>9,724,395</u>	<u>4,251,472</u>	<u>32,373,823</u>
OTHER FINANCING SOURCES (USES)				
G.O. bonds proceeds	-	14,015,000	-	14,015,000
Premium on G.O. bonds issued	-	2,124,840	-	2,124,840
Disposition of capital assets	13,737	-	57,741	71,478
Leases	3,479,539	-	186,095	3,665,634
Transfers in (Note 10)	3,159,066	9,908,086	3,906,208	16,973,360
Transfers out (Note 10)	(11,537,968)	(3,636,665)	(5,500,400)	(20,675,033)
Total other financing sources and uses	<u>(4,885,626)</u>	<u>22,411,261</u>	<u>(1,350,356)</u>	<u>16,175,279</u>
Net change in fund balances	<u>13,512,330</u>	<u>32,135,656</u>	<u>2,901,116</u>	<u>48,549,102</u>
Fund balances-beginning	81,846,273	67,004,078	36,018,615	184,868,966
Prior period adjustments (Note 21)	-	-	(268,754)	(268,754)
Fund balances-ending	<u>\$ 95,358,603</u>	<u>\$ 99,139,734</u>	<u>\$ 38,650,977</u>	<u>\$ 233,149,314</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES
IN FUND BALANCES OF GOVERNMENTAL FUNDS TO THE STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED DECEMBER 31, 2022

Amounts reported for governmental funds in the statement of activities are different because:

Net change in fund balances-total governmental funds.	\$ 48,549,102
Governmental funds report capital outlays as expenditures. However in the Statement of Activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense. This is the amount by which capital outlays of \$31,494,479 and contributions of \$4,407,850 exceeds depreciation expense of \$11,589,416 and disposals of \$368,941 in the current period.	23,851,143
Revenues in the Statement of Activities that do not provide current financial resources are not reported as revenues in the funds. (Note 2)	10,487,117
Repayment of long-term debt is an expenditure in the governmental funds, yet the repayment reduces long-term liabilities in the statement of net position. Governmental funds report the effect of premiums, discounts, and similar items when debt is first issued, whereas these amounts are deferred and amortized in the government-wide statement of activities:	(15,715,699)
Internal service funds are used by management to charge the costs of certain activities, such as insurance, information services, and fleet maintenance, to individual funds. The net revenue (expense) of certain internal service funds is reported with governmental activities.	4,055,741
Some expenses reported in the Statement of Activities do not require the use of current financial resources and therefore are not reported as expenditures in governmental funds. (Note 2)	(4,243,256)
Pension expenses reported in the governmental fund statements are not reported as expenditures in the statement of activities.	<u>3,108,344</u>
Change in net position of governmental activities.	<u>\$ 70,092,492</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
December 31, 2022

Page 1 of 2

	Business-type Activities				Governmental Activities Internal Service Funds
	Water/ Wastewater	UPD Water/ Wastewater	Stormwater Management	Totals	
ASSETS					
Current assets:					
Cash and cash equivalents	\$ 20,845,831	\$ 15,949,977	\$ 26,365,962	\$ 63,161,770	\$ 8,288,099
Investments	18,686,773	15,357,003	26,529,381	60,573,157	8,964,634
Accounts and contracts receivable	4,720,181	763,983	1,127,473	6,611,637	-
Lease receivable	72,561	46,553	-	119,114	-
Interest receivable	85,082	64,967	98,924	248,973	30,724
Due from other Governments	56,342	-	852,873	909,215	-
Inventory	212,998	-	-	212,998	56,066
Prepaid insurance	-	-	-	-	1,592,007
Restricted assets:					
Cash and cash equivalents	15,873	32,000	10,100	57,973	-
Revenue Bond Reserve:					
Investments	-	-	1,999,954	1,999,954	-
Rate stabilization fund:					
Investments	3,877,811	1,929,266	-	5,807,077	-
Total current assets	48,573,452	34,143,749	56,984,667	139,701,868	18,931,530
Noncurrent assets:					
Lease receivable, non-current	85,306	392,577	-	477,883	-
Net pension asset	1,371,476	-	932,150	2,303,626	1,295,760
Advance on service contract	5,568	1,452	-	7,020	-
Capital assets:					
Land and land rights	3,241,751	3,274,106	19,285,919	25,801,776	584,292
Buildings	25,377,864	11,031,564	1,549,496	37,958,924	715,786
Improvements other than buildings	210,357,109	66,569,000	163,260,533	440,186,642	356,198
Intangible Assets	1,124,883	-	-	1,124,883	-
Equipment	857,444	267,674	665,330	1,790,448	16,880,133
Construction in progress	20,822,740	892,078	10,836,399	32,551,217	2,705,441
Right to use leased assets, net of amortization	37,485	182,283	-	219,768	-
Less accumulated depreciation	(81,859,781)	(24,925,411)	(35,549,160)	(142,334,352)	(10,639,877)
Total capital assets (net of depreciation)	179,959,495	57,291,294	160,048,517	397,299,306	10,601,973
Total noncurrent assets	181,421,845	57,685,323	160,980,667	400,087,835	11,897,733
Total assets	229,995,297	91,829,072	217,965,334	539,789,703	30,829,263
Deferred outflow of resources:					
Pensions	1,234,610	159	1,133,706	2,368,475	1,327,920
Asset retirement obligations	204,443	-	-	204,443	-
Refunding bonds	-	-	200,719	200,719	-
Total deferred outflows of resources	1,439,053	159	1,334,425	2,773,637	1,327,920
Total assets and deferred outflows of resources	\$ 231,434,350	\$ 91,829,231	\$ 219,299,759	\$ 542,563,340	\$ 32,157,183

The notes to the financial statements are an integral part of this statement

CITY OF REDMOND
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
December 31, 2022

Page 2 of 2

	Business-type Activities				Governmental Activities Internal Service Funds
	Water/ Wastewater	UPD Water/ Wastewater	Stormwater Management	Totals	
LIABILITIES					
Current liabilities:					
Accounts payable	\$ -	\$ 155,257	\$ 380,291	\$ 535,548	\$ 1,697,152
Retainage payable	47,931	19,838	7,657	75,426	-
Employee wages payable	247,967	-	195,413	443,380	270,497
Compensated absences	622,199	34	451,064	1,073,297	641,006
Due to other governments	55,623	495	42,064	98,182	169,517
Due to other funds	-	-	-	-	284,017
Lease liability	2,719	13,222	-	15,941	-
Current portion of loans payable	-	-	212,936	212,936	-
Current portion of revenue bonds payable	-	-	1,295,000	1,295,000	-
Accrued interest payable	96	467	30,969	31,532	-
Current liabilities payable from restricted assets:					
Customer deposits payable	15,873	32,000	10,100	57,973	-
Total current liabilities	992,408	221,313	2,625,494	3,839,215	3,062,189
Noncurrent liabilities:					
Revenue bonds payable, net	-	-	16,593,497	16,593,497	-
Loans payable	-	-	2,890,976	2,890,976	-
Compensated absences	155,550	9	112,766	268,325	160,251
Lease liability	29,784	144,835	-	174,619	-
Asset retirement obligations	498,437	-	-	498,437	-
Net pension liability	451,390	1,297	997,941	1,450,628	333,262
Total noncurrent liabilities	1,135,161	146,141	20,595,180	21,876,482	493,513
Total liabilities	2,127,569	367,454	23,220,674	25,715,697	3,555,702
Deferred inflow of resources:					
Pensions	1,479,300	198	947,194	2,426,692	1,196,650
Lease GASB 87	173,514	423,291	-	596,805	-
Total deferred inflows of resources	1,652,814	423,489	947,194	3,023,497	1,196,650
Total liabilities and deferred inflows of resources	3,780,383	790,943	24,167,868	28,739,194	4,752,352
NET POSITION					
Net investment in capital assets	179,619,860	57,112,053	138,957,590	375,689,503	10,351,593
Restricted for net pension asset	1,201,191	-	1,119,532	2,320,723	1,466,100
Restricted for debt service	-	-	1,999,954	1,999,954	-
Restricted for rate stabilization	3,877,811	1,929,266	-	5,807,077	-
Unrestricted	42,955,105	31,996,969	53,054,815	128,006,889	15,587,138
Total net position	\$ 227,653,967	\$ 91,038,288	\$ 195,131,891	\$ 513,824,146	\$ 27,404,831

The notes to the financial statements are an integral part of this statement

CITY OF REDMOND
STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
For the Year Ended December 31, 2022

	Water/ Wastewater	Business-type Activities- Enterprise Funds UPD Water/ Wastewater	Stormwater Management	Totals	Governmental Activities- Internal Service Funds
Operating revenues:					
Charges for services	\$ 23,663,159	\$ 5,513,701	\$ 14,507,670	\$ 43,684,530	\$ 24,685,419
Metro service	17,269,290	2,454,261	-	19,723,551	-
Charges for replacement	-	-	-	-	2,834,073
Charges for insurance	-	-	-	-	1,738,536
Total operating revenues	<u>40,932,449</u>	<u>7,967,962</u>	<u>14,507,670</u>	<u>63,408,081</u>	<u>29,258,028</u>
Operating expenses:					
Administrative and general	3,358,868	636,176	4,927,094	8,922,138	-
Purchased water	9,172,534	1,383,832	-	10,556,366	-
Metro service	16,329,122	2,470,121	-	18,799,243	-
Supplies	-	-	-	-	810,591
Maintenance and operations	5,327,033	1,241,758	3,348,190	9,916,981	27,964,346
Taxes	906,193	194,453	298,821	1,399,467	-
Depreciation and amortization	4,368,742	1,404,274	2,899,903	8,672,919	1,655,549
Total operating expenses	<u>39,462,492</u>	<u>7,330,614</u>	<u>11,474,008</u>	<u>58,267,114</u>	<u>30,430,486</u>
Operating income (loss)	<u>1,469,957</u>	<u>637,348</u>	<u>3,033,662</u>	<u>5,140,967</u>	<u>(1,172,458)</u>
Nonoperating revenues (expenses):					
Interest and investment revenue	596,521	412,111	697,346	1,705,978	198,664
Net change in fair value of the investment	(1,071,161)	(815,224)	(1,354,089)	(3,240,474)	(433,216)
Grant income	146,319	-	2,277,591	2,423,910	-
Interest expense	(96)	(467)	(334,497)	(335,060)	-
Gain (Loss) on disposal of capital assets	-	-	-	-	198,660
Insurance recovery	-	-	-	-	1,442,386
Lease and other revenue	191,889	79,837	-	271,726	524,270
Total nonoperating revenues (expenses)	<u>(136,528)</u>	<u>(323,743)</u>	<u>1,286,351</u>	<u>826,080</u>	<u>1,930,764</u>
Income before contributions and transfers	<u>1,333,429</u>	<u>313,605</u>	<u>4,320,013</u>	<u>5,967,047</u>	<u>758,306</u>
Capital contributions	6,442,483	95,550	6,977,949	13,515,982	-
Transfers in	-	-	594,695	594,695	3,297,435
Transfers out	-	-	(190,457)	(190,457)	-
Change in net position	<u>7,775,912</u>	<u>409,155</u>	<u>11,702,200</u>	<u>19,887,267</u>	<u>4,055,741</u>
Total net position - beginning, as previously reported	<u>219,878,055</u>	<u>90,629,133</u>	<u>183,429,691</u>	<u>493,936,879</u>	<u>23,349,090</u>
Total net position - ending	<u>\$ 227,653,967</u>	<u>\$ 91,038,288</u>	<u>\$ 195,131,891</u>	<u>\$ 513,824,146</u>	<u>\$ 27,404,831</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
For the Year Ended December 31, 2022

Page 1 of 2

	Water/ Wastewater	Enterprise Funds UPD Water/ Wastewater	Stormwater Management	Totals	Governmental Activities- Internal Service Funds
CASH FLOWS FROM OPERATING ACTIVITIES					
Cash received from customers	\$ 41,117,440	\$ 7,894,952	\$ 14,446,515	\$ 63,458,907	\$ 26,425,830
Cash received for replacement	-	-	-	-	2,834,073
Cash payments to suppliers	(27,338,907)	(4,134,803)	(1,640,189)	(33,113,899)	(6,941,711)
Cash payments to employees	(5,029,128)	(390)	(4,102,097)	(9,131,615)	(21,815,121)
Taxes payments to other governments	(894,288)	(193,958)	(1,174,634)	(2,262,880)	21,134
Payments for interfund services	(2,090,017)	(1,631,684)	(2,796,988)	(6,518,689)	(719,894)
Other operating receipts	214,635	90,832	-	305,467	1,966,656
Net cash provided (used) by operating activities	<u>5,979,735</u>	<u>2,024,949</u>	<u>4,732,607</u>	<u>12,737,291</u>	<u>1,770,967</u>
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES					
Transfers in/transfers out	-	-	404,238	404,238	3,297,435
Grant proceeds	149,577	-	367,968	517,545	-
Net cash provided by noncapital financing activities	<u>149,577</u>	<u>-</u>	<u>772,206</u>	<u>921,783</u>	<u>3,297,435</u>
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES					
Acquisition and construction of capital assets	(5,899,820)	(425,322)	(4,829,948)	(11,155,090)	(893,768)
Capital contributions	4,046,373	-	3,462,358	7,508,731	-
Grant Proceeds	-	-	3,197,297	3,197,297	-
Interest paid on other debt	-	-	(85,217)	(85,217)	-
Principal paid on other debt	-	-	(207,477)	(207,477)	-
Interest paid on revenue bonds	-	-	(421,059)	(421,059)	-
Principal paid on revenue bonds	-	-	(1,245,000)	(1,245,000)	-
Net cash provided (used) for capital and related financing activities	<u>(1,853,447)</u>	<u>(425,322)</u>	<u>(129,046)</u>	<u>(2,407,815)</u>	<u>(893,768)</u>
CASH FLOWS FROM INVESTING ACTIVITIES					
Investment sales/maturities	13,365,527	16,182,029	19,017,226	48,564,782	6,409,374
Investment purchases	(10,775,175)	(13,045,815)	(15,331,527)	(39,152,517)	(7,025,039)
Interest on investments	555,957	362,102	663,762	1,581,821	185,242
Net cash provided (used) in investing activities	<u>3,146,309</u>	<u>3,498,316</u>	<u>4,349,461</u>	<u>10,994,086</u>	<u>(430,423)</u>
Net increase (decrease) in cash and cash equivalents	7,422,174	5,097,943	9,725,228	22,245,345	3,744,211
Cash and cash equivalents-beginning of year	13,439,530	10,884,034	16,650,834	40,974,398	4,543,888
Cash and cash equivalents-end of year	<u>\$ 20,861,704</u>	<u>\$ 15,981,977</u>	<u>\$ 26,376,062</u>	<u>\$ 63,219,743</u>	<u>\$ 8,288,099</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND

STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS

For the Year Ended December 31, 2022

Page 2 of 2

	Water/ Wastewater	Enterprise UPD Water/ Wastewater	Stormwater Management	Totals	Governmental Activities- Internal Service Funds
Cash and cash equivalents					
Operating fund cash	\$ 20,845,831	\$ 15,949,977	\$ 26,365,962	\$ 63,161,770	\$ 8,288,099
Customer deposits	15,873	32,000	10,100	57,973	-
Cash and cash equivalents-end of year	<u>\$ 20,861,704</u>	<u>\$ 15,981,977</u>	<u>\$ 26,376,062</u>	<u>\$ 63,219,743</u>	<u>\$ 8,288,099</u>

Reconciliation of operating income to net cash provided by operating activities:

Operating income (loss)	\$ 1,469,957	\$ 637,348	\$ 3,033,662	\$ 5,140,967	\$ (1,172,458)
Adjustments to reconcile operating income to net cash provided by operating activities:					
Depreciation and amortization					
Other receipts	4,368,742	1,404,274	2,899,903	8,672,919	1,655,549
Decrease (increase) in accounts receivable	214,635	90,832	-	305,467	1,966,656
Decrease (increase) in inventory	185,491	(73,011)	(61,155)	51,325	1,875
Decrease (increase) in lease asset	(34,680)	-	-	(34,680)	21,401
Decrease (increase) in prepaid expenses	(4,982)	(24,226)	-	(29,208)	-
Decrease (increase) in deferred outflows	-	-	(757,912)	(757,912)	(646,842)
Decrease (increase) in net pension assets	(924,966)	-	1,800,123	875,157	(1,016,312)
Increase (decrease) in accounts payable	2,196,895	(10,373)	(99,722)	3,997,018	2,586,450
Increase (decrease) due to other governments	-	495	(875,815)	(875,320)	(115,948)
Increase (decrease) due to other funds	11,905	-	-	(863,415)	21,134
Increase (decrease) in unearned revenues	-	-	-	-	247,476
Increase (decrease) in employee wages payable	(29,111)	-	-	(29,111)	-
Increase (decrease) in compensated absences payable	63,740	(406)	37,486	100,820	64,756
Increase (decrease) in customer deposits payable	310,013	16	266,579	576,608	355,374
Increase (decrease) in retainage payable	(500)	-	-	(500)	-
Increase (decrease) in deferred inflows	(3,917)	-	-	(3,917)	-
Increase (decrease) in pension liability	(2,280,687)	-	(1,868,782)	(4,149,469)	(2,505,921)
Net cash provided (used) by operating activities	<u>437,200</u>	<u>-</u>	<u>358,240</u>	<u>795,440</u>	<u>307,777</u>
	<u>\$ 5,979,735</u>	<u>\$ 2,024,949</u>	<u>\$ 4,732,607</u>	<u>\$ 12,737,291</u>	<u>\$ 1,770,967</u>
Noncash investing, capital and financing activities:					
Developers contributed infrastructure valued at	\$ 2,396,110	\$ 95,550	\$ 3,515,590	\$ 6,007,250	\$ -
Fair value of investments decreased by	(1,071,161)	(815,224)	(1,354,089)	(3,240,474)	(433,216)

The notes to the financial statements are an integral part of this statement.

NOTES TO THE FINANCIAL STATEMENTS

NOTE 1:

Summary of Significant Accounting Policies

The City of Redmond was incorporated on December 31, 1912 and operates under the laws of the State of Washington applicable to a Non-Charter Mayor/Council form of government (elected Mayor and City Council composed of seven members). Both Mayor and Council are elected to four-year terms. The City provides general government services including public safety, highways and streets, parks and recreation, planning and zoning, permits and inspection, sanitation, general administrative, and water and wastewater services.

The accounting and reporting policies of the City of Redmond conform to generally accepted accounting principles for governments and are regulated by the Washington State Auditor's Office.

The City's Annual Financial Report (AFR) is prepared in accordance with Governmental Accounting Standards Board (GASB) Statements and the following notes detail the City's significant accounting policies.

Reporting Entity

The City's AFR includes the financial statements for the City of Redmond and its component units; entities for which the City is considered to be financially accountable. The City has two blended component units, Redmond Community Facilities District 2014-1 (CFD 2014-1), which was created in 2014 for the purpose of financing the construction of a pedestrian/bicycle bridge over SR 520 at the Overlake Transit Station, and Redmond Community Facilities District 2016-1 (CFD 2016-1), which was created in 2016 for the purpose of financing northeast 40th Street Trunkline Project and multimodal improvements on 154th Avenue northeast and northeast 51st Street, and northeast 31st Street and 156th Avenue northeast. The CFDs are reported as blended component units in the Capital Investments Program funds of the City of Redmond because the City appoints a majority of the Board members, has the ability to impose its will on the organizations through the ability to appoint, hire, reassign or dismiss those persons responsible for the day-to-day operation of the organizations, and the CFD's services are primarily provided to the City. (See Note 14 - Component Units for additional information.)

Basic Financial Statements

The City's basic financial statements consist of government-wide statements, including a Statement of Net Position and a Statement of Activities, and fund financial statements which provide a more detailed level of financial information.

The government-wide financial statements report information on all of the activities of the primary government and its component units. To the extent possible, the effect of inter-fund activity has been removed from these statements. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely primarily on fees and charges for support.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segments are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function or segment. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function or segment and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported instead as general revenues.

Separate fund financial statements are provided for governmental funds, proprietary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds and all individual enterprise funds are reported as separate columns in the fund financial statements.

Measurement Focus and Basis of Accounting

The government-wide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, as are the proprietary fund financial statements. Revenues are recorded when earned, and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the City considers revenues to be available if they are collected within 60 days of the end of the current fiscal period. In unusual circumstances, where payment has been delayed beyond the 60-day cut off, the City may recognize the revenue base on normal collection patterns as to not mislead the reader or distort revenue trends from one year to the next. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due.

Under the modified accrual basis of accounting, property taxes, sales taxes, utility taxes, franchise taxes, and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current period. Grant revenue is recognized for cost reimbursement grants when the expenditure occurs in accordance with GASB Statement 33. When the expenditure is incurred, grant revenue is considered to have been earned and therefore available and recognized as revenue. Entitlement grant revenue is not tied to expenditures and is recognized when the City is entitled to receive it according to the grant agreement.

Financial Statement Presentation

The City reports the following major governmental funds:

The **General Fund** is the general operating fund of the City. It accounts for all financial resources and transactions except those required to be accounted for in another fund. The **Firefighters Pension Plan** is reported in the General Fund, as conveyed in Note 7 – Pensions.

Advanced Life Support Fund a special revenue fund accounts for the provision of Advanced Life Support (ALS) services (paramedic) within the City and Fire District 34 areas. The City provides these services in contract with King County Medic One and the County provides the resources for this service.

The **Capital Investments Program Fund** accounts for financial resources to be used for the acquisition, construction, and preservation of major capital facilities other than those financed by proprietary funds.

The City reports the following major proprietary funds:

The **Water/Wastewater Fund** accounts for the activities of providing water and sewer services to its citizens. The utilities operations are self-supported through user charges.

The **UPD Water/Wastewater Fund** accounts for the activities of providing water and sewer services to an urban planned development outside the City limits. The utilities' operations are self-supported through user charges.

The **Stormwater Management Fund** accounts for the operation, construction, and maintenance of the City's stormwater management system. The utility's operations are self-supported through fees.

Additionally, the City reports the following fund types:

Internal Service Funds account for fleet maintenance, information technology, and insurance services provided to other departments of the City on a cost reimbursement basis.

Special Revenue Funds are used to account for specific revenues that are restricted to or reserved for expenditures for particular purposes.

Debt Service Funds account for the accumulation of resources for and the payment of general obligation and special assessment bonds.

As a general rule the effect of interfund activity has been eliminated from the government-wide financial statements. Direct expenses of the functional categories are included in the government-wide Statement of Activities while indirect expense allocations are eliminated. Indirect expenses are primarily charged to the various functions through the use of internal service funds for fleet maintenance and information technology. Elimination of payments to internal service funds are treated as expense reductions. No other indirect expenses are allocated to the various governmental functions. Exceptions to this general rule are payments-in-lieu of taxes and other charges between the government's utility functions and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

Amounts reported as program revenues include 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions, and 3) capital grants and contributions, including special assessments. Internally dedicated resources are reported as general revenues rather than as program revenues. Likewise, general revenues include all taxes.

The proprietary fund statements distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the City's utility funds and internal service funds are charges to customers for sales and services, vehicle replacement, and insurance. The City also recognizes as operating revenue the portion of utility connection fees intended to recover the cost of connecting new customers to the water and sewer system. Operating expenses for enterprise funds and internal service funds include the cost of sales and services, administrative expenses, taxes, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

Budgets and Budgetary Accounting

The City of Redmond budgets its funds in accordance with the Revised Code of Washington (RCW) 35A.34. In compliance with the code, budgets for all funds are established with the exception of the Local Improvement District (LID) Control and the LID Guaranty Debt Service Funds. Budgets established for proprietary funds are "management budgets" and as such are not required to be shown in this report.

The biennial budget is proposed by the Mayor and adopted by the City Council with legal budgetary control at the fund level for all funds. Expenditures and other financing uses may not exceed budgeted appropriations at these levels. The Mayor may authorize transfers within all funds. The City Council must approve by ordinance any additional appropriations which increase the total at the fund level. Any unexpended appropriation balances lapse at the end of the biennium.

In addition to authorizing the budget, the City Council biennially approves the Capital Investments Program and Business Technology Investment Program. This is a six-year plan for capital and technology project expenditures and anticipated revenue sources. Expenditures and revenues for these projects are budgeted in the Capital Projects Funds Enterprise Funds and Internal Service Funds.

The City prepares all biennial budgets on the modified accrual basis which conforms to generally accepted accounting principles. The AFR includes budgetary comparisons for the general and capital projects governmental funds with legally adopted budgets.

The budget process and the time limits under which a budget must be developed are established by State law. The City uses a "budgeting for outcomes" format and follows the procedures outlined below in the year preceding the first year of the two-year budget to establish its biennial budget:

- In winter, community meetings are held to affirm or revise the City's budget priorities. The Mayor appoints staff and citizens to teams which interpret these priorities and develop the primary factors that the City should support to pursue the given priority. These factors are used by staff to develop budget offers.

- In spring, the Mayor develops and submits a budget calendar to the City Council for approval.
- In June, the City Clerk publishes notice for the first public hearing. Also, around mid-year staff prepares a six-year forecast and reviews this forecast with the City Council at a public meeting.
- Throughout the summer, City staff create budget offers and review revenue and expenditure estimates.
- In October, preliminary budget estimates are made available to the public.
- Sixty days before the ensuing fiscal year, the Mayor files the preliminary budget with the City Clerk's office.
- During the first two weeks of November, the City Clerk publishes notice of the filing of the preliminary budget and publishes notice of public hearings.
- The City Council holds a series of study sessions to review the preliminary budget to determine if they wish to make any modifications to the Mayor's recommended programs.
- Public hearings are held prior to the adoption of the budget for the public to comment on recommended programs and to offer ideas for new programs.
- Prior to the beginning of the first calendar year of the biennial budget, the City Council, by a majority of the members present, adopts a final operating budget by ordinance.
- The Final Budget document is printed and distributed and posted on the City's website after adoption.

Assets, Liabilities, and Net Position

Cash and Investments

It is the City's policy to invest temporary cash surpluses. These investments are reported on the Statement of Net Position and the governmental funds Balance Sheet as cash and cash equivalents or investments. Included in cash and cash equivalents are currency on hand, demand deposits with banks or other financial institutions, investments with the Local Government Investment Pool, investments in U.S. Government Mutual Funds and investments with original maturities of three months or less. Interest is allocated to each fund on the basis of investments owned.

In accordance with City policy and Washington State law, authorized investment purchases include Certificates of Deposit with financial institutions qualified by the Washington Public Deposit Protection Commission, US Treasury and Agency Securities, Bankers' Acceptances, Bonds of Washington State and any local government in Washington State which have, at the time of purchase, one of the three highest credit ratings of a nationally recognized rating agency, repurchase agreements, the State Investment Pool and mutual funds used specifically for debt issues related to arbitrage.

The City reports its deposit and investment risk disclosures in accordance with GASB 40 and GASB 72 (see Note 3).

In accordance with GASB 31 and GASB 79, money market investments, and participating interest-earning investment contracts with remaining maturities of one year or less at the time of purchase are stated at amortized cost. All other investments are stated at fair value.

Receivables

The City of Redmond recognizes receivables in its financial statements based on the accounting requirements for that statement. These receivables are as follows:

Property Taxes

The City's property tax collections records show that approximately 99% of the property taxes due are collected during the year of levy and delinquent taxes are collected in the next few years. The City performs an analysis of all uncollected property taxes to test materiality of the uncollected balance as well as the collectability. Based on this analysis the City will determine the classification of the uncollected portion of property taxes; revenue versus uncollected property taxes. When property taxes become three years

delinquent, the County is required by State statute to foreclose on the property. Historically, all taxes have been collected; therefore, no allowance for uncollectible taxes is recorded.

Sales Taxes

There is a running two-month lag in remittance of sales tax to the City. Sales taxes collected in November and December are not remitted by the State to the City until January and February of the following year and they are reported as receivables at year-end. There is no allowance for uncollectible sales taxes because all sales taxes are required by law to be collected by businesses at the time of sale and remitted to the State.

Investment Interest

Interest receivable consists of interest earned on investments at the end of the year, accrued interest on investments purchased between interest dates, and accrued interest and penalties on special assessments receivable. In proprietary funds and the government-wide Statement of Net Position, investment interest is recorded as receivable, regardless of its payment date. In the governmental fund statements and schedules, investment interest is recorded as receivable if it will be paid to the City within 60 days of year-end.

Accounts Receivable

Customer accounts receivable consist of amounts owed by private individuals or organizations for goods and services provided. Unbilled services provided to utility customers are estimated at year-end and included in accounts receivable. Uncollectible amounts are considered immaterial and the direct write-off method is used.

Interfund Transactions

Activity between funds that is representative of lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as either "due to/from other funds" (i.e. the current portion of interfund loans) or "advances to/from other funds" (i.e. the non-current portion of interfund loans). All other outstanding balances between funds are reported as "due to/from other funds". Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances."

Inventories

Inventories are defined as assets which may be held for internal consumption or for resale. The City uses the following policies in valuing and recording inventory items:

In proprietary funds a perpetual inventory is maintained, in which the cost is held in an asset account when inventory items are purchased, and expensed when the item is consumed. The first-in, first-out valuation method, which approximates market, is used to value the inventory. A physical inventory is taken at year-end. No inventory is maintained in governmental funds; however, the internal service fund inventories are included in the "Governmental Activities" on the Statement of Net Position.

Restricted Assets

Restricted assets include those monies reserved for customers' deposits, bond reserve monies and impact fees.

Advance on Service Contract

For fiscal years prior to December 31, 2012, the City amortized under guidance provided by FASB 71 the Tolt Pipeline project and the Tolt Meter project with the City of Seattle. In further review, this is not a deferred outflow of resources but rather an advance on a service contract.

Capital Assets

General capital assets are those assets not specifically related to activities reported in the proprietary funds. These assets generally result from expenditures in the governmental funds. These assets are reported in the governmental activities column of the government-wide Statement of Net Position but are not reported in the fund financial statements. Capital assets utilized by the proprietary funds are reported both in the business-type activities column of the government-wide Statement of Net Position and in the respective funds. Capital assets are defined by the City as land, buildings, machinery, equipment, software, vehicles, transportation and utility infrastructure and other improvements with an original cost of \$10,000 or more each and an estimated useful life of more than one year, and all artwork regardless of its initial cost. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at acquisition value at the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed.

Land, construction in progress, and works of art are not depreciated. Property, plant, and equipment of the City are depreciated using the straight-line method over the following estimated useful lives:

<u>Asset</u>	<u>Years</u>
Buildings/Building improvements	50
Other improvements	15-50
Vehicles	3-15
Machinery and equipment	6-20
Utility infrastructure	10-100
Streets, paths, trails	50
Street lights and traffic signals	30

Compensated Absences

It is the City's policy to permit employees to accumulate earned but unused vacation, compensatory time in lieu of overtime and sick leave benefits. Twenty-five percent of unused sick leave is payable at retirement or death. Any outstanding sick leave is lost at resignation; therefore, outstanding sick leave at year-end is not accrued because the payment cannot be deemed probable nor can the amount be reasonably estimated. All vacation and compensatory time is accrued when incurred in the government-wide and proprietary fund financial statements. A liability for these amounts is reported in governmental funds only if they have matured, for example, as a result of employee resignations and retirements.

Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the net position of all state sponsored pension plans and additions to/deductions from those plans net position have been determined on the same basis as they are reported by the Washington State Department of Retirement Systems. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

For purposes of calculating the restricted net position related to the net pension asset, the City includes the net pension asset and the related deferred outflows and deferred inflows.

Other Post-Employment Benefits (OPEB)

Lifetime full medical coverage is provided to uniformed Police and Fire personnel who became members of the Law Enforcement Officers and Fire Fighters (LEOFF 1) retirement system prior to October 1, 1977. The actual medical costs are reported as expenditures in the year they are incurred and are paid out of the General Fund. A liability for the accumulated unfunded actuarially required contribution and deferred outflow of resources is reported in the Statement of Net Position. For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB the City used the alternative measurement method.

Deferred Outflows/Inflows of Resources

In addition to assets, the Statement of Net Position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, *deferred outflows of resources*, represents a consumption of net assets that applies to future periods and so will *not* be recognized as an outflow of resources (expense/expenditure) until then. The City has three items that qualify for reporting in this category:

- Deferred charges on debt refunding result from the difference in the carrying value of refunded debt and the reacquisition price. This amount is deferred and amortized over the shorter of the life of the refunded or refunding debt. Deferred outflows related to debt is discussed in detail in Note 11: Long-Term Obligations;
- Deferred outflows related to pension plans are discussed in detail in Note 7: Pension Plans; and
- Deferred outflows related to other postemployment benefits are discussed in detail in Note 8: Defined Benefit Other Postemployment Benefits.

In addition to liabilities, the Statement of Net Position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, *deferred inflows of resources*, represents an acquisition of net assets that applies to future periods and so will not be recognized as an inflow of resources (revenue) until that time. The City reports the following items that qualify for reporting in this category:

- Deferred inflows related to pension plans, discussed in detail in Note 7: Pension Plans;
- Deferred inflows related to other post-employment benefits, discussed in detail in Note 8: Other Postemployment Benefits; and
- Unavailable revenue from property taxes.

Long-Term Obligations

In the government-wide financial statements and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type Statement of Net Position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the straight-line method. Bonds payable are reported net of the applicable bond premium or discount.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

Leases

The City is a lessee on a variety of leases. The lease liability and a lease asset are measured at the commencement of the lease term. The lease liability is measured at the present value of payments expected to be made during the noncancellable lease term and uses the stated discount rate or if the rate is not readily available, the incremental borrowing rate is used.

The City reduces the lease liability by the principal portion of the payments received and recognizes an outflow of resources for interest on the liability. The lease asset is amortized on a straight-line basis over the lease term.

The City is a lessor on multiple leases. The City recognizes a lease receivable and a deferred inflow of resources at the commencement of the lease term. The lease receivable is measured at the present value of lease payments expected to be received during the lease term and uses the stated discount rate or the incremental borrowing rate if the discount rate is not known. The deferred inflow of resources are measured at the value of the lease receivable.

The City recognizes interest revenue on the lease receivable and an inflow of resources from the deferred inflows of resources over the term of the lease. The lease receivable is reduced by the principal payments received and the deferred inflow of resources is recognized as revenue over the life of the lease term.

Fund Balance

In the fund financial statements, governmental funds report reservations of fund balance for amounts that are not available for appropriation or are legally restricted by outside parties for use for a specific purpose. Fund balances are categorized as Nonspendable or Spendable amounts as follows:

Nonspendable Fund Balance: fund resources that are in a form that either *never* could be spent or in a form that is *temporarily* not spendable. This can include resources that are spendable in form but are under legal restrictions that temporarily or permanently bar spending.

Spendable amounts are further segregated into categories based on the degree to which the uses of resources are constrained.

- *Restricted Fund Balance:* fund resources that are subject to restrictions that are *legally enforceable* by *outside parties*. This includes resources raised through enabling legislation.
- *Committed Fund Balance:* fund resources that are legally limited by the resolution by the City Council. A resolution must be taken to impose limitations on the use of these resources, and another resolution is required to modify or eliminate those limitations.
- *Assigned Fund Balance:* fund resources that are limited by the mayor, or department directors based on delegation, for its intended use. This type of limitation can be imposed by the highest level of decision making within the entity or a designee, but little or no formal action is required to modify or eliminate those limitations.
- *Unassigned Fund Balance:* Unrestricted fund balance not committed or assigned in the General Fund is considered unassigned. Also, negative fund balance in any other governmental fund is unassigned. The City only reports positive unassigned fund balance in the General Fund.

Flow assumption: When expenditure is incurred for purposes for which both restricted and unrestricted resources are available, it is the City's policy to use restricted resources first. When expenditure is incurred for purposes for which unrestricted (committed, assigned, and unassigned) resources are available, and amounts in any of these unrestricted classifications could be used, it is the City's policy to spend committed resources first, then assigned and unassigned, in that order. However, prior to the commencement of any project, the flow assumption is reviewed to ensure that the proper resources are being used.

NOTE 2:
Reconciliation of Government-Wide and Fund Financial Statements

Explanation of aggregated differences between the governmental fund balance sheet and the government-wide statement of net position

The governmental fund balance sheet includes reconciliation between total fund balance and total net position as reported in the government-wide statement of net position. The details of the aggregated differences are presented below.

Some liabilities, including bonds, loans and compensated absences payable, are not due and payable in the current period and therefore are not reported in the funds:

GO Bonds payable	\$	(51,105,000)
Unamortized bond premiums		(4,050,315)
Deferred outflows on refunding		2,213,026
Loans payable		(850,057)
Lease payable		(3,262,010)
Accrued interest payable		(170,185)
Compensated absences		(13,193,924)
Net adjustment to reduce fund balance-total governmental		
funds to arrive at net position – governmental activities	\$	(70,418,465)

The net pension asset, net pension liability, and deferred inflows and deferred outflows are reported in the government-wide statement of net position but not in the governmental balance sheet:

Net pension asset	\$	34,791,757
Deferred outflows of resources		21,892,073
Other post-employment benefits		(14,457,858)
Asset retirement obligations		(259,935)
Net pension liability		(5,691,031)
Total pension liability-FPP		(513,444)
Deferred inflows of resources		(21,467,449)
Net adjustment to reduce fund balance-total governmental		
funds to arrive at net position – governmental activities	\$	14,294,113

Unavailable revenues are susceptible to full accrual in the government-wide statements and are reported as deferred inflows in the government funds:

Unavailable revenue	\$	3,650,907
Adjustment		(1,521,785)
Net adjustment to reduce fund balance-total governmental funds to arrive at net position – governmental activities	\$	<u>2,129,122</u>

Explanation of aggregated differences between the governmental fund statement of revenues, expenditures, and changes in fund balances and the government-wide statement of activities.

The governmental fund statement of revenues, expenditures, and changes in fund balances includes reconciliation between net changes in fund balances – total governmental funds and changes in net position of governmental activities as reported in the government-wide statement of activities. The details of the aggregated differences are presented below.

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds:

Developer/Private asset contributions	\$	8,327,701
King County property tax accrual		<u>30,294</u>
Net adjustment to increase net change in fund balances - governmental funds to arrive at change in net position- governmental activities	\$	<u>8,357,995</u>

Repayment of the principal of long-term debt consumes the current financial resources of governmental funds, and governmental funds report the effect of premiums, discounts, and similar items when debt is first issued, whereas these amounts are deferred and amortized in the government-wide statement of activities:

Principal repayments (Changes/Net Differences):

General obligation bonds	\$	(10,535,000)
Public Works Trust Fund Loans repayment		94,451
Amortization/(addition) of debt premiums		(1,802,078)
Amortization of deferred outflows on refunding		(211,062)
GASB 87 long-term debt issuance		(3,665,634)
GASB 87 principal payments on long-term debt		<u>403,624</u>
Net adjustment to decrease net change in fund balances- governmental funds to arrive at change in net position- governmental activities	\$	<u>(15,715,699)</u>

Some expenses reported in the statement of activities do not require the use of current financial resources and therefore are not reported as expenditures in governmental funds:

Change in accrued interest payable	\$	(74,426)
Change in compensated absences payable		(7,008,271)
Change in other post-employment benefits payable		3,363,231
Change in current amortization expense of ARO		<u>(523,790)</u>
Net adjustment to decrease net change in fund balances- governmental funds to arrive at change in net position- governmental activities	\$	<u><u>(4,243,256)</u></u>
Change in deferred inflows/outflows of pensions		3,108,344

NOTE 3:

Deposits and Investments

Deposits

As of December 31, 2022, the carrying amount of the City's cash demand deposits with KeyBank was \$4,858,698 and the in-transit items were \$1,009,700. In addition, \$7,635,231 was held in a public fund money market account at Pacific Premier Bank. A total of \$658,017 retained from contractors pending acceptance of City construction projects was held in escrow or savings accounts at various banks. Another \$184,911 was held in a City of Redmond Client Trust Account at Wells Fargo and \$3,374,634 are held in ARCH Housing Trust Fund Account outside agency. Imprest funds totaled \$48,500 of which \$33,570 was allocated to various City offices.

Custodial Credit Risk. Custodial credit risk for deposits is the risk that in the event of a bank failure, the City will not be able to recover deposits or collateral securities that are in the possession of an outside party. The City of Redmond's deposits are covered by the Federal Deposit Insurance Corporation (FDIC) or by collateral held in a multiple financial institution collateral pool administered by the Washington Public Deposit Protection Commission (WPDPC). The FDIC insures the first \$250,000 of the City's deposits. The deposit balances over \$250,000 are insured by the WPDPC. State statute permits additional amounts to be assessed on a pro rata basis to members of the WPDPC pool, in the event the pool's collateral should be insufficient to cover a loss.

Investments

It is the policy of the City of Redmond to invest public funds in a manner which will provide maximum security, meet daily cash flow demands, and strive for a high investment return, while conforming to all laws and regulations governing the investment of public funds, as defined in RCWs 39.58, 39.59, and 43.250. The City's Investment Policy is approved by the City Council, and management responsibility for the investment program is delegated to the City's Investment Oversight Committee.

Authorized investments include the following:

1. Investment deposits, including certificates of deposit, with qualified public depositories.
2. Certificates, notes, or bonds of the United States, or other obligations of the United States or its agencies, or of any corporation wholly owned by the government of the United States.
3. Obligations of government sponsored corporations which are eligible as collateral for advances to member banks as determined by the Board of Governors of the Federal Reserve System. These include but are not limited to Federal Home Loan Bank notes and bonds, Federal Farm Credit Bank consolidated notes and bonds, and Federal National Mortgage Association notes, bonds, and guaranteed certificates of participation.
4. Bankers' acceptances purchased on the secondary market.
5. Bonds of the State of Washington and any local government in the State of Washington which have, at the time of investment, one of the three highest credit ratings of a nationally recognized rating agency.
6. Repurchase agreements for securities listed in 2, 3, and 4 above, provided that the transaction is structured so that the City of Redmond obtains control over the underlying securities and a Master Repurchase Agreement has been signed with the bank or dealer.
7. State Investment Pool.
8. Commercial paper purchased in the secondary market and having received the highest rating by at least two Nationally Recognized Statistical Rating Organizations (NRSROs) at the time of purchase and adhering to the investment policies and procedures adopted by the State Investment Board.
9. Mutual funds, escrow accounts, public fund money market accounts, or cash type accounts used specifically for proceeds of municipal securities.
10. State of Washington Separately Managed Account.

Investments are stated at fair value, based on quoted market prices in accordance with Governmental Accounting Standards Board (GASB) Statement 72, *Fair Value Measurement and Application*. Accordingly, the change in the fair value of investments is recognized as an increase or decrease to the investment assets and investment income. Interest income on investments is recognized in non-operating revenue as earned. Changes in fair value of investments are recognized on the Statements of Revenues, Expenses, and Changes in Net Position.

Interest Rate Risk. Interest rate risk is the risk the City may face should interest rate variances affect the fair value of investments. As a means of limiting its exposure to interest rate risk, the City's policy requires that it diversify its investments by security type and institution, and limit holdings in any one type of investment with any one issuer. The City coordinates its investment maturities to closely match cash flow needs and, unless matched to a specific cash flow or restricted by state guidelines, the City restricts the maximum investment term to less than five years from the purchase date.

Credit Risk. Credit risk is the risk that an issuer or other counterparty to an investment will not fulfill its obligations. State law and city policy limit investments to those authorized by state statute, including commercial paper and bonds of the State of Washington and any local government in the State of Washington which have, at the time of investment, one of the three highest credit ratings of a nationally recognized rating agency. The City further limits its holdings in commercial paper to 10% of the portfolio and 10% per issuer, and local government bonds to 25% of the portfolio and 10% per issuer. As of December 31, 2022, the City held no investments in commercial paper. Additionally, the City restricts its investment in mutual fund bonds to be used for arbitrage purposes only.

Custodial Credit Risk. Custodial credit risk is the risk that in the event of a failure of the counterparty, the City will not be able to recover the value of its investment or collateral securities that are in the possession of an outside party. The City's Investment Policy requires that all security transactions, including collateral for repurchase agreements, be conducted on a delivery-versus-payment (DVP) basis and be held in safekeeping in the City's name by a third-party custodian.

Concentration of Credit Risk. Concentration of credit risk is the risk of loss attributable to the magnitude of an investment in a single issuer. The City diversifies its investments by security type and institution. 100% of the City's portfolio may be invested in U.S. Treasury notes, bonds or certificates, U.S. government sponsored corporations, or the State Investment Pool. 50% of the portfolio may be invested in certificates of deposit with no more than 10% held by any one issuer and not exceeding 20% of the issuer's net worth. 25% of the portfolio may be invested in bankers' acceptances (10% per issuer), State of Washington or local government bonds (10% per issuer), or repurchase agreements (25% per dealer). 10% of the portfolio may be invested in commercial paper (10% per issuer).

Investments in the Local Government Investment Pool (LGIP)

The City is a voluntary participant in the Local Government Investment Pool, an external investment pool authorized by Chapter 294, Laws of 1986. The LGIP is managed and operated by the Washington State Treasurer, and over 614 local governments have participated in the pool since it was started in 1986 to provide safe, liquid, and competitive investment options for local governments pursuant to RCW 43.250. In 2022, the City established a second LGIP account for the investment of its bond proceeds related to the 2022 Limited Tax General Obligation (LTGO) Bonds for the Redmond Senior & Community Center building.

The LGIP is not rated and not registered with the SEC and does not have any legally binding guarantees of share values. Oversight is provided by the State Finance Committee, which is the administrator of the statute that created the pool and adopts its rules. The State Treasurer is responsible for establishing the investment policy for the pool and reviews the policy annually, and any proposed changes are reviewed by the LGIP Advisory Committee.

Investments in the LGIP are reported at amortized cost, which approximates fair value and is the same as the value of the pool per share. The LGIP manages a portfolio of securities that meet the maturity, quality, diversification, liquidity, and fair value calculation requirements set forth by GASB Statement 79, *Certain External Investment Pools and Pool Participants*, for external investment pools that elect to measure, for financial reporting purposes, investments at amortized cost. The funds are limited to high quality obligations with regulated maximum and average maturities to minimize both market and credit risk. Investments are reported on trade date basis in accordance with generally accepted accounting principles (GAAP).

The LGIP transacts with its participants at a stable net asset value per share of \$1.00, the same method used for reporting. The LGIP does not impose any restrictions on participant withdrawals, and participants may contribute or withdraw funds daily. Participants must inform the Office of the State Treasurer (OST) of any contribution or withdrawal over one million dollars no later than 9 a.m. on the same day the transaction is made. Contributions or withdrawals for one million dollars or less can be requested at any time prior to 10 a.m., at the sole discretion of the OST. All participants are required to file with the State Treasurer documentation containing the names and titles of

the officials authorized to contribute or withdraw funds. The LGIP does not impose liquidity fees or redemption gates on participant withdrawals.

The State Treasurer's Office prepares a stand-alone financial report for the pool. A copy of the report is available from the Office of the State Treasurer, PO Box 40200, Olympia, Washington 98504-0200, or online at www.tre.wa.gov.

Investments in the Separately Managed Account

In 2020, the City of Redmond entered into an Interagency Agreement with the State of Washington's Office of the State Treasurer, authorizing the State Treasurer's Office to invest the City's core funds in a separately managed investment portfolio, as provided for in RCW 43.250. The State Treasurer's Office invests these funds in accordance with the State's investment policies and procedures and provides monthly reporting to the City. The City's separately managed account is intended for the investment of long-term core funds that are not required to meet short-term cash needs, and deposits and withdrawals are carried out by transferring funds in and out of the City's primary LGIP account.

Monies invested in the separately managed account are held separately and are not co-mingled with other state funds. Investments are valued using observable inputs, including quoted prices for similar securities and interest rates. The City does not record the individual transactions but records the net investment changes monthly. The State Treasurer's Office does security-level accounting, allowing investors to account for the portfolio as a single investment. As these are longer-term funds, the balance of the portfolio is reported at market value as of the valuation date. The State Treasurer's Office invests these funds in a diversified portfolio with a risk profile that is similar to the risk profile of the State's core portfolio, and the underlying assets have the same credit quality as U.S. Treasury securities, Government Sponsored Enterprises (GSEs), and the Supranational Institutions.

Investments in the separately managed account are purchased by the State Treasurer's Office and are held and registered in the State's name in the trust or safekeeping department of a financial institution as established by a written third-party safekeeping agreement between the State and financial institution.

Investments Measured at Amortized Cost

Investments reported as cash equivalents as of December 31, 2022:

	<u>Amortized Cost</u>	<u>Less Than 1 Year</u>
Money Market	7,635,231	7,635,231
Local Government Investment Pool – 2022 Bond Proceeds Account	7,067,899	7,067,899
Local Government Investment Pool – Primary	175,141,760	175,141,760
Total	\$ 189,844,890	\$ 189,844,890

Investments Measured at Fair Value

The City measures and reports investments at fair value using the valuation input hierarchy established by generally accepted accounting principles, as follows:

Level 1: Quoted prices in active markets for identical assets or liabilities.

Level 2: Quoted market prices for similar assets or liabilities, quoted prices for identical or similar assets or liabilities in markets that are not active, or other than quoted prices that are not observable.

Level 3: Unobservable inputs for an asset or liability.

As of December 31, 2022, the City had the following investments measured at fair value:

Investment Type	Fair Value Measurement Using			Total
	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	
Separately Managed Portfolio	\$ -	\$ 209,701,292	\$ -	\$ 209,701,292
Total	\$ -	\$ 209,701,292	\$ -	\$ 209,701,292

The table below identifies the types of investments, concentration of investments in any one issuer, and maturities of the City's investment portfolio as of December 31, 2022:

Investment Type	Fair Value	Maturities		% of Total Portfolio
		Less Than 1 Year	More Than 1 Year	
Separately Managed Portfolio	\$ 209,701,292	\$ -	\$ 209,701,292	52.48%
Investments Reported as Cash Equivalents:				
Money Market	7,635,231	7,635,231	-	1.91%
Local Government Investment Pool - 2022 Bond Proceeds Account	7,067,899	7,067,899	-	1.77%
Local Government Investment Pool - Primary	175,141,760	175,141,760	-	43.84%
Total	\$ 399,546,182	\$ 189,844,889	\$ 209,701,292	100.00%
Percentage of Total Portfolio		47.52%	52.48%	100.00%

The table below identifies the credit risk of the City's separately managed investment portfolio as of December 31, 2022:

Investment Type	Fair Value	Ratings	
		S&P	Moody's
U.S. Agency Securities			
Federal Farm Credit Bank	\$ 5,452,900	AA+	Aaa
Federal Home Loan Bank	21,589,019	AA+	Aaa
Federal Home Loan Mortgage Corporation	24,625,656	AA+	Aaa
Federal National Mortgage Association	21,485,122	AA+	Aaa
Subtotal	73,152,697		
U.S. Treasury Securities			
U.S. Treasury Notes	43,527,254	AA+	Aaa
U.S. Treasury Bills	-	AA+	Aaa
Subtotal	43,527,254		
Supranational			
Asian Development Bank	18,859,208	AAA	Aaa
International Finance Corporation	9,288,322	AAA	Aaa
Inter-American Development Bank	34,103,223	AAA	Aaa
International Bank for Reconstruction and Development	23,582,654	AAA	Aaa
European Bank for Reconstruction and Development	4,880,550	AAA	Aaa
Subtotal	90,713,957		
LGIP Deposit Account	2,307,384		
Total	\$ 209,701,292		

Summary of Deposit and Investment Balances

Reconciliation of cash and investments by type to the financial statements as of December 31, 2022 is detailed in the following tables:

Cash & Investments by Type

KeyBank Public Checking	4,858,698
KeyBank Advance Travel	11,557
Deposits/Debits in transit at 12/31/2022	1,018,143
Checks/Credits in transit at 12/31/2022	(5,431,007)
Petty Cash/Change Fund	13,570
Contractor's Retainage Money Market	658,017
Wells Fargo Wright Runstad Client Trust Acct	184,911
ARCH Housing Trust Fund - outside agency	3,374,634
Pacific Premier Bank-money market	7,635,231
State of WA-2022 LTGO Bonds LGIP	7,067,899
State Investment Pool (LGIP)	175,141,760
WA State Treasurer-Separately Managed Portfolio	209,701,292
Grand Total Cash & Investments by Type	\$ 404,234,705

Cash & Investments by Statements	Cash & Equivalents*	Restricted Cash	Rate Stabilization Fund	Investments	Restricted Investments
Governmental Funds					
General Fund	\$ 49,136,261	\$ 454,814		\$ 47,789,408	\$ 5,850,051
Capital Investments Program Fund	53,352,449	658,017		57,704,267	3,188
Other Governmental Funds	19,424,029			18,249,655	2,759,902
Proprietary Funds					
Water/Wastewater	20,861,704		3,877,811	18,686,773	-
UPD Water/Wastewater	15,981,977		1,929,266	15,357,003	-
Stormwater Management	26,376,062		-	26,529,381	1,999,954
Internal Service Funds	8,288,099		-	8,964,634	-
	\$ 193,420,581	\$ 1,112,831	\$ 5,807,077	\$ 193,281,121	\$ 10,613,095
Grand Total Cash & Investments by Statements					\$ 404,234,705

Gains and Losses on Investments

Realized gains and losses are computed as the difference between the proceeds of the sales and the original cost of the investments sold. The calculation of realized gains and losses is independent of a calculation of the net change in the fair value of investments. Realized gains and losses on investments that had been held in more than one fiscal year and sold in the current year were included as a change in the fair value of investments reported in the prior year(s) and the current year.

NOTE 4

Governmental Fund Balances

Governmental fund balances are classified as either spendable or non-spendable. Non-spendable fund balance category includes amounts not available to be spent because they are not in spendable form or are legally required to be maintained intact. The city has prepaid expenditures which are not in spendable form. Restricted fund balance is constrained externally, such as those resulting from federal and state legislation, grant awards, bond covenants, and inter-local service agreements. Committed fund balance is constrained by ordinance or resolution as adopted by City Council and requires the same action to remove the constraint. Assigned fund balances are constrained by the government's intent to be used for a specific purpose but are not restricted or committed. Unassigned fund balance is the residual classification for the General Fund. The city only reports unassigned fund balance in the General Fund. The breakdown of what makes up each of the fund balance categories from the Balance Sheet - Governmental Funds that is designated for a particular purpose is shown below.

	General	Capital Improvements	Other Governmental Funds	Total Governmental Funds
Fund balances:				
Non-spendable	\$ 31,620	\$ -	\$ 3,732	\$ 35,352
Spendable:				
Restricted for:				
Cable access	-	-	12,765	12,765
Capital projects	-	72,846,661	24,414,616	97,261,277
Covid-19 recovery	-	-	-	-
Debt service	-	-	251,227	251,227
Fire (Public Safety)	155,461	-	538,302	693,763
General governmental maintenance	115,266	-	-	115,266
Parks	338,356	-	-	338,356
Planning-Transportation	-	-	1,349,806	1,349,806
Public safety	605,993	-	110,956	716,949
Recycling	-	-	1,235,706	1,235,706
Reserves (Public Safety)	454,814	-	-	454,814
Tourism	-	-	661,115	661,115
Committed to:				
Arts	285,220	-	-	285,220
Capital equipment replacement	2,252,107	-	-	2,252,107
Development review	-	-	9,423,960	9,423,960
Fire equipment	4,175,344	-	-	4,175,344
Investigative fund	8,500	-	-	8,500
Parks maintenance	871,133	-	-	871,133
Fire fighter pension (GASB 73)	2,725,496	-	-	2,725,496
Recreation activities	-	-	986,614	986,614
Travel advance fund	20,000	-	-	20,000
Assigned to:				
Capital projects	-	26,293,073	-	26,293,073
Community events	150,150	-	-	150,150
Maintenance	6,307,180	-	-	6,307,180
Human services fund	897,458	-	-	897,458
Parks	1,450,031	-	-	1,450,031
Real property fund	2,881,025	-	-	2,881,025
Reserves	7,161,055	-	-	7,161,055
Transportation	9,386,417	-	-	9,386,417
Business tax	3,921,795	-	-	3,921,795
Unassigned	51,164,182	-	(337,822)	50,826,360
Total fund balances	\$ 95,358,603	\$ 99,139,734	\$ 38,650,977	\$ 233,149,314

NOTE 5: Property Tax

The King County Treasurer acts as an agent to collect property taxes levied in the County for all taxing authorities. Collections are distributed on a daily basis.

Property Tax Calendar

January 1	Taxes are levied and become an enforceable lien against properties.
February 14	Tax bills are mailed.
April 30	First of two equal installment payments is due.
May 31	Assessed value of property established for next year's levy at 100 percent of market value.
October 31	Second installment is due.

Property taxes are recorded as a receivable when levied. During the year, property tax revenues are recognized when cash is received. At year-end, property tax revenues are recognized for December collections to be distributed by the county treasurer in January and February.

Under Washington State law a city may levy property taxes up to \$3.60 per \$1,000 of assessed valuation. The assessed value was \$30,574,457,288 for the City in 2022.

The City of Redmond's maximum property tax levy rate has been reduced from \$3.60 to \$3.10, or \$.50, as a result of annexing to the King County Library District in May 1990. In addition to the limitation previously noted, the City's levy rate is also subject to the following:

Washington State law in RCW 84.55.010 limits the growth of regular property taxes to one percent per year or IPD, whichever is less, after adjustments for new construction and annexations, unless an increase greater than this limit is approved by the voters. If the assessed valuation increases by more than one percent due to revaluation, the levy rate will be decreased.

The Washington State Constitution limits the total regular property tax levy to a maximum of one percent of assessed valuation or \$10 per \$1,000 of the market value of a property. If the taxes of all districts exceed this amount, each is proportionately reduced until the total is at or below the one percent limit.

Accordingly, the City levied \$1.00 per \$1,000 of assessed value for general governmental services and no additional voter-approved excess tax levy.

NOTE 6: Capital Assets

Capital asset activity for the year ended December 31, 2022, as follows:

NOTE 6: Capital Assets

	Beginning Balance	Increases	Decreases	Ending Balance
Primary Government				
GOVERNMENTAL ACTIVITIES				
Capital assets, not being depreciated:				
Land	\$ 161,925,358	\$ 10,164,280	\$ -	\$ 172,089,638
Construction in progress	15,426,054	27,229,606	(6,145,618)	36,510,042
Art	2,257,089	-	-	2,257,089
Total capital assets, not being depreciated	<u>\$ 179,608,501</u>	<u>\$ 37,393,886</u>	<u>\$ (6,145,618)</u>	<u>\$ 210,856,769</u>
Capital assets, being depreciated:				
Buildings/building improvements	\$ 99,177,980	\$ 3,568,388	\$ -	\$ 102,746,368
Improvements other than buildings	54,901,419	91,940	(90,889)	54,902,470
Machinery and equipment	39,015,035	2,268,377	(1,464,554)	39,818,858
Infrastructure	325,813,964	4,835,133	(235,604)	330,413,493
Total capital assets, being depreciated	<u>\$ 518,908,398</u>	<u>\$ 10,763,838</u>	<u>\$ (1,791,047)</u>	<u>\$ 527,881,189</u>
Less accumulated depreciation for:				
Buildings/building Improvements	\$ (27,515,059)	\$ (2,049,567)	\$ -	\$ (29,564,626)
Improvements other than buildings	(22,324,623)	(1,757,811)	-	(24,082,434)
Machinery and equipment	(23,714,602)	(2,864,634)	1,095,613	(25,483,623)
Infrastructure	(131,548,698)	(6,572,952)	-	(138,121,650)
Total accumulated depreciation	<u>\$ (205,102,982)</u>	<u>\$ (13,244,964)</u>	<u>\$ 1,095,613</u>	<u>\$ (217,252,333)</u>
Total capital assets, being depreciated, net	<u>\$ 313,805,416</u>	<u>\$ (2,481,126)</u>	<u>\$ (695,434)</u>	<u>\$ 310,628,856</u>
Lease assets*				
Building	\$ -	\$ 3,582,583	\$ -	\$ 3,582,583
Machinery and equipment	-	83,051	-	83,051
Total lease assets, being amortized	<u>\$ -</u>	<u>\$ 3,665,634</u>	<u>\$ -</u>	<u>\$ 3,665,634</u>
Less accumulated amortization for:				
Buildings	\$ -	\$ (478,240)	\$ -	\$ (478,240)
Machinery and equipment	-	(41,425)	-	(41,425)
Total accumulated amortization	<u>\$ -</u>	<u>\$ (519,665)</u>	<u>\$ -</u>	<u>\$ (519,665)</u>
Total Lease assets, being amortized, net	<u>\$ -</u>	<u>\$ 3,145,969</u>	<u>\$ -</u>	<u>\$ 3,145,969</u>
Governmental activities capital assets, net	<u>\$ 493,413,917</u>	<u>\$ 38,058,729</u>	<u>\$ (6,841,052)</u>	<u>\$ 524,631,594</u>

*GASB 87 implemented in 2022.

NET INVESTMENT IN CAPITAL ASSETS

Governmental Activities		
Capital assets not being depreciated	\$	210,856,769
Capital assets being depreciated		531,546,823
Less accumulated depreciation		(217,771,998)
Less GO bonds		(51,105,000)
Less bond premium		(4,050,314)
Less Public Works Trust Fund loans		(850,057)
Plus deferred outflow on refunding bonds		2,213,026
Less liabilities related to leases-lease payable		(3,262,010)
Less unspent bond proceeds		(7,067,899)
Less capital related accounts payable and retainage payable		(5,452,212)
Less accrued interest payable		<u>(170,185)</u>
Governmental Activities, net investment in capital assets	\$	<u><u>454,886,943</u></u>

Depreciation expense was charged to functions/programs of the primary government as follows:

Governmental Activities		
General government	\$	1,924,455
Public safety		1,688,271
Physical environment		56,297
Transportation, including depreciation of general infrastructure assets		7,790,174
Economic environment		25,694
Culture and recreation		<u>2,279,737</u>
Total depreciation expense – governmental activities	\$	<u><u>13,764,629</u></u>

	Beginning Balance	Increases	Decreases	Ending Balance
BUSINESS-TYPE ACTIVITIES				
Capital assets, not Being depreciated:				
Land	\$ 25,756,726	\$ 45,050	\$ -	\$ 25,801,776
Construction In Progress	27,814,419	4,847,567	(110,769)	32,551,217
Intangible Assets	1,124,883	-	-	1,124,883
Total capital assets, not being depreciated	\$ 54,696,028	\$ 4,892,617	\$ (110,769)	\$ 59,477,876
Capital Assets, Being Depreciated:				
Buildings/Building Improvements	\$ 37,958,924	\$ -	\$ -	\$ 37,958,924
Improvements Other Than Buildings	428,400,196	12,131,648	(345,202)	440,186,642
Machinery and Equipment	1,790,448	-	-	1,790,448
Total capital assets, being depreciated	\$ 468,149,568	\$ 12,131,648	\$ (345,202)	\$ 479,936,014
Less Accumulated Depreciation for:				
Buildings/Building Improvements	\$ (12,187,681)	\$ (759,179)	\$ -	\$ (12,946,860)
Improvements Other than Buildings	(120,633,231)	(7,780,992)	345,202	(128,069,021)
Machinery and Equipment	(1,186,795)	(130,673)	-	(1,317,468)
Total accumulated depreciation	\$ (134,007,707)	\$ (8,670,844)	\$ 345,202	\$ (142,333,349)
Lease Assets*				
Land easement	-	219,768	-	219,768
Total lease assets, being amortized	\$ -	\$ 219,768	\$ -	\$ 219,768
Less Accumulated Depreciation for:				
Land easement	-	(1,004)	-	(1,004)
Total accumulated depreciation	-	(1,004)	-	(1,004)
Total lease assets, being amortized, net	-	218,764	-	218,764
Total capital assets, being depreciated, net	\$ 334,141,861	\$ 3,460,804	\$ -	\$ 337,602,665
Business-Type activities capital assets, net	\$ 388,837,889	\$ 8,572,185	\$ (110,769)	\$ 397,299,305

NET INVESTMENT IN CAPITAL ASSETS

Business-Type Activities

Capital assets not being depreciated	\$ 59,477,876
Capital assets being depreciated	480,155,782
Less accumulated depreciation	(142,334,353)
Plus capital-related deferred outflows on refunding bonds	200,719
Less revenue bonds	(17,605,000)
Less bond premium	(283,497)
Less PWTF loan	(3,103,912)
Less capital-related accounts payable and retainage payable	(596,020)
Less liabilities related to lease-lease payable	(190,560)
Less accrued interest payable	(31,532)
Business-Type Activities, net investment in capital assets	\$ 375,689,503

Depreciation expense was charged to Business-Type Activities as follows:

Business-Type Activities		
Water/Wastewater	\$	4,367,960
UPD Water/Wastewater		1,403,984
Stormwater		<u>2,899,904</u>
Total Depreciation Expense – Business-type Activities	\$	<u><u>8,671,848</u></u>

The Business-Type Activities also had \$1,404 in amortization expense that is included with depreciation expense in the financial statements. \$(333) adjustment is made to amortization expense to reflect changes to the City's assumptions and methodology for asset retirement obligation (ARO) in 2022.

Since 2017 the City's business-type activities have invested \$1,124,883 in the Groundwater Protection Incentive Program, which is included as an intangible asset with an indefinite useful life. The program provides funds for retrofitting existing private infiltration facilities that are determined through the City's assessment process to pose a significant groundwater hazard in wellhead protection zones 1 and 2, to meet State and City regulations for groundwater protection, to ensure a safe supply of drinking water for the City.

NOTE 7: Pension Plans

The following table represents the aggregate pension amounts for all plans for the year 2022:

Aggregate Pension Amounts – All Plans	
Pension liabilities	\$ (7,469,955)
Pension assets	\$ 38,386,176
Deferred outflows of resources	\$ 26,719,286
Deferred inflows of resources	\$ (25,121,087)
Pension expense/expenditures	\$ 2,932,352

State Sponsored Pension Plans

Substantially all City full-time and qualifying part-time employees participate in one of the following statewide retirement systems administered by the Washington State Department of Retirement Systems, under cost-sharing, multiple-employer public employee defined benefit and defined contribution retirement plans. The state Legislature establishes, and amends, laws pertaining to the creation and administration of all public retirement systems.

The Department of Retirement Systems (DRS), a department within the primary government of the State of Washington, issues a publicly available Annual Financial Report that includes financial statements and required supplementary information for each plan. The DRS Comprehensive Annual Financial Report may be obtained by writing to:

Department of Retirement Systems
Communications Unit
P.O. Box 48380
Olympia, WA 98540-8380

Or the DRS Comprehensive Annual Financial Report may be downloaded from the DRS website at www.drs.wa.gov.

Public Employees' Retirement System (PERS)

PERS members include elected officials; state employees; employees of the Supreme, Appeals and Superior Courts; employees of the legislature; employees of district and municipal courts; employees of local governments; and higher education employees not participating in higher education retirement programs. PERS is comprised of three separate pension plans for membership purposes. PERS plans 1 and 2 are defined benefit plans, and PERS plan 3 is a defined benefit plan with a defined contribution component.

PERS Plan 1 provides retirement, disability and death benefits. Retirement benefits are determined as two percent of the member's average final compensation (AFC) times the member's years of service. The AFC is the average of the member's 24 highest consecutive service months. Members are eligible for retirement from active status at any age with at least 30 years of service, at age 55 with at least 25 years of service, or at age 60 with at least five years of service. Members retiring from active status prior to the age of 65 may receive actuarially reduced benefits. Retirement benefits are actuarially reduced to reflect the choice of a survivor benefit. Other benefits include duty and non-duty disability payments, an optional cost-of-living adjustment (COLA), and a one-time duty-related death benefit, if found eligible by the Department of Labor and Industries. PERS 1 members were vested after the completion of five years of eligible service. The plan was closed to new entrants on September 30, 1977.

Contributions

The **PERS Plan 1** member contribution rate is established by State statute at 6 percent. The employer contribution rate is developed by the Office of the State Actuary and includes an administrative expense component that is currently set at 0.18 percent. Each biennium, the state Pension Funding Council adopts Plan 1 employer

contribution rates. The PERS Plan 1 required contribution rates (expressed as a percentage of covered payroll) for 2022 were as follows:

PERS Plan 1		
Actual Contribution Rates:	Employer	Employee*
January – August 2022:		
PERS Plan 1	6.36%	6.00%
PERS Plan 1 UAAL	3.71%	
Administrative Fee	0.18%	
Total	10.25%	6.00%
September – December 2022:		
PERS Plan 1	6.36%	6.00%
PERS Plan 1 UAAL	3.85%	
Administrative Fee	0.18%	
Total	10.39%	6.00%

PERS Plan 2/3 provides retirement, disability and death benefits. Retirement benefits are determined as two percent of the member's average final compensation (AFC) times the member's years of service for Plan 2 and 1 percent of AFC for Plan 3. The AFC is the average of the member's 60 highest-paid consecutive service months. There is no cap on years of service credit. Members are eligible for retirement with a full benefit at 65 with at least five years of service credit. Retirement before age 65 is considered an early retirement. PERS Plan 2/3 members who have at least 20 years of service credit and are 55 years of age or older, are eligible for early retirement with a benefit that is reduced by a factor that varies according to age for each year before age 65. PERS Plan 2/3 members who have 30 or more years of service credit and are at least 55 years old can retire under one of two provisions:

- With a benefit that is reduced by three percent for each year before age 65; or
- With a benefit that has a smaller (or no) reduction (depending on age) that imposes stricter return-to-work rules.

PERS Plan 2/3 members hired on or after May 1, 2013, have the option to retire early by accepting a reduction of five percent for each year of retirement before age 65. This option is available only to those who are age 55 or older and have at least 30 years of service credit. PERS Plan 2/3 retirement benefits are also actuarially reduced to reflect the choice of a survivor benefit. Other PERS Plan 2/3 benefits include duty and non-duty disability payments, a cost-of-living allowance (based on the CPI), capped at three percent annually and a one-time duty related death benefit, if found eligible by the Department of Labor and Industries. PERS 2 members are vested after completing five years of eligible service. Plan 3 members are vested in the defined benefit portion of their plan after ten years of service; or after five years of service if 12 months of that service are earned after age 44.

PERS Plan 3 defined contribution benefits are totally dependent on employee contributions and investment earnings on those contributions. PERS Plan 3 members choose their contribution rate upon joining membership and have a chance to change rates upon changing employers. As established by statute, Plan 3 required defined contribution rates are set at a minimum of 5 percent and escalate to 15 percent with a choice of six options. Employers do not contribute to the defined contribution benefits. PERS Plan 3 members are immediately vested in the defined contribution portion of their plan.

Contributions

The **PERS Plan 2/3** employer and employee contribution rates are developed by the Office of the State Actuary to fully fund Plan 2 and the defined benefit portion of Plan 3. The Plan 2/3 employer rates include a component to address the PERS Plan 1 UAAL and an administrative expense that is currently set at 0.18 percent. Each biennium, the state Pension Funding Council adopts Plan 2 employer and employee contribution rates and Plan 3 contribution rates. The PERS Plan 2/3 required contribution rates (expressed as a percentage of covered payroll) for 2022 were as follows:

PERS Plan 2/3		
Actual Contribution Rates:	Employer 2/3	Employee 2*
January – August 2022:		
PERS Plan 2/3	6.36%	6.36%
PERS Plan 1 UAAL	3.71%	
Administrative Fee	0.18%	
Employee PERS Plan 3		varies
Total	10.25%	6.36%
September – December 2022:		
PERS Plan 2/3	6.36%	6.36%
PERS Plan 1 UAAL	3.85%	
Administrative Fee	0.18%	
Employee PERS Plan 3		varies
Total	10.39%	6.36%

The City's actual PERS plan contributions were \$1,731,355 to PERS Plan 1 and \$2,911,549 to PERS Plan 2/3 for the year ended December 31, 2022.

Public Safety Employees' Retirement System (PSERS)

PSERS Plan 2 was created by the 2004 Legislature and became effective July 1, 2006. To be eligible for membership, an employee must work on a full-time basis and:

- Have completed a certified criminal justice training course with authority to arrest, conduct criminal investigations, enforce the criminal laws of Washington, and carry a firearm as part of the job; or
- Have primary responsibility to ensure the custody and security of incarcerated or probationary individuals; or
- Function as a limited authority Washington peace officer, as defined in [RCW 10.93.020](#); or
- Have primary responsibility to supervise eligible members who meet the above criteria.

PSERS membership includes:

- PERS 2 or 3 employees hired by a covered employer before July 1, 2006, who met at least one of the PSERS eligibility criteria and elected membership during the period of July 1, 2006 to September 30, 2006; and,
- Employees hired on or after July 1, 2006 by a covered employer, that meet at least one of the PSERS eligibility criteria.

PSERS covered employers include:

- Certain State of Washington agencies (Department of Corrections, Department of Natural Resources, Gambling Commission, Liquor and Cannabis Board, Parks and Recreation Commission, and Washington State Patrol),
- Washington State Counties,
- Washington State Cities (except for Seattle, Spokane, and Tacoma),
- Correctional entities formed by PSERS employers under the Interlocal Cooperation Act.

PSERS Plan 2 provides retirement, disability and death benefits. Retirement benefits are determined as two percent of the average final compensation (AFC) for each year of service. The AFC is based on the member's 60 consecutive highest creditable months of service. Benefits are actuarially reduced for each year that the member's age is less than 60 (with ten or more service credit years in PSERS), or less than 65 (with fewer than ten service credit years). There is no cap on years of service credit. Members are eligible for retirement at the age of 65 with

five years of service; or at the age of 60 with at least ten years of PSERS service credit; or at age 53 with 20 years of service. Retirement before age 60 is considered an early retirement. PSERS members who retire prior to the age of 60 receive reduced benefits. If retirement is at age 53 or older with at least 20 years of service, a three percent per year reduction for each year between the age at retirement and age 60 applies. PSERS Plan 2 retirement benefits are actuarially reduced to reflect the choice of a survivor benefit. Other benefits include duty and non-duty disability payments, an optional cost-of living adjustment (COLA), and a one-time duty-related death benefit, if found eligible by the Department of Labor and Industries. PSERS Plan 2 members are vested after completing five years of eligible service.

Contributions

The **PSERS Plan 2** employer and employee contribution rates are developed by the Office of the State Actuary to fully fund Plan 2. The Plan 2 employer rates include components to address the PERS Plan 1 unfunded actuarial accrued liability and administrative expense currently set at 0.18 percent. Each biennium, the state Pension Funding Council adopts Plan 2 employer and employee contribution rates.

The PSERS Plan 2 required contribution rates (expressed as a percentage of current year covered payroll) for 2022 were as follows:

PSERS Plan 2		
Actual Contribution Rates:	Employer	Employee
January – August 2022:		
PSERS Plan 2	6.50%	6.50%
PERS Plan 1 UAAL	3.71%	
Administrative Fee	0.18%	
Total	10.39%	6.50%
September - December 2022:		
PSERS Plan 2	6.60%	6.60%
PERS Plan 1 UAAL	3.85%	
Administrative Fee	0.18%	
Total	10.63%	6.60%

There were no plan contributions to PSERS Plan 2 and PERS Plan 1 for the year ended December 31, 2022.

Law Enforcement Officers' and Fire Fighters' Retirement System (LEOFF)

LEOFF membership includes all full-time, fully compensated, local law enforcement commissioned officers, firefighters, and as of July 24, 2005, emergency medical technicians. LEOFF is comprised of two separate defined benefit plans.

LEOFF Plan 1 provides retirement, disability and death benefits. Retirement benefits are determined per year of service calculated as a percent of final average salary (FAS) as follows:

- 20+ years of service – 2.0% of FAS
- 10-19 years of service – 1.5% of FAS
- 5-9 years of service – 1% of FAS

The FAS is the basic monthly salary received at the time of retirement, provided a member has held the same position or rank for 12 months preceding the date of retirement. Otherwise, it is the average of the highest consecutive 24 months' salary within the last ten years of service. Members are eligible for retirement with five years of service at the age of 50. Other benefits include duty and non-duty disability payments, a cost-of living adjustment (COLA), and a one-time duty-related death benefit, if found eligible by the Department of Labor and Industries. LEOFF 1 members were vested after the completion of five years of eligible service. The plan was closed to new entrants on September 30, 1977.

Contributions

Starting on July 1, 2000, **LEOFF Plan 1** employers and employees contribute zero percent, as long as the plan remains fully funded. The LEOFF Plan I had no required employer or employee contributions for fiscal year 2022. Employers paid only the administrative expense of 0.18 percent of covered payroll.

LEOFF Plan 2 provides retirement, disability and death benefits. Retirement benefits are determined as two percent of the final average salary (FAS) per year of service (the FAS is based on the highest consecutive 60 months). Members are eligible for retirement with a full benefit at 53 with at least five years of service credit. Members who retire prior to the age of 53 receive reduced benefits. If the member has at least 20 years of service and is age 50, the reduction is three percent for each year prior to age 53. Otherwise, the benefits are actuarially reduced for each year prior to age 53. LEOFF 2 retirement benefits are also actuarially reduced to reflect the choice of a survivor benefit. Other benefits include duty and non-duty disability payments, a cost-of-living allowance (based on the CPI), capped at three percent annually and a one-time duty-related death benefit, if found eligible by the Department of Labor and Industries. LEOFF 2 members are vested after the completion of five years of eligible service.

Contributions

The **LEOFF Plan 2** employer and employee contribution rates are developed by the Office of the State Actuary to fully fund Plan 2. The employer rate includes an administrative expense component set at 0.18 percent. Plan 2 employers and employees are required to pay at the level adopted by the LEOFF Plan 2 Retirement Board.

Effective July 1, 2017, when a LEOFF employer charges a fee or recovers costs for services rendered by a LEOFF 2 member to a non-LEOFF employer, the LEOFF employer must cover both the employer and state contributions on the LEOFF 2 basic salary earned for those services. The state contribution rate (expressed as percentage of covered payroll) was 3.41% in 2022.

The LEOFF Plan 2 required contribution rates (expressed as a percentage of covered payroll) for 2022 were as follows:

LEOFF Plan 2		
Actual Contribution Rates:	Employer	Employee
January – December 2022		
State and local governments	5.12%	8.53%
Administrative Fee	0.18%	
Total	5.30%	8.53%

The City's actual contributions to the plan were \$1,835,836 for the year ended December 31, 2022.

The Legislature, by means of a special funding arrangement, appropriates money from the state General Fund to supplement the current service liability and fund the prior service costs of Plan 2 in accordance with the recommendations of the Pension Funding Council and the LEOFF Plan 2 Retirement Board. This special funding situation is not mandated by the state constitution and could be changed by statute. For the state fiscal year ending June 30, 2022, the state contributed \$81,388,085 to LEOFF Plan 2. The amount recognized by the City as its proportionate share of this amount is \$1,153,950.

Actuarial Assumptions

The total pension liability (TPL) for each of the DRS plans was determined using the most recent actuarial valuation completed in 2022 with a valuation date of June 30, 2021. The actuarial assumptions used in the valuation were based on the results of the Office of the State Actuary's (OSA) *2013-2018 Experience Study* and the *2021 Economic Experience Study*.

Additional assumptions for subsequent events and law changes are current as of the 2021 actuarial valuation report. The TPL was calculated as of the valuation date and rolled forward to the measurement date of June 30, 2022. Plan liabilities were rolled forward from June 30, 2021, to June 30, 2022, reflecting each plan's normal cost (using the entry-age cost method), assumed interest and actual benefit payments.

- **Inflation:** 2.75% total economic inflation; 3.25% salary inflation
- **Salary increases:** In addition to the base 3.25% salary inflation assumption, salaries are also expected to grow by promotions and longevity.
- **Investment rate of return:** 7.00%

Mortality rates were developed using the Society of Actuaries' Pub. H-2020 mortality rates, which vary by member status, as the base table. The OSA applied age offsets for each system, as appropriate, to better tailor the mortality rates to the demographics of each plan. OSA applied the long-term MP-2017 generational improvement scale, also developed by the Society Actuaries, to project mortality rates for every year after the 2010 base table. Mortality rates are applied on a generational basis; meaning, each member is assumed to receive additional mortality improvements in each future year throughout his or her lifetime.

Methods did not change from the prior contribution rate setting June 30, 2019 Actuarial Valuation Report (AVR), however OSA introduced a temporary method change to produce asset and liability measures for the June 30, 2020 AVR. There were also the following assumption changes:

- OSA updated the Joint-and-Survivor Factors and Early Retirement Factors in the model. Those factors are used to value benefits for early retirement and survivors of members that are deceased prior to retirement. These factors match the administrative factors provided to DRS for future implementation that reflect current demographic and economic assumptions.
- OSA updated the economic assumptions based on the 2021 action of the PFC and the LEOFF Plan 2 Retirement Board. The investment return assumption was reduced from 7.5% (7.4% for LEOFF 2) to 7.0%, and the salary growth assumption was lowered from 3.5% to 3.25%. This action is a result of recommendations from OSA's biennial economic experience study.

Discount Rate

The discount rate used to measure the total pension liability for all DRS plans was 7.0 percent.

To determine that rate, an asset sufficiency test was completed to test whether each pension plan's fiduciary net position was sufficient to make all projected future benefit payments for current plan members. Based on OSA's assumptions, the pension plans' fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return of 7.0 percent was used to determine the total liability.

Long-Term Expected Rate of Return

The long-term expected rate of return on the DRS pension plan investments of 7.0 percent was determined using a building-block-method. In selecting this assumption, the Office of the State Actuary (OSA) reviewed the historical experience data, considered the historical conditions that produced past annual investment returns, and considered Capital Market Assumptions (CMA's) and simulated expected investment returns provided by the Washington State Investment Board (WSIB). The WSIB uses the CMA's and their target asset allocation to simulate future investment returns at various future times.

Estimated Rates of Return by Asset Class

Best estimates of arithmetic real rates of return for each major asset class included in the pension plan's target asset allocation as of June 30, 2020, are summarized in the table below. The inflation component used to create the table is 2.2 percent and represents the WSIB's most recent long-term estimate of broad economic inflation.

Asset Class	Target Allocation	% Long-Term Expected Real Rate of Return Arithmetic
Fixed Income	20%	1.50%
Tangible Assets	7%	4.70%
Real Estate	18%	5.40%
Global Equity	32%	5.90%
Private Equity	23%	8.90%
	100%	

Sensitivity of the Net Pension Liability/(Asset)

The table below presents the City's proportionate share of the net pension liability calculated using the discount rate of 7.0 percent, as well as what the City's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage point lower (6.0 percent) or 1-percentage point higher (8.0 percent) than the current rate.

	1% Decrease (6.0%)	Current Discount Rate (7.0%)	1% Increase (8.0%)
PERS 1	\$ 9,979,758	\$ 7,469,955	\$ 5,279,487
PERS 2/3	15,169,112	(12,881,041)	(35,926,016)
LEOFF 1	(1,858,353)	(2,120,593)	(2,347,997)
LEOFF 2	(1,076,832)	(23,384,541)	(41,641,491)

Pension Plan Fiduciary Net Position

Detailed information about the State's pension plans' fiduciary net position is available in the separately issued DRS financial report.

Pension Liabilities (Assets), Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2022, the City reported a total pension liability of \$7,469,955 for its proportionate share of the net pension liabilities, and a total pension asset of \$38,386,176 for its proportionate share of the net pension assets as follows:

	Liability (or Asset)
PERS 1	\$ 7,469,955
PERS 2/3	(12,881,041)
LEOFF 1	(2,120,593)
LEOFF 2	(23,384,541)

The amount of the asset reported above for LEOFF Plans 1 and 2 reflects a reduction for State pension support provided to the City. The amount recognized by the City as its proportionate share of the net pension asset, the related State support, and the total portion of the net pension asset that was associated with the City were as follows:

	LEOFF 1 Asset	LEOFF 2 Asset
Employer's proportionate share	2,120,593	23,384,541
State's proportionate share of the net pension asset associated with the employer	14,343,642	15,147,996
TOTAL	16,464,235	38,532,537

At June 30, the City's proportionate share of the collective net pension liabilities was as follows:

	Proportionate Share 6/30/21	Proportionate Share 6/30/22	Change in Proportion
PERS 1	0.267230%	0.268282%	0.001052%
PERS 2/3	0.341492%	0.347312%	0.005820%
PSERS 2	0.000000%	0.000000%	0.000000%
LEOFF 1	0.071226%	0.073924%	0.002698%
LEOFF 2	0.885280%	0.860454%	(0.024826%)

Employer contribution transmittals received and processed by the DRS for the fiscal year ended June 30, 2022 are used as the basis for determining each employer's proportionate share of the collective pension amounts reported by the DRS in the *Schedules of Employer and Nonemployer Allocations* for all plans except LEOFF 1.

LEOFF Plan 1 allocation percentages are based on the total historical employer contributions to LEOFF 1 from 1971 through 2000 and the retirement benefit payments in fiscal year 2021. Historical data was obtained from a 2011 study by the Office of the State Actuary (OSA). The state of Washington contributed 87.12 percent of LEOFF 1 employer contributions and all other employers contributed the remaining 12.88 percent of employer contributions. LEOFF 1 is fully funded, and no further employer contributions have been required since June 2000. If the plan becomes underfunded, funding of the remaining liability will require new legislation. The allocation method the plan chose reflects the projected long-term contribution effort based on historical data.

In fiscal year 2022, the state of Washington contributed 39 percent of LEOFF 2 employer contributions pursuant to [RCW 41.26.725](#) and all other employers contributed the remaining 61 percent of employer contributions.

Pension Expense

For the year ended December 31, 2022, the City recognized pension expense as follows:

	Pension Expense
PERS 1	\$ 3,456,968
PERS 2/3	(4,313,320)
PSERS 2	(1,499)
LEOFF 1	(161,454)
LEOFF 2	3,951,557
TOTAL	\$ 2,932,352

Deferred Outflows of Resources and Deferred Inflows of Resources

At December 31, 2022, the City reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

PERS 1	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ -	\$ -
Net difference between projected and actual investment earnings on pension plan investments	\$ -	\$ (1,237,991)
Changes of assumptions	\$ -	\$ -
Changes in proportion and differences between contributions and proportionate share of contributions	\$ -	\$ -
Contributions subsequent to the measurement date	\$ 879,401	\$ -
TOTAL	\$ 879,401	\$ (1,237,991)

PERS 2/3	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 3,191,621	\$ (291,594)
Net difference between projected and actual investment earnings on pension plan investments	\$ -	\$ (9,523,049)
Changes of assumptions	\$ 7,179,402	\$ (1,879,824)
Changes in proportion and differences between contributions and proportionate share of contributions	\$ -	\$ (232,355)
Contributions subsequent to the measurement date	\$ 1,470,242	\$ -

TOTAL	\$ 11,841,265	\$ (11,926,822)
PSERS	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ -	\$ -
Net difference between projected and actual investment earnings on pension plan investments	\$ -	\$ -
Changes of assumptions	\$ -	\$ -
Changes in proportion and differences between contributions and proportionate share of contributions	\$ -	\$ (9,247)
Contributions subsequent to the measurement date	\$ -	\$ -
TOTAL	\$ -	\$ (9,247)

LEOFF 1	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ -	\$ -
Net difference between projected and actual investment earnings on pension plan investments	\$ -	\$ (264,785)
Changes of assumptions	\$ -	\$ -
Changes in proportion and differences between contributions and proportionate share of contributions	\$ -	\$ -
Contributions subsequent to the measurement date	\$ -	\$ -
TOTAL	\$ -	\$ (264,785)

LEOFF 2	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 5,556,553	\$ (216,967)
Net difference between projected and actual investment earnings on pension plan investments	\$ -	\$ (7,830,041)
Changes of assumptions	\$ 5,923,965	\$ (2,036,153)
Changes in proportion and differences between contributions and proportionate share of contributions	\$ 1,582,678	\$ (1,599,080)
Contributions subsequent to the measurement date	\$ 935,424	\$ -
TOTAL	\$ 13,998,620	\$ (11,682,241)

Deferred outflows of resources related to pensions resulting from the City's contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended December 31,

2023. Other amounts reported as deferred outflows and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended December 31	PERS 1	PERS 2/3	PSERS 2	LEOFF 1	LEOFF 2
2023	(523,892)	(3,000,513)	(1,267)	(112,145)	(2,463,178)
2024	(475,830)	(2,669,381)	(1,267)	(101,540)	(2,135,693)
2025	(596,914)	(3,217,376)	(1,267)	(126,963)	(2,840,928)
2026	358,645	4,327,943	(1,267)	75,863	3,373,450
2027	-	1,506,819	(1,267)	-	974,199
Thereafter	-	1,496,709	(2,912)	-	4,473,105
Total Net Deferred (Inflows)/Outflows	(1,237,991)	(1,555,799)	(9,247)	(264,785)	(1,380,955)

Firefighters' Pension Plan

The following table represents the aggregate pension amounts for all plans subject to the requirements of the [GASB Statement 73, Accounting and Financial Reporting for Pensions and Related Assets That Are Not within the Scope of GASB Statement 68](#) for the year 2022:

Aggregate Pension Amounts – All Plans	
Pension liabilities	\$ 513,444
Pension assets	\$ 2,725,496
Deferred outflows of resources	\$ -
Deferred inflows of resources	\$ -
Pension expense/expenditures	\$ 41,459

The City is the administrator of the Firefighters' Pension Plan (FPP), a single-employer defined benefit pension plan established in conformance with Revised Code of Washington (RCW) 41.18. The Pension Board consists of five members: the Mayor, who is the chairman of the board, the City Clerk, the City Treasurer, and two regularly employed firefighters elected by secret ballot of the firefighters, each of whom serve two-year terms. Costs of administering the Plan are paid from the Firefighters' Pension Plan. The Plan provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to Plan members and beneficiaries. Retirement benefit provisions are established in state statute and may be amended only by the State Legislature. Membership is limited to firefighters employed prior to March 1, 1970 when the LEOFF retirement system was established. The City's obligation under the Plan consists of paying the difference between pension and medical benefits provided by LEOFF and those provided by the FPP for covered firefighters who retire after March 1, 1970. Benefits and refunds of the Plan are recognized when due and payable in accordance with the terms of the Plan.

At December 31, 2022, there are three inactive plan members currently receiving benefits, and no active plan members. The pension plan is closed to new entrants.

Under State law, the FPP is provided an allocation of 25% of the taxes the state receives on fire insurance premiums, interest earnings, member contributions made prior to the inception of LEOFF, and City contributions required to meet projected future pension obligations. The City's fire insurance premium contribution for 2022 was \$195,451 and interest earnings were \$28,991, which was sufficient to pay the 2022 Firefighter's Pension Plan expenses of \$41,459. The financial activity of the Firefighters' Pension Plan is reported within the City's General Fund. No separate stand-alone financial report is issued for the Firefighters' Pension Plan.

The pension standards in GASB Statement No. 68 are applicable only to pension plans that are administered through trusts or equivalent arrangements in which:

- a. Contributions from employers to the pension plan and earnings on those contributions are irrevocable.

- b. Pension plan assets are dedicated to providing pensions to plan members in accordance with benefit terms.
- c. Pension plan assets are legally protected from the creditors of employers, the plan administrator and plan members.

The Firefighter's Pension Plan does not meet the requirement "c" that assets be legally protected from the creditors of employers, the plan administrator and plan members. Therefore, the assets are not accumulated in a qualifying trust or equivalent arrangement as required for GASB 68 reporting purposes.

For purposes of measuring the total pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the net position of the Firefighters' Pension Plan and additions to/deductions from the plan's net position have been determined on the same basis as they are reported by the plan. For this purpose, benefit payments are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Investment Policy

The Firefighter's Pension Plan follows the City's policy to invest temporary cash surpluses. These investments are reported on the Statement of Net Position – Governmental Activities - as cash and cash equivalents or investments. Included in cash and cash equivalents are currency on hand, demand deposits with banks or other financial institutions, investments with the Local Government Investment Pool, investments in U.S. Government Mutual Funds and investments with original maturities of three months or less. Interest is allocated to the fund on the basis of investments owned.

In accordance with City policy and Washington State law, authorized investment purchases include Certificates of Deposit with financial institutions qualified by the Washington Public Deposit Protection Commission, US Treasury and Agency Securities, Bankers' Acceptances, Bonds of Washington State and any local government in Washington State which have, at the time of purchase, one of the three highest credit ratings of a nationally recognized rating agency, repurchase agreements, the State Investment Pool (which is a 2a7-like pool), and mutual funds used specifically for debt issues related to arbitrage.

The City reports its deposit and investment risk disclosures in accordance with GASB 40 and GASB 72. See Note 4 – Deposits and Investments for detail.

Changes in the Total Pension Liability

Firefighters' Pension Plan	Total Pension Liability (a)
Balances at 1/1/2022	\$ 589,347
Changes for the year:	
Interest	18,196
Differences between expected and actual experience	(52,640)
Benefit payments, including refunds of contributions	(41,459)
Changes of assumptions	-
Net changes	(75,903)
Balance at 12/31/2022	513,444

The Schedule of Changes in Total Pension Liability and Related Ratios presented in Required Supplementary Information following the notes to the financial statements presents ten-year trend information about whether the total pension liability is increasing or decreasing over time and the factors affecting the changes.

Discount Rate and Investment Earnings

The discount rate is the single rate that reflects (1) the long-term expected rate of return on pension plan investments that are expected to be used to finance payment of benefits, to the extent that the pension plan's net position is projected to be sufficient to make projected benefit payments and pension plan assets are expected to be invested using a strategy to achieve that return, and (2) a yield or index rate for 20-year, tax-exempt general obligation municipal bonds with an average rating of AA/Aa or higher (or equivalent quality on another scale), to the extent that conditions for use of the long-term expected rate of return are not met. Since the Fiduciary Net Position is projected to be positive in all future years, the discount rate is equal to the Investment Earnings assumption of 3.2%.

Sensitivity of the Total Pension Liability to Changes in the Discount Rate

The following presents the total pension liability of the Firefighters' Pension Plan, calculated using the discount rate of 3.2%, as well as what the total pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.2%) or 1-percentage-point higher (4.2%) than the current rate:

	1% Decrease (2.2%)	Current Discount Rate (3.2%)	1% Increase (4.2%)
Total Pension Liability	\$ 571,218	\$ 513,444	\$ 463,896
Fiduciary Net Position	\$ 2,725,496	\$ 2,725,496	\$ 2,725,496
	\$ (2,154,278)	\$ (2,212,052)	\$ (2,261,600)

Actuarial Assumptions

The total pension liability was determined by an actuarial valuation as of January 1, 2023, using the following actuarial assumptions, applied to all periods included in the measurement:

Salary Increases (inflation only)	3.0%
Investment earnings	3.2%
Growth in membership	0.0%
Postretirement benefit increases	
Related to salaries	3.0%
Related to Consumer Price Index	2.5%
Actuarial Cost Method	Entry Age Normal
Valuation of Assets	Market value basis

Mortality rates were based on the RPI-2012 Blue Collar Retiree Amount-Weighted Mortality Table, projected to 2021 using MP-2021 projection scale.

Municipal Employees Benefit Trust

By majority vote, City employees approved the City's withdrawal from the Social Security System pursuant to U.S.C.A., Section 418 (g) effective January 1, 1975. Permanent employees working 1,040 or more hours per year are eligible but not required to participate in the plan. Temporary employees working less than 1,040 hours per year are required to participate in the plan. Participating permanent employees may choose to defer income tax in accordance with Internal Revenue Code Section 401K, on all, part or none of their contribution while temporary employees may not defer income tax on any of their contribution. There were 959 permanent and 136 temporary participants with account balances on December 31, 2022.

The Municipal Employees Benefit Trust Plan is a defined contribution plan with participants contributing an amount equal to the current Social Security rate (7.65%). One hundred percent of the contributions made by employees hired before April 1, 1986 go to MEBT. Employees hired on or after April 1, 1986 contribute 6.2% to MEBT and 1.45% to Medicare. Permanent employees may make additional contributions up to the limit set by the Internal Revenue Code. The City contributes 7.65% for permanent employees and 4.75% for temporary employees. Of the City's contribution, 1.45% goes to Medicare for employees hired on or after April 1, 1986. Eighty percent of the remaining City contribution goes to MEBT and 20% to administrative fees. The City's contribution is based on the

payroll for all employees who are eligible to participate in the plan, regardless of the number of participants. The City's payroll for participating employees in 2022 was \$77,327,895. Employee contributions were \$5,593,311. City contributions were \$4,794,330. The City's total payroll was \$83,849,292.

Plan assets consisting of stocks, bonds, and guaranteed insurance contracts, are not the property of the City and are not subject to the claims of the City's general creditors. The Plan is administered by the Plan Committee consisting of seven employee members appointed by the City. The Plan Committee administers the MEBT Plan according to the Plan Document adopted by the City and all applicable IRS regulations. Plan provisions may be established or amended by a majority vote of the Plan Committee. Employees who elect not to participate in the Municipal Employees Benefit Trust plan retain the disability and survivor income insurance provided by the Standard Insurance Company.

Actuarial determinations are not required because (1) long term disability insurance and survivor income insurance are provided by a group insurance policy with Standard Insurance Company, and (2) each participant shall at his normal retirement date instruct the Plan Committee to (a) acquire a non-forfeitable, non-transferable annuity contract, (b) pay retirement benefits in monthly or annual installments (no contributions by the City or the participant shall be added to his account after retirement), (c) pay a single sum in cash, or (d) elect to defer any or all retirement benefits to a later date.

NOTE 8:
Defined Benefit Other Postemployment Benefits (OPEB) Plans

GASB Statement 75, Accounting and Financial Reporting by Employers for Post-Employment Benefits Other Than Pensions, requires governments to account for other post-employment benefits (OPEB) on an accrual basis, rather than on a pay-as-you-go basis. The effect is the recognition of an actuarially determined expense on the Statement of Activities when retirees earn their post-employment benefits, rather than when they use their post-employment benefit. The post-employment benefit liability is recognized on the Statement of Net Position over time. The City changed the actuarial cost method from GASB 45 to GASB 75 starting with the reporting periods beginning after January 1, 2018.

The following table represents the aggregate OPEB amounts for all plans subject to the requirements of GASB Statement 75 for the year 2022:

OPEB liabilities	\$ 14,457,858
OPEB assets	\$ -
Deferred outflows of resources	\$ -
Deferred inflows of resources	\$ 1,153,120
OPEB expenses/expenditures	\$ (3,363,231)

Plan Description

The City provides post-retirement healthcare benefits for members of the Law Enforcement Officers and Firefighters (LEOFF) retirement system hired before October 1, 1977 under a single-employer, defined benefit healthcare plan administered by the City, as required by the Revised Code of Washington (RCW Chapter 41.26). Retirees are eligible to receive lifetime retiree medical benefits upon service retirement after age 50 with at least five years of service. This is a closed plan covering retired employees only. New entrants are not permitted.

Most medical coverage for eligible retirees is provided by one of the City's employee medical insurance programs as a single-employer. Under the authorization of the LEOFF Disability Board, direct payment is made for other retiree medical expenses not covered by standard medical plan benefit provisions.

No retiree contributions toward the cost of retiree medical benefits are required.

As of December 31, 2022, the following retired employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	29
Inactive employees entitled to but not yet receiving benefits	-
Active employees	-
Total	29

Funding Policy

Funding for the LEOFF retiree healthcare costs is provided entirely by the City as required by RCW. The City's funding policy is based upon pay-as-you-go financing requirements and the net assets available for plan benefits is zero at all times.

Financial reporting for the LEOFF retiree healthcare plan is included in the City's Comprehensive Annual Financial Report.

Actuarial Methods and Assumptions

In 2022 the City used the alternative measurement method (AMM) permitted under GASB Statement 75. Retirement, disablement, termination, and mortality rates were assumed to follow the LEOFF 1 rates used in the June 30, 2022, actuarial valuation report issued by the Office of the State Actuary (OSA).

The total OPEB liability (TOL) was determined using the following methodology:

Actuarial Valuation Date	6/30/2022
Actuarial Measurement Date	6/30/2022
Actuarial Cost Method	Entry Age
Amortization Method	Recognized Immediately
Asset Valuation Method	N/A (No Assets)

For purposes of the AMM online tool, a simplifying actuarial assumption is made considering that over 99 percent of the LEOFF 1 members are already retired. The remaining active members are eligible to retire and will retire immediately following the measurement date.

This approach inherently assumes that all liabilities are fully earned and the service cost equals zero. In other words, the entry age normal total OPEB liability is by definition equal to the present value of future benefits. The OSA determines that there is no need to implicitly make assumptions with respect to projected salary changes.

Each cohort is assumed to be 100 percent male. As of the measurement date, greater than 98 percent of the eligible LEOFF 1 population is male. This simplification is believed to be reasonable and only the mortality assumptions selected (since the medical assumptions are already blended based upon the actual gender distribution within the eligible population) are impacted. The OSA will continue to monitor this assumption for future versions of the tool.

Based upon the overall distribution of the LEOFF 1 eligible population, the four age-based cohorts are selected for purposes of the AMM online tool and this grouping approach is believed to be reasonable for the purpose of the AMM.

Medical and long-term care costs were projected from June 30th, 2020 to the measurement date of June 30, 2022 using the healthcare trend rates detailed in the 2020 LEOFF 1 OPEB Actuarial Valuation Report (AVR).

Mortality rates were based on the PubS.H-2010 (Public Safety) mortality table report published by the Society of Actuaries. The OSA applied offsets to the base table and recognized future improvements in mortality by projecting the mortality rates using 100 percent Scale BB. Mortality rates are applied on a generational basis, meaning members are assumed to receive additional mortality improvements in each future year throughout their lifetime.

Healthcare Trend Rates

Medical costs	Approximately 5.0%, varies by year.
Long-term care	4.50%
Medicare Part B Premiums	Approximately 5.5%, varies by year.

Please see the OSA's 2020 LEOFF 1 Medical Benefits Actuarial Valuation Report for additional detail on the healthcare trend rates.

Discount Rate

Since OPEB benefits are funded on a pay-as-you-go basis, the discount rates used to measure the total OPEB liability was set equal to the Bond Buyer General Obligation 20-Bond Municipal Index, or 2.16 percent for the June 30, 2021, measurement date and 3.54 percent for the June 30, 2022, measurement date.

Changes in Total OPEB Liability

The following table presents the change in the total OPEB liability as of the June 30, 2022, measurement date:

Total OPEB Liability (TOL)	
Total OPEB Liability - Beginning	\$ 18,549,651
Service Cost	\$ -
Interest Cost	\$ 392,846
Changes in experience data and assumptions	\$ (3,756,077)
Changes in benefit terms	\$ -
Estimated benefit payments	\$ (728,562)
Other	\$ -
Net Changes in Total OPEB Liability	\$ (4,091,793)
Total OPEB Liability - Ending	\$ 14,457,858
Covered Employee Payroll	\$ -
TOL as a Percentage of Covered Payroll	N/A

Sensitivity Analysis of the Total OPEB Liability to Changes in the Discount Rate

The following table presents the total OPEB liability of the City as an employer, calculated using the discount rate of 3.54%, as well as what the total OPEB liability would be if it were calculated using a discount rate that is 1 percent point lower (2.54 percent) or 1 percent point higher (4.54 percent) than the current rate.

	Total
1% Decrease	\$ 16,101,452
Current Discount Rate	\$ 14,457,858
1% Increase	\$ 13,056,886

Sensitivity Analysis of the Total OPEB Liability to Changes in the Healthcare Cost Trend Rates

The following table presents the total OPEB liability of the City as an employer, calculated using the healthcare trend rates of 5.00 percent, as well as what the total OPEB liability would be if it were calculated using healthcare trend rate that is 1 percent point lower (4.00 percent) or 1 percent point higher (6.00 percent) than the current rate:

	Total
1% Decrease	\$ 13,113,717
Current Discount Rate	\$ 14,457,858
1% Increase	\$ 15,998,475

OPEB Expense, Deferred Outflows of Resources, and Deferred Inflows of Resources Related to OPEB.

For the year ended December 31, 2022, the City recognized OPEB expense of (\$ 3,363,231).

On December 31, 2022, the City reported deferred outflows of resources related to OPEB for the City from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual experience \$	- \$	-
Changes of assumptions	-	-
Transactions subsequent to the measurement date	317,158	-
Total \$	317,158 \$	-

NOTE 9:
Construction Commitments

At December 31, 2022 the City had significant contractual obligations on construction projects:

(In thousands)

Transportation Projects	\$ 6,922
General Government	35,835
Utilities Projects	<u>10,470</u>
Total	<u><u>\$ 53,227</u></u>

NOTE 10:
Interfund Transfers

Interfund transfers are used to move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them, to move receipts for debt service from the fund collecting the receipts to a debt service fund as debt service payments become due, and to use unrestricted revenues collected in the general fund to finance various programs accounted for in other funds in accordance with budgetary authorizations.

Interfund balances on December 31, 2022 were as follows:

Due To/From Other Funds	Receivables	Payables
General Fund	\$ 5,005,964	\$ 9,748
Other Governmental Funds		4,712,451
Internal Service Funds		283,765
Total due other funds	\$ 5,005,964	\$ 5,005,964

Interfund transfers on December 31, 2022 were as follows:

		Transfer from					
		General Fund	Capital Investments Program	Other Governmental Funds	Proprietary Funds	Internal Service Funds	Total
Transfer to	General Fund	\$ -	\$ 2,691,595	\$ 219,272	\$ 190,457	\$ 51,001	\$ 3,152,325
	Capital Investment Program Funds	\$ 4,626,958	\$ -	\$ 5,281,128	\$ -	\$ -	\$ 9,908,086
	Other Governmental Funds	\$ 3,555,833	\$ 350,375	\$ -	\$ -	\$ -	\$ 3,906,208
	Proprietary Funds	\$ -	\$ 594,695	\$ -	\$ -	\$ -	\$ 594,695
	Internal Service Funds	\$ 3,348,436	\$ -	\$ -	\$ -	\$ -	\$ 3,348,436
	Total	\$ 11,531,227	\$ 3,636,665	\$ 5,500,400	\$ 190,457	\$ 51,001	\$ 20,909,750

NOTE 11:

Long-Term Obligations

Direct Borrowings

As of December 31, 2022, the City had no direct placements, no unused lines of credit, and no assets pledged as collateral for debt. The City's direct borrowings included the following:

Direct Borrowings

- 2012 Public Works Trust Fund Loan – 161st Ave NE Extension
- 2015 State of Washington Department of Ecology Loan – Redmond Way Stormwater Treatment Facility

Below are the terms of the City's debt obligations, related to significant events of default with finance-related consequences, termination events with finance-related consequences, and subjective acceleration clauses, if any.

Public Works Trust Fund (PWTF) Loans– Construction Loan Agreement Between City of Redmond and Washington State Public Works Board (“Board”)

Default in Repayment – Loan repayments shall be made on the loan in accordance with the contract terms. A payment not received within thirty (30) days of the due date shall be declared delinquent and the City shall be assessed a monthly penalty beginning on the first day past the due date. The penalty will be assessed on the entire payment amount. The penalty will be 1% per month or 12% per annum.

Performance Incentives – The City shall complete the project no later than 60 months after the date of contract execution. Failure to meet the time of performance shall constitute default of the contract. The City may request in writing to extend the deadline for the project completion. Should the City complete the project within 48 months after the date of contract execution, the City may exercise an incentive option, to either increase the repayment period or decrease the interest rate. Irrespective of the performance incentive chosen, the minimum loan interest rate shall not be less than 0.25%. The calculation of interest rate and term adjustments will apply to the remaining payments.

Repayment – The City has the right to repay the unpaid balance of the loan in full at any time or make accelerated payments without penalty.

Termination for Cause – If the City fails to comply with the terms of the agreement or fails to use the loan proceeds only for those activities identified in the agreement, the Board may terminate the contract in whole or in part at any time. Nothing in this section shall affect the City's obligation to repay the unpaid balance of the loan.

Termination for Convenience – The Board may terminate the contract if state funds are no longer available to the Board or are not appropriated for the purpose of meeting the Board's obligations under the contract. Termination will be effective when the Board sends written notice of termination to the City. Nothing in this section shall affect the City's obligation to repay the unpaid balance of the loan.

Washington State Department of Ecology (DOE) Loan – Water Quality Facility Project Loan Agreement Between City of Redmond and Washington State DOE (“Department”)

Late Charges – If any amount of the loan agreement remains unpaid after it becomes due and payable, the Department may assess a late charge. The late charge will be 1% per month on the past due amount, starting on the date the debt becomes past due and until it is paid in full. The City will be in default of its obligations under the loan agreement when any loan payment becomes 60 days past due.

Default Events – The loan agreement may be terminated by the Department for insufficient department funds. The loan agreement may also be terminated if the City fails to commence project work or for past due payments. In addition, the City will be in default of its obligations under the loan agreement if, in the opinion of the Department, the City has unjustifiably failed to perform any obligation required of it by the loan agreement. In response to a Department-initiated termination event or in response to a loan default event, the Department may in its sole discretion demand that the City repay the outstanding balance of the loan amount and all accrued interest. From the time that the Department demands repayment of funds, amounts owed by the City to the Department will accrue additional interest at the rate of 1% per month, or a fraction thereof. In the event of a default, the Department shall

not have the right to declare the principal of an interest on the loan immediately due and payable, but repayments not made immediately will incur late charges.

Collection and Enforcement Actions – In the event of a default event, the State of Washington reserves the right to take any actions it deems necessary to collect the amounts due, or to become due, or to enforce the performance and observance of any obligation by the City, under the loan agreement.

Prepayment – So long as the Department will hold the loan, the City may prepay the entire unpaid principal balance of and accrued interest on the loan or any portion of the remaining unpaid principal balance of the loan amount. Any prepayments on the loan will be applied first to any accrued interest due and then to the outstanding principal balance of the loan amount.

Refinancing or Early Repayment – So long as the Department will hold the loan, the City will give the Department 30 days written notice if the City intends to refinance or make early repayment of the loan.

Termination for Cause – In the event the City unjustifiably fails, in the opinion of the Department, to perform any obligation required of it by the loan agreement, the Department may refuse to pay any further funds thereunder and/or terminate the loan agreement by giving written notice of termination.

Recovery of Payments – In the event the City fails, for any reason, to perform obligations required of it by the loan agreement, the City may be required to repay to the Department all loan funds disbursed to the City for those parts of the project that are rendered worthless in the opinion of the Department by such failure to perform. Interest shall accrue at the rate of 12% per year, from the time the Department demands repayment of funds. If payments have been discontinued by the Department due to insufficient funds, the City shall not be obligated to repay monies which had been paid to the City prior to such termination. Any property acquired under the agreement, at the option of the Department, may become the Department's property and the City's liability to repay monies shall be reduced by an amount reflecting the fair value of such property.

Defeasance of the Loan – So long as the Department will hold the loan, the City will not be entitled to, and will not effect, an economic defeasance of the loan. The City will not advance refund the loan. If the City defeases or advances refunds the loan, it will be required to use the proceeds thereof immediately upon their receipt, together with other available City funds, to repay both of the following: (i) the loan amount with interest and (ii) any other obligation of the City to the Department under the loan agreement, unless in its sole discretion the Department finds that repayment from those additional sources would not be in the public interest. Failure to repay the loan amount plus interest within the time specified in the Department's notice to make such repayment will incur late charges and will be treated as a loan default.

Public Works Trust Fund Loans

The City's governmental activities currently have one State of Washington Public Works Trust Fund Loan with principal outstanding of \$850,058. The interest rate is 0.25%. This loan is considered an obligation of the general government and is being repaid from General Fund revenues which are transferred to the Capital Investments Program Fund where the loan payments are recorded.

The City's business type activities currently have one State of Washington Agency Fund Loan with principal outstanding of \$3,103,912. In 2012 the City Council of the City of Redmond adopted Resolution #1371, accepting a Washington State Department of Ecology (DOE) loan for funding towards the Redmond Way Water Quality Facility. The loan amount of \$4,412,000 was drawn down on September 2, 2015. The loan bears interest at the rate of 2.6% per annum, calculated on the basis of a 365-day year. The final loan amount will be repaid from the City's utility funds in equal installments semiannually over a term of twenty years.

Public Works Trust Fund Loans outstanding at December 31, 2022 are as follows:

Governmental Activities				Business Type Activities			
Year	Principal	Interest	Total	Year	Principal	Interest	Total
2023	94,451	2,125	96,576	2023	212,936	79,758	292,694
2024	94,451	1,889	96,340	2024	218,539	74,155	292,694
2025	94,451	1,653	96,104	2025	224,289	68,405	292,694
2026	94,451	1,417	95,868	2026	230,191	62,503	292,694
2027	94,451	1,180	95,631	2027	236,247	56,446	292,693
2028-2031	377,803	2,362	380,165	2028-2032	1,277,816	185,652	1,463,468
-	-	-	-	2033-2035	703,894	27,840	731,734
Total	\$ 850,058	\$ 10,626	\$ 860,684	Total	\$ 3,103,912	\$ 554,759	\$3,658,671

Other Debt Obligations

As of December 31, 2022, the City's other debt obligations included the following long-term limited tax general obligation (LTGO) and utility system revenue bonds:

Other Debt

- 2013 LTGO Refunding – City Hall Building (unrefunded portion)
- 2014 Stormwater Capital Improvement Revenue Bonds (unrefunded portion)
- 2015 LTGO Refunding – 2008 Bonds Years 2025-2028 & Transportation Projects
- 2016 LTGO Refunding – 2008 Bonds Years 2019-2025 & Transportation Projects
- 2021 LTGO Refunding Bonds (Taxable) – 2013 City Hall Building
- 2021 Stormwater Refunding (Taxable) – 2014 Capital Improvement Revenue Bonds
- 2022 LTGO Bonds – Senior & Community Center Building

While there are no identifiable listed events of default for the City's publicly sold bonds, terms of default would include: (i) failure to pay principal and interest and (ii) failure to uphold the covenants made in the authorizing ordinances, by which remedial steps would be appropriated. LTGO debt is backed by the full faith and credit of the City. Revenue debt is secured by the pledge of a specific revenue stream, such as utility user fees. The City is liable for principal and interest payments only as they become due. The City's publicly sold bonds are not subject to termination events or acceleration clauses.

General Obligation Bonds

The City issues general obligation bonds to provide funds for the acquisition and construction of major capital facilities. General obligation bonds are direct obligations and pledge the full faith and credit of the City. General obligation bonds have been issued for general government activities and are being repaid from debt service funds.

In 2013 the City issued \$33,085,000 in limited tax general obligation (LTGO) refunding bonds, with a final maturity of December 1, 2035; the callable portion of \$17,115,000 of the bonds was refunded in 2021, and the outstanding principal amount on the unrefunded portion is \$1,060,000 as of December 31, 2022, which is scheduled to pay in full in 2023.

In November 2015, the City Council of the City of Redmond adopted Ordinance #2809, providing for the issuance of two series of LTGO and Refunding Bonds in the aggregate principal amount of not to exceed \$31,000,000 to provide funds to finance the costs of transportation improvements, to refund certain outstanding LTGO bonds of the City, and to finance costs of issuance of each series of bonds. In December 2015, the City issued \$9,280,000 in LTGO refunding bonds with an interest rate of 3.00% to advance refund \$8,940,000 of outstanding 2008 LTGO bonds. The

reacquisition price exceeded the net carrying amount of the old debt by \$951,425. This amount is being charged to operations through the year 2028 using the straight-line method. The remaining balance of \$508,913 is reported as a deferred outflow in the statement of net position. In January 2016, the City issued \$11,630,000 in LTGO refunding bonds with an interest rate of 2.0%-5.0% to advance refund \$11,675,000 of outstanding 2008 LTGO bonds. The reacquisition price exceeded the net carrying amount of the old debt by \$1,386,462. This amount is being charged to operations through the year 2035 using the straight-line method. The remaining balance of \$971,405 is reported as a deferred outflow in the statement of net position. In January 2016, the City also issued \$6,000,000 in LTGO bonds with an interest rate of 2.0%-5.0% to provide funds to finance the costs of transportation improvements.

In 2021, the City issued \$18,850,000 in LTGO refunding bonds to advance refund and defeased a portion of the 2013 bonds used to building a City Hall, parking garage, and to provide for other enhancements to the City campus. The City realized a net present value savings of 11.29% by advance refunding \$17,115,000 of those bonds in 2021. The debt payments are budgeted biennially and paid from levies of taxes within the constitutional and statutory tax limitations provided by law without a vote of the voters of the City. Redmond uses general revenues and utility user fees to support these debt payments. The reacquisition price exceeded the net carrying amount of the old debt by \$958,447. This amount is being charged to operations through the year 2035 using the straight-line method and is reported as a deferred outflow in the statement of net position.

In 2022, the City issued \$14,015,000 in LTGO bonds to finance a portion of the costs necessary to acquire, construct, design, develop, improve, equip, and furnish the City's Senior and Community Center building. The debt payments are budgeted biennially and paid from the levies of taxes within the constitutional and statutory tax limitations provided by law without a vote of the voters of the City.

General obligation bonds outstanding at December 31, 2022 are as follows:

	Issue Date	Maturity Date	Interest Rate	Amount Issued	Redemptions to Date	Outstanding 12/31/2022
2013 LTGO Refunding Bonds (unrefunded portion)	9/12/2013	12/1/2023	1.75% - 5.0%	33,085,000	32,025,000	1,060,000
2015 LTGO Refunding Bonds	12/22/2015	12/1/2028	3.0%	9,280,000	-	9,280,000
2016 LTGO Refunding Bonds	1/21/2016	12/1/2024	2.0% - 5.0%	11,630,000	7,800,000	3,830,000
2016 LTGO Bonds	1/21/2016	12/1/2035	2.0% - 5.0%	6,000,000	1,585,000	4,415,000
2021 LTGO Refunding Bonds- City Hall building	10/14/2021	12/1/2035	0.24% - 2.40%	18,850,000	345,000	18,505,000
2022 LTGO Bonds-Senior & Community Center Building	6/1/2022	12/1/2037	2.08% - 3.18%	14,015,000	-	14,015,000
Total General Obligation Bonds				\$ 92,860,000	\$ 41,755,000	\$ 51,105,000

Annual debt service requirements to maturity for general obligation bonds are as follows:

Year Ending	Governmental Activities	
	Principal	Interest
2023	3,960,000	1,738,540
2024	4,120,000	1,569,404
2025	4,295,000	1,427,368
2026	4,405,000	1,315,080
2027	4,520,000	1,196,955
2028-2032	16,670,000	4,215,290
2033-2037	13,135,000	1,434,493
	<u>\$ 51,105,000</u>	<u>\$ 12,897,130</u>

Revenue Bonds

The City issues revenue bonds to finance construction projects for the City's utilities. Revenue bonds are payable from revenues generated by the user fees and are backed by the Stormwater utilities. Revenue bonds generally require a cash reserve be maintained of 120% of the current portion of revenue bonds payable, plus interest.

The 2014 revenue bonds were issued for \$22,950,000, with a final maturity of December 1, 2034; the callable portion of \$13,865,000 of the bonds was refunded in 2021. The outstanding principal amount of the unrefunded portion is \$2,050,000 as of December 31, 2022, which is scheduled to remit annually and will be paid in full on December 1, 2024.

In 2021, the City issued \$15,880,000 in utility system revenue refunding bonds to advance refund and defease a portion of the 2014 stormwater revenue bonds issued to pay for the construction and improvement of various pump stations, access chambers, regional facilities in the Overlake and Downtown areas of the City, flow control, and water quality facilities. The 2014 bonds also included funding for stream and habitat restoration projects. The City realized a net present value savings of 9.09% by advance refunding \$13,865,000 of those bonds in 2021.

The reacquisition price exceeded the net carrying amount of the old debt by \$221,732. This amount is being charged to operations through the year 2034 using the straight-line method and is reported as a deferred outflow in the statement of net position

Revenue bonds outstanding at year end are as follows:

	<u>Issue Date</u>	<u>Maturity Date</u>	<u>Interest Rate</u>	<u>Amount Issued</u>	<u>Redemptions to Date</u>	<u>Outstanding 12/31/2022</u>
2014 Stormwater Revenue Bonds (unrefunded portion)	7/24/2014	12/1/2024	3.26% - 4.25%	\$ 22,950,000	\$ 20,900,000	\$ 2,050,000
2021 Stormwater Refunding Bonds	10/14/2021	12/1/2034	0.25% - 2.34%	<u>15,880,000</u>	<u>325,000</u>	<u>15,555,000</u>
Total Revenue Refunding Bonds				<u>\$ 38,830,000</u>	<u>\$ 21,225,000</u>	<u>\$ 17,605,000</u>

Annual debt service requirements to maturity for revenue bonds are as follows:

<u>Year Ending</u>	<u>Business-type Activities</u>	
	<u>Principal</u>	<u>Interest</u>
2023	1,295,000	371,628
2024	1,345,000	320,451
2025	1,400,000	265,915
2026	1,415,000	251,033
2027	1,430,000	233,869
2028-2032	7,505,000	808,160
2033-2034	<u>3,215,000</u>	<u>111,714</u>
	<u>\$ 17,605,000</u>	<u>\$ 2,362,770</u>

Changes in Long-Term Liabilities

Long-term liability activity for the year ended December 31, 2022 was as follows:

	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Governmental Activities:					
Bonds Payable:					
General Obligation Bonds	\$ 40,570,000	\$ 14,015,000	\$ (3,480,000)	\$ 51,105,000	\$ 3,960,000
For issuance premiums	2,248,238	2,044,849	(242,771)	4,050,316	-
Total Bonds Payable	42,818,238	16,059,849	(3,722,771)	55,155,316	3,960,000
Direct borrowings	944,506	-	(94,450)	850,056	94,451
Compensated absences	6,631,536	13,923,195	(6,559,550)	13,995,181	11,196,145
Net pension liability	2,608,315	3,415,978	-	6,024,293	-
Other post employment benefits	18,549,651	-	(4,091,793)	14,457,858	634,316
Total firefighters' pension	589,347	-	(75,903)	513,444	-
Asset retirement obligation	233,504	26,431	-	259,935	-
Leases*	-	3,262,011	-	3,262,011	400,840
Total Governmental activity long-term liabilities	\$ 72,375,097	\$ 36,687,464	\$ (14,544,467)	\$ 94,518,094	\$ 16,285,752
Business-Type Activities:					
Bonds Payable:					
Revenue Bonds	\$ 18,850,000	\$ -	\$ (1,245,000)	\$ 17,605,000	\$ 1,295,000
For issuance premiums	425,246	-	(141,749)	283,497	-
Total Bonds Payable	19,275,246	-	(1,386,749)	17,888,497	1,295,000
Direct borrowings	3,311,390	-	(207,477)	3,103,913	212,936
Compensated absences	765,012	1,198,854	(622,245)	1,341,621	1,073,297
Asset retirement obligation	466,027	32,410	-	498,437	-
Net pension liability	655,188	795,440	-	1,450,628	-
Leases*	-	190,560	-	190,560	15,941
Total Business-type activity long-term liabilities	\$ 24,472,863	\$ 2,217,264	\$ (2,216,471)	\$ 24,473,656	\$ 2,597,174

Internal service funds predominantly serve the governmental funds. Accordingly, long-term liabilities for them are included as part of the above totals for governmental activities. At year end \$333,262 of internal service funds net pension liability and \$801,257 compensated absences are included in the above amounts. Compensated absences for governmental activities are liquidated in the governmental fund from which the employee's salary is paid. Governmental funds typically used to liquidate compensated absences are the General Fund, Recreation Activities Fund, Advanced Life Support Fund, and the Recycling Fund.

The other postemployment benefits liabilities and pension obligation are liquidated by the General Fund.

Arbitrage

Arbitrage occurs when the City invests funds borrowed at tax-exempt rates of interest in higher yielding taxable securities. These interest earnings in excess of interest expense must be remitted to the federal government. At the fund level, the City recognizes this liability only when it is due and payable. The City had no arbitrage excess earnings liability in 2022.

Additional information on the City's long-term liabilities is provided in the City's Debt Manual which is available at:

<https://www.redmond.gov/DocumentCenter/View/27005/2023-Debt-Manual-PDF>

NOTE 12: Leases

In 2022, the City implemented GASB Statement No. 87 to all contracts that convey control of the right to use another entity's nonfinancial assets as specified in the contract for a period of time in an exchange or exchange-like transactions.

Under GASB Statement No. 87, the lessor is required to recognize a lease receivable and deferred inflow of resources and a lessee is required to recognize lease liability and an intangible right-to-use lease asset.

City as Lessor:

The City, as a lessor, has entered into lease agreements involving land, office space, telecommunication sites, pump station sites, and equipment facilities. The terms and conditions of these leases vary, with time period ranging from between one to ten years. We have generally included these renewal periods in the lease term when it is reasonably certain that we will exercise the renewal option. The City's lease arrangements do not contain any material residual value guarantees. Since the implicit interest rate in the City's leases is not readily determinable, the City utilizes its incremental borrowing rate, ranging between 6.48% to 6.74%, to discount these lease payments.

The minimum lease payment receivable on leases are shown below:

Year	Governmental Funds	
	Principal	Interest
2023	\$ 262,430	\$ 69,211
2024	\$ 284,636	\$ 70,881
2025	\$ 235,261	\$ 52,017
2026	\$ 169,626	\$ 38,407
2027	\$ 123,526	\$ 26,669
2028-2032	\$ 260,098	\$ 32,968
Total	\$ 1,335,577	\$ 290,153

The minimum lease payment receivable on leases are as follows:

Year	Proprietary Funds	
	Principal	Interest
2023	\$ 119,114	\$ 40,429
2024	\$ 78,031	\$ 32,609
2025	\$ 87,862	\$ 27,205
2026	\$ 98,490	\$ 21,179
2027	\$ 74,840	\$ 14,437
2028-2032	\$ 138,659	\$ 13,066
Total	\$ 596,997	\$ 148,925

The total amount of inflow of resources, including lease revenue, interest revenue, and other lease-related inflows, recognized during the fiscal year are as follows:

	Governmental		Business-Type		Total
	Activities		Activities		
Lease revenue	\$ -	\$	165,726	\$	165,726
Interest revenue	\$ -	\$	45,755	\$	45,755

City as Lessee:

The City, as a lessee, has entered into lease agreements involving building space, equipment, and printer. The terms and conditions of the lease vary, with the terms ranging from one to seven years. The total of the City's lease assets is recorded at a cost of \$3,665,634, less accumulated amortization of \$519,665.

The future lease payments under lease agreements are as follows:

Year	Governmental Funds	
	Principal	Interest
2023	\$ 400,840	\$ 208,176
2024	395,917	182,190
2025	447,579	153,514
2026	433,103	122,897
2027	508,732	91,268
2028-2032	1,075,839	74,160
Total	\$ 3,262,010	\$ 832,205

The City, as a lessee, has entered into lease agreements on land. The terms and conditions of the lease vary, with the terms ranging from one to ten years. The total of the City's lease assets is recorded at a cost of \$219,768, less accumulated amortization of \$1,004.

The future lease payments under lease agreements are as follows:

Year	Proprietary Funds	
	Principal	Interest
2023	\$ 15,941	\$ 13,267
2024	\$ 17,016	\$ 12,192
2025	\$ 18,235	\$ 10,973
2026	\$ 19,505	\$ 9,703
2027	\$ 20,863	\$ 8,345
2028-2032	\$ 99,000	\$ 17,832
Total	\$ 190,560	\$ 72,312

NOTE 13:

Tax Abatement

The State of Washington enters into various tax abatement agreements that have the effect of reducing the amount of tax revenue that flows through to the local jurisdictions. The reported figures are provided by the Department of Revenue and are estimates based upon calendar year 2021 as a proxy for fiscal year 2022.

There are two state tax abatement programs that reduced the 2022 tax revenues of the City of Redmond, as follows:

High-Technology Sales and Use Tax Deferral Program

RCW 82.63 provides a deferral and ultimate waiver of sales and use tax to encourage the creation of high-wage, high-skilled jobs in state of Washington. The deferral applies to sales and use tax arising from the construction or expansion of a qualified research and development facility or a pilot scale manufacturing facility used in the fields of advanced computing, advanced materials, biotechnology, electronic device technology, or environmental technology. This program expired on January 1st, 2015.

Businesses that hold approved certificates under this program must begin 'meaningful construction' no later than December 31, 2019 (five years from the date the program expired). If the business does not begin meaningful construction by December 31, 2019, the deferral certificates become invalid, and businesses will immediately owe any deferred taxes. "Meaningful construction" is active construction. Examples such as building site excavation, laying a building foundation, and other tangible signs of construction qualify as signs of active construction. Planning, permitting, and land clearing do not qualify as active construction.

The estimated reduction in 2022 sales and use tax revenues for the City of Redmond is \$1,947,447 because of this abatement program.

Aerospace Incentives

RCWs 82.08.975 and 82.12.975 provide tax abatement to the purchase and use of computer hardware, software, or peripherals, when the buyer uses the purchases primarily in developing, designing, and engineering aerospace products. Under this incentive program, the sales and use tax exemption is also granted to aerospace services including installation charges to computer hardware, software, or peripherals.

Since the Department of Revenue cannot disclose tax information for less than three taxpayers for either state or local estimates, the estimated reduction in 2022 sales and use tax revenues for the City of Redmond is therefore not available for this abatement program.

NOTE 14: Component Units

RCW 36.145 authorizes cities to form Community Facilities Districts (CFD's) when the owners of one hundred percent (100%) of the land to be included in the district petition the city to do so. The Community Facilities Districts are independently governed, special purpose districts, vested with the corporate authority included under Article VII, section 9 of the state Constitution to make local improvements by special assessments.

The City has formed two Community Facilities Districts:

Redmond Community Facilities District 2014-1 is a special purpose district formed on July 15, 2014 by Resolution No. 1411 of the City Council of the City of Redmond, Washington, in response to a petition from Microsoft Corporation to form a community facilities district for the purpose of financing the construction of a pedestrian/bicycle bridge over SR 520 at the Overlake Transit Station and the construction of canopy coverage for waiting areas at the Overlake Transit Station. Construction of the improvements will be financed through special assessments of \$33,300,000 levied against specific Microsoft Corporation properties. The assessment will be paid in fifteen equal annual installments, with the first installment due in November 2015. The project fund was to be advanced by Microsoft in annual installments between December 2014 and December 2017; however, changes in scope of the project approved by the Board April 7, 2020 required amending the funding agreement. In April of 2020, the CFD Board voted to remove construction of the pedestrian/bicycle bridge from the scope of the CFD improvements. This action was followed up May 5, 2020 by the Board recognizing the change in project cost by revising funding agreement and relieving Microsoft of the obligation to contribute the remaining \$10,000,000 to the CFD and to provide for the CFD to refund to Microsoft \$15,411,409 previously deposited. The design and construction of the project elements will be administered by Sound Transit. Sound Transit has agreed to pay any cost of the improvements in excess of the assessed amounts.

Redmond Community Facilities District 2016-1 is a special purpose district formed on June 21, 2016 by Resolution No. 1453 of the City Council of the City of Redmond, Washington, in response to a petition from Microsoft Corporation to form a community facilities district for the purpose of financing the northeast 40th Street Stormwater Trunk Line project and multimodal improvements of eastbound and westbound left-turn lanes at the intersection of 154th Avenue NE and NE 51st Street along with bicycle lanes along NE 51st Street from 154th Avenue NE to the SR 520 eastbound on-ramp; and separately, multimodal improvements including bicycle lanes along NE 31st Street from the roundabout just east of SR 520 to 156th Avenue NE along with improvements to the intersection of NE 31st Street and 156th Avenue NE. Construction of the improvements will be financed through special assessments of \$24,618,000 levied against specific Microsoft Corporation properties. The assessment will be paid in fifteen equal annual installments, with the first installment due in November 2017. The project fund has been advanced by Microsoft in annual installments between December 2016 and December 2017. The design and construction of the project will be administered by the City. The improvements will be capital assets of the City of Redmond.

Each Community Facilities District's Board of Supervisors consists of three members of the Redmond City Council and two representatives nominated by the petitioner (Microsoft). The City Finance Director is the Treasurer for the CFD's, and City staff provides accounting and reporting services. Because the City appoints a majority of the Board members, has the ability to impose its will on the organizations through the ability to appoint, hire, reassign or dismiss those persons responsible for the day-to-day operation of the organizations, and the CFD's provide services almost entirely to the City. The CFD's are reported as blended component units in the Capital Investments Program funds in the City of Redmond's Comprehensive Annual Financial Report for the fiscal year ended December 31, 2022.

Questions concerning the CFD's or requests for financial statements may be addressed to Redmond Community Facilities District Treasurer, c/o Director of Finance, City of Redmond, PO Box 97010, Redmond, WA 98073-9710.

NOTE 15:

Joint Ventures and Operations

Water Storage and Pumping Facility

In February 1990, the City of Redmond joined with the City of Bellevue to construct, operate, and maintain a joint-use water storage and pumping facility located on the common boundary of the two cities. The City of Redmond has an undivided interest in the facility of 44%, and the City of Bellevue has an undivided interest of 56%. The City of Redmond's share of costs to construct the joint-use facility totaled \$2,078,539 and is reported on the business-type activity financial statements as improvements other than buildings. The City recognizes depreciation expense annually. Accumulated depreciation totals \$2,078,539 with a net book value of \$0. The city reimbursed the City of Bellevue \$34,697 for its share of operating costs for 2022.

Budget monitoring information can be obtained from the City of Bellevue Budget Department, 450 – 110th Avenue NE, Bellevue, WA 98004.

Cascade Water Alliance

In April 1999, the City of Redmond entered into an interlocal agreement with seven other water providers in the region to create the Cascade Water Alliance. The purpose of the Alliance is to provide water supply to meet current and future needs of the Alliance's members in a cost-effective and environmentally responsible manner.

The Alliance is governed by a Board of Directors consisting of one individual representative appointed by resolution of the member's legislative authority. Each member entity must pay annual dues based on the number of units served by the water system within their jurisdiction. The City of Redmond's dues for 2022 were \$709,707. The City of Redmond also paid the Alliance \$2,773,050 in 2022 for Regional Capital Facilities Charges (RCFCs) for new hookups to the water system that Redmond collected from new customers.

A member may withdraw from the Alliance with a resolution of its legislative authority expressing such intent. The Board will then determine the withdrawing member's obligations to the Alliance, as well as the withdrawing member's allocable share of the Alliance's then-existing obligations. The member's withdrawal shall be effective upon payment of obligations. Members do not hold legal ownership rights in any assets owned by the Alliance.

In 2011, the CWA's Board passed a resolution offering to purchase the outstanding RCFCs credits from its members at a discounted rate. These credits were awarded to its members who transferred or retained an independent water supply in excess of its needs. The Alliance's members were allowed to use such credits to apply against future RCFCs. The CWA offered to buy out the RCFC credits at \$2,500 per Cascade Equivalent Residential Unit (CERU) from its members. The City of Redmond chose the one-time redemption option. The payment was finalized and the total of \$ 3,076,875 was sent to the City of Redmond in December 2012. Such receipt was reported as capital contributions in the city's Water/Wastewater fund on the proprietary funds' Statement of Revenues, Expenses, and Changes in Fund Net Position. These monies were used to help pay off the remaining balance of the 2008's revenue bonds that became callable in 2018.

Financial statement information can be obtained from Cascade Water Alliance, c/o Chris Paulucci, Finance and Administration Manager, 520 - 112th Avenue NE, Suite 400, Bellevue, WA 98004.

A Regional Coalition for Housing (ARCH)

In November 1992, the City of Redmond joined the Cities of Kirkland, Bellevue, and King County to establish A Regional Coalition for Housing (ARCH). The agreement was recently amended in 2010. Since its inception, King County, the Cities of Redmond, Bellevue, Kirkland, Bothell, Clyde Hill, Hunts Point, Issaquah, Kenmore, Mercer Island, Newcastle, Sammamish, Woodinville, Yarrow Point, and Beaux Arts Village joined ARCH.

ARCH's purpose is to cooperatively formulate affordable housing goals and policies and to foster efforts to provide affordable housing for low and moderate-income households by combining public funding with private-sector resources. ARCH assists member governments in developing housing policies, strategies, programs, and development regulations; identifies and prioritizes projects which the member cities fund directly through their own grants, Community Development Block Grants and US Department of Housing and Urban Development's (HUD) grants.

ARCH is governed by an Executive Board composed of a Chief Executive Officer from each member. The Executive Board is responsible for review and approval of all budgetary, financial, policy and contractual matters. The Board is assisted by an administrative staff and a Citizen Advisory Board.

Each member city provides operating funding and contributes operating revenues as specified in the annual budget for ARCH. Contributions from the member cities are based on each member's population. Contributions by member agencies are held in the ARCH Housing Trust Fund Account and dispersed by the Administering Agency for approved projects. In 2022 the city contributed \$156,381 for operations or 13.83% of the total contributions for operations by all members. The City has accumulated \$3,374,634 in the Trust Fund for funding affordable housing projects.

Members may withdraw from the ARCH agreement by giving one year's written notice to the Executive Board, by December 31st of any year, of its intention to terminate, effective December 31st of the following year. Members remain legally and financially responsible for any obligation incurred while a member of ARCH. Upon dissolution, the agreement provides for distribution of all property and assets among the members based on the percentage of the total annual contributions during the period of the agreement paid by each member. The City's share of assets is deemed immaterial and thus is not reflected in the financial statements.

Budget monitoring information can be obtained from ARCH, c/o Lindsay Masters, Executive Director, 16305 NE 87th Street, Redmond, WA 98052.

Eastside Public Safety Communications Agency (EPSCA)

The Eastside Public Safety Communications Agency (EPSCA), an emergency regional radio access service provider operation, was established on May 26, 1992, by an interlocal agreement among the Cities of Redmond, Bellevue, Kirkland, and Mercer Island. The Agreement was amended in 1993, to include the City of Issaquah as an additional Principal. EPSCA began principal operations of the 800 MHz radio system in December 1995.

EPSCA is governed by an Executive Board, which is comprised of the Chief Executive Officers of the Principals. The Executive Board is responsible for review and approval of all budgetary, financial, and contractual matters.

An Operations Committee, composed of the Chief of Police and Fire Chief of each Principal, reports to the Board and oversees budget preparation, rates, revenues, expenditures, policies and other operational issues. The Committee also includes representation from non-Principal EPSCA user agencies.

EPSCA has developed an Eastside radio communications system which is integrated with a regional radio communications network. Its capital funding derives from a September 15th, 1992 voter-approved King County excess property tax levy of \$57,016,764. EPSCA's portion of the levy was \$10,004,469.

Operating revenues derive from fees charged to the Principals for communications services and from subscriber fees for communications services. The City of Redmond paid \$133,614 to EPSCA in 2022 for the 800 MHz radios that are in use throughout the City. These fees would change when the access fee rate change or when radios are added or removed from the system.

The interlocal agreement among the Eastside cities provides for a weighted vote according to the proportion of each Principal's system radios in relation to the total number of system radios used by all Principals. As of December 31st, 2022, the weighted vote percentage was shown as follows:

Redmond	23.57%
Bellevue	46.58%
Kirkland	18.02%
Mercer Island	5.89%
Issaquah	5.94%
	100.00%

These percentages are reviewed and adjusted annually at January 1st, based on the number of radios on the system in use by current Principals as of December 31st of the preceding year. Upon dissolution, the interlocal

agreement provides for distribution of assets among the Principals based on weighted voting percentages in force at the time of dissolution.

Budget monitoring and compiled financial statements for EPSCA can be obtained from EPSCA, c/o Kale Fong, MS PSEPS, P.O. Box 97010, Redmond, WA 98073-9710.

Hazardous Materials Unit and Response Team (HazMat)

In January 1984, the City of Redmond joined the Cities of Bellevue, Kirkland, Bothell, and King County Fire Protection Districts 16 and 36 to form a Hazardous Materials Unit and Response Team (HazMat). The agreement was recently modified on July 13th, 2004. Current members are the Cities of Redmond, Bellevue, Kirkland, Bothell, Snoqualmie, along with Eastside Fire & Rescue, Woodinville Fire & Life Safety District, and King County Fire Districts 27 & 45.

The purpose of the HazMat agreement is to provide equipment and personnel for improving the quality of emergency services through development of the cooperative HazMat unit as a normal function of fire protection services. Eastside is better prepared to respond to any HazMat incident with low frequency but high risk through this existing collaborative model.

The HazMat team is governed by a Joint Board which is composed of the Fire Chiefs of the member agencies plus one member from the HazMat team. The Joint Board is responsible for formulating policy, establishing annual budgets, and acquiring, holding, and disposing of real and personal property. With the exception of the member from the HazMat team, each representative on the Joint Board has a vote on all matters. Member agencies have no equitable interest in the holdings of the consortium as stated in the agreement.

The City of Bellevue has the administrative authority for operations conducted pursuant to the agreement and provides administrative and secretarial support to the Joint Board.

The agreement may be terminated at any time upon the mutual agreement of all the members. A decision to withdraw will not relieve the withdrawing member of liability incurred prior to withdrawal. Members withdrawing from the agreement relinquish all rights to any reserve funds, equipment, or material purchased. Upon dissolution, the agreement provides for distribution of assets among the members based on the percentage of the total annual charges paid by each member during the period of the agreement.

The HazMat team has no outstanding debt or leases in 2022. Operating revenues are provided by an annual charge assessed each member based on each member's property values and number of emergency incidents. The City of Redmond paid the HazMat team \$23,542 for 2022's contract fee.

Budget monitoring information can be obtained from Eastside Hazardous Materials Joint Board, c/o Babette Bechtold, Bellevue Fire Department, P.O. Box 90012, Bellevue, WA 98004.

Community Connectivity Consortium

The Community Connectivity Consortium is a public corporation organized pursuant to the ordinances and approvals of the Consortium members and RCW 35.21.730 through 35.21.759 and Chapter 39.34.RCW. The Consortium was created in 2011 and is governed by sixteen public agencies who are voting members: cities of Redmond, Bellevue, Kirkland, Renton, Auburn, Kent, Tukwila, Lake Washington School District, University of Washington, Bellevue College, Bellevue School District, Evergreen Hospital, Renton School District, Valley Communication Center, NORCOM, and King County. The Consortium sets the terms and conditions for sharing fiber optic installation projects, outlines how the parties will work together on fiber projects and establishes the original backbone of the Fiber Consortium network through contributions of budget, fiber assets, conduit, right of way and staff expertise. It has built over 35 miles of fiber optic cable, creating strategic connection points along the way. The partners use the fiber network to connect schools and universities to enhance learning; to connect hospitals, medical facilities and clinics to improve health care; connect government facilities for public safety, transportation and other needs; and to provide an open access network to serve the public with wireless and broadband access.

The City of Redmond petitioned to join the Consortium as a non-voting member on May 14th, 2012, and became a voting member at the following year. Redmond has the option to participate in fiber projects with project agreement that documents scope, roles and responsibilities, ownership, share of the overall project cost, etc.

Since 2012 access to cloud services has become more strategic as more agencies are opting for a hybrid approach with some services in the cloud and others remaining on-premise. The fiber ring provides an integrated approach with the ability to offer high speed private transport of data to the cloud at a minimal cost instead of using transport links provided from network and telecommunication carriers.

As a member, Redmond paid \$5,355 for its annual dues in 2022. The Board can recommend new projects or services with increased dues and all members get to vote on the recommended budget each May. Besides getting the connectivity any member needs, members with similar interests may share the cost of new projects with one another. Redmond has equitable interest in the projects it participates in. If the City decides to leave the Consortium, the assets Redmond acquired under any project agreements remains Redmond's.

Compiled financial statements for the Consortium can be obtained from Chelo Picardal, Chief Technology Officer, City of Bellevue, Information Technology Department, P.O. Box 90012, Bellevue, WA 98009-9012.

North East King County Regional Public Safety Communication Agency (NORCOM)

In November 2007, the City of Kirkland, with the Cities of Bellevue, Bothell, Clyde Hill, Medina, Mercer Island, and Snoqualmie, along with Eastside Fire and Rescue, King County Fire Protection Districts 27 and 45, King and Kittitas County Fire Protection District 51, Northshore Fire Department, Shoreline Fire Department, and Woodinville Fire and Life Safety District entered into an interlocal agreement to establish and maintain a consolidated emergency service communications center to the public for emergency medical services, fire and police.

In 2008, the City of Redmond joined as a subscriber. Prior to the interlocal agreement, the formation efforts were carried out under a Joint Powers Agreement originally approved in 2005 and amended in 2006 and 2007. On July 1st, 2009, the separate dispatch operations of the Cities of Bellevue and Kirkland were combined and began operating as the North East King County Regional Public Safety Communications Agency (or NORCOM). NORCOM includes 911 telephone answering, computer aided dispatch of fire, police and EMS resources, public safety field technology and a records management system.

Operating revenues are provided by user fees charged to each member based on average call volume. The City of Redmond paid \$655,627 to NORCOM for calls for services and maintenance fees in 2022. Redmond has become a principal agency since January 1st, 2017.

Additional financial information can be obtained from NORCOM, c/o Marianne Deppen, Finance Manager, P.O. Box 50911, Bellevue, WA 98015-0911.

North Sound Metro SWAT and Crisis Negotiation Team

In 2016, Redmond joined the North Sound Metro Special Weapons and Tactics (SWAT) and Crisis Negotiation Team (CNT), which is a regional team made up of the following cities: Bothell, Edmonds, Kirkland, Lake Forest Park, Lynnwood, Mill Creek, Monroe, Mountlake Terrace, Mukilteo and Redmond. Redmond joined this team for the purpose of combining resources to create a specially trained and equipped unit to respond to and resolve criminal activity of a high risk nature. The Executive Board is comprised of the Police Chiefs of all participating cities. The Board reviews and approves changes and updates to the SWAT Policy and Procedures Manual and gives approval and direction on operational matters.

Operating revenues are provided by contributions from the participating cities based on population. The City of Redmond paid \$7,490 for 2022's dues and \$2,826 for 2022's SWAT advanced training. The City's share of assets is deemed immaterial and thus is not reflected in the financial statements. Upon termination of the SWAT team, any funds or jointly purchased assets will be distributed to the participating cities.

Budget monitoring information can be obtained from Deputy Chief Michel St. Jean, Kirkland Police Department, 11750 NE 118th Street, Kirkland, WA 98034.

Sound Cities Association

In 1970 Sound Cities Association (SCA) was formed to help cities act locally and partner regionally to create vital, livable communities through advocacy, education, leadership, mutual support and networking. The City of Redmond is among 38 cities represented by SCA. The SCA Board of Directors oversees the general activities of the Association and governs the organization by establishing broad policies and objectives for SCA. Operating revenues are provided by membership dues based on population. The City of Redmond's dues were \$48,854 in 2022. The City's share of assets is deemed immaterial and thus is not reflected in the financial statements. Upon dissolution of SCA, any funds or assets shall be distributed to member cities and towns pursuant to the same formula used to determine membership dues.

For additional information contact Deanna Dawson, Executive Director, deanna@soundcities.org.

NOTE 16:
Contingencies and Litigation

As of December 31, 2022, there were a number of damage claims and lawsuits pending against the City. However, per the management and the City's Attorney, neither the potential liability from any single claim or lawsuit, nor the aggregate potential liability resulting from all pending claims and lawsuits, would materially affect the financial condition of the City.

NOTE 17:

Risk Management

The City of Redmond is exposed to various risks of loss such as: theft of, damage to, destruction of assets; errors & omissions; injuries or property damage to others; employees' health; and natural disasters. The City has three internal service funds to account for and finance its self-insured risks of loss. The City purchases commercial insurance for claims in excess of anticipated self-insured losses. All funds of the City participate in the self-insurance programs and make payments to the self-insurance funds based on estimates of the amounts needed to pay excess insurance and related risk management and service costs, prior and current year claims paid in the current year, and to maintain adequate reserves for catastrophic losses in a given year.

Property and Liability Claims Program

The self-insured portion of the Insurance Claims and Reserve Fund provides coverage up to a maximum of \$500,000 per occurrence for related claims and expenses. There was one (1) claim in 2022 which exceeded the city's self-insurance limit; no claims exceeded the limit in 2021; no claims exceeded the limit in 2020. Reserves for open claims are established by an independent claim adjusting firm on a case reserve basis based on the assessment of the settlement potential and costs specifically associated with a particular claim, given the information available at the time. Cases are reviewed at least monthly and are subject to periodic audits. Lawsuits are reviewed and handled directly by the city Attorney or the excess insurer's appointed legal counsel.

The city's current approach to risk management stems from 2010 when the City conducted a comprehensive review of its property and liability risk programs. As a result, the City issued a request for proposal (RFP) for a broker/consultant and selected Bannon Carlson & Kessel, Inc. In 2015, Bannon Carlson & Kessel, Inc. joined Leavitt Group's Northwest office. Leavitt Group conducted a search for service providers to meet the city's needs. This resulted in the City selecting Travelers Insurance for liability coverage and retaining Affiliated F.M. for property coverage. As a result, the city's risk program changed from a \$100,000 self-insured retention for general liability claims to a \$25,000 deductible. A deductible limit applies to all claim costs while a self-insured retention only applies to any judgment or settlement. The liability limits were extended to \$25 million for general liability as described in the table below. There was one (1) claim in 2022 which exceeded the deductible amounts; no claims in 2021 exceeded the deductible amounts; no claims in 2020 exceeded the deductible amounts.

Property insurance coverage had remained with Travelers since September 1, 2013. In September 2022, the City replaced Travelers with the Cities Insurance Association of Washington (CIAW) through Leavitt Group. The CIAW is a public entity risk program that provides comprehensive property and liability coverage, and it was formed with the purpose of sharing risk and creating buying power for its members. Currently, CIAW has over 200 members, including 63 Washington cities. A Board of Directors, which is elected by the membership, governs the CIAW and decides the organization's future direction. The Board contracts with a third-party administrator, Clear Risk Solutions, to carry out the day-to-day administrative duties, as well as provide claims and risk control services. Prior to its relationship with Travelers, the City was a member of CIAW.

Medical Self Insurance Program

For 2022, the Medical Self-Insurance Fund provided coverage up to a maximum of \$175,000 per person per calendar year with the Excess Insurance covering an Unlimited Major Medical Maximum. There were four (4) claimants who exceeded the per-person limit in 2022; nine (9) claimants who exceeded the per-person limit in 2021; six (6) claimants exceeded the per-person limit in 2020. All funds of the City from which employee wages are paid make premium payments to the Medical Self-Insurance Fund based on health insurance rates derived from actual fund experience and historical and market trend rates.

For several years, the City's Medical Self-Insurance Fund was carrying excess reserves of approximately \$5 million. On March 19th, 2019 Council approved the establishment of Health Reimbursement Arrangement (HRA) Voluntary Employees' Beneficiary Association (VEBA) accounts for employees based on eligibility requirements and the use of reserves in the Medical Self-Insurance Fund to support the new accounts. HRA VEBA trust is a third-party, Voluntary Employees' Beneficiary Association (VEBA) authorized under Internal Revenue Code 501(c)(9). Trust offers tax-exempt funded health reimbursement arrangement. On April 25th, 2019, a total of \$4,935,775 of excess reserves was transferred, on a one-time basis, from Medical Self-Insurance Fund to HRA VEBA employee accounts.

Council authorized the city to self-insure workers' compensation benefits effective January 1, 1998 for employee injuries and illnesses. In 2022, the City's self-insured maximum was \$750,000 of each accident or illness for Police and Fire and \$500,000 for the rest of the employees. There was an exception for the wildland fires. If any firefighters were injured during a "wildland event", the self-insured maximum would be \$1,500,000. The City purchases excess insurance above the self-insured amounts, up to the statutory requirements. There were no claims which exceeded the insurance coverages for each of the past three fiscal years. Claims handling is currently contracted to an independent, qualified third-party administrator (TPA).

As of December 31, 2022, the City had reserves of \$1,294,204 in the Insurance Fund, \$5,677,136 in the Medical Self-Insurance Fund, and \$1,906,684 in the Workers' Compensation Fund to provide against risk of future loss. Claims liabilities of \$92,164 have been reported in the Insurance Fund, \$4,104,000 in the Medical Self-Insurance Fund, and \$501,625 in the Workers' Compensation Fund based on estimates provided by the city's third-party administrators. Historical claims liabilities for incurred but not reported (IBNR) in the Insurance Claims and Reserve Fund average 15% to 17% of paid claims for the year. Reported claims liabilities are based on the requirements of GASB Statement 10, which requires that a liability for claims be reported if information prior to the issuance of the financial statements indicates that it is probable that a liability has been incurred at the date of the financial statements and the amount of the loss can be reasonably estimated.

Changes in the self-insurance funds' claims liabilities from fiscal year ended December 31, 2021 to December 31, 2022, were:

	<u>Insurance Fund</u>	<u>Medical Insurance Fund</u>	<u>Workers' Comp Fund</u>
December 31, 2021			
Unpaid claims, beginning of fiscal year	\$ 47,427	\$ 2,034,000	\$ 276,316
Claims incurred (including IBNRs)	(28,067)	13,242,854	1,005,052
Claims payments	58,000	(12,081,854)	(881,518)
Unpaid claims-December 31, 2021	<u>\$ 77,360</u>	<u>\$ 3,195,000</u>	<u>\$ 399,850</u>
December 31, 2022			
Unpaid claims, beginning of fiscal year	\$ 77,360	\$ 3,195,000	\$ 399,850
Claims incurred (including IBNRs)	277,245	11,081,699	826,368
Claims payments	(262,441)	(10,172,699)	(724,593)
Unpaid claims-December 31, 2022	<u>\$ 92,164</u>	<u>\$ 4,104,000</u>	<u>\$ 501,625</u>

Commercial insurance policies were purchased to protect the city from claims which exceed the coverage provided by the self-insurance funds.

<u>Policy Type</u>	<u>Coverage</u>	<u>Self-Insurance Retention</u>	<u>Excess</u>
Property Policy Limit	\$250,000,000	\$100,000	
Earth Movement	5,000,000	250,000	
Flood	5,000,000	100,000	
Employee Theft	1,000,000	25,000	
General Liability - Per Occurrence	2,000,000	500,000	
General Liability - Aggregate	4,000,000		
Law Enforcement	2,000,000	500,000	
Employment Related Practices	2,000,000	500,000	
Auto Liability	2,000,000	500,000	
Umbrella Excess Liability (Excess of General, Auto and Law Enforcement Liabilities)	3,000,000		
Aggregate	6,000,000		
Excess over Umbrella	5,000,000		\$5M XS of \$5M
Excess over Excess	5,000,000		\$5M XS of \$10M
Excess over Excess	5,000,000		\$5M XS of \$15M
Excess over Excess	5,000,000		\$5M XS of \$20M
Excess over Excess	5,000,000		\$5M XS of \$25M
Cyber Liability	4,000,000	1,000,000	
Public Entity Management Liability	2,000,000	500,000	
Underground Storage Tank Liability - Each	1,000,000	75,000	
Underground Storage Tank Liability - Aggregate	3,000,000		
Aboveground Storage Tank Liability - Each	1,000,000	5,000	
Aboveground Storage Tank Liability - Aggregate	3,000,000		
Excess Workers Compensation	Statutory	\$750,000	
Excess Medical Insurance	Unlimited	\$175,000	

NOTE 18:
Accounting and Reporting Changes

Implementation of new Governmental Accounting Standards Board (GASB) pronouncements

Effective for fiscal year 2022 reporting, the City adopted the following new standards issued by the Governmental Accounting Standards Board (GASB):

GASB Statement No. 87, Leases – establishes new lease accounting and reporting guidance for lessees and lessors and eliminates the classification of operating or capital leases and improves government accounting and financial reporting for leases. This statement increased the usefulness of governments' financial statements by requiring recognition of certain lease assets and liabilities for leases that previously were classified as operating leases and recognized as inflows of resources or outflows of resources based on the payment provisions of the contract. It established a single model for lease accounting based on the foundational principle that leases are financings of the right to use an underlying asset. Under this statement, a lessee is required to recognize a lease liability and an intangible right-to-use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources, thereby enhancing the relevance and consistency of information about governments' leasing activities.

GASB Statement No. 92, Omnibus 2020 – establishes accounting and financial reporting requirements for specific issues related to leases, intra-entity transfer of assets, post-employment benefits, government acquisitions, risk financing and insurance-related activities of public entity risk pools, fair value measurements, and derivative instruments. The provisions of this Statement have been incorporated, as applicable, into these financial statements.

NOTE 19: Other Disclosures

American Rescue Plan Act

In 2021, the federal government passed the American Rescue Plan Act, which authorized the Coronavirus State and Local Fiscal Recovery Funds (CSLFRF). The City was awarded CSLFRF funds of \$9,928,999. The City received \$4,964,500 in 2021 and \$4,964,500 in 2022. The funds must be committed by December 31, 2024, and fully spent no later than December 31, 2026.

Among the approved uses of this funding, the City is allowed to pay for the provision of government services to the extent of the reduction of revenue relative to revenues collected in 2019. To backfill for declined revenues due to the COVID-19 pandemic, \$3.0 million of the American Rescue Plan Act (ARPA) grant funding will be transferred into the utility operating fund and \$250,000 to the Recreation Activity Fund over the 2023-2024 Biennium.

The proforma calculation of such revenue loss in 2020 amounted to \$9.9 million using the revised base growth rate assumption of 5.2% as provided by the US Treasury Final Rule guidelines.

Remaining ARPA funds will be used for various programs and projects including small grants to businesses that were negatively impacted by the COVID pandemic; provide funding and support for human service partnerships and tourism recovery; and for technology enhancements to support a hybrid work environment.

As of December 31, 2022, the City has spent \$95,403 on qualifying programs and \$9,807,154 was booked as deferred inflow of resources.

Opioid Settlement

In 2021, nationwide settlements were reached to resolve opioids litigation brought by states and local political subdivisions against the three largest pharmaceutical distributors – McKesson, Cardinal Health, and AmerisourceBergen – and against manufacturer Janssen Pharmaceuticals, Inc. and its parent company Johnson & Johnson. The 2021 settlement payments began at the end of 2022. The City will receive a total of \$1.0 million over a period of 17 years, with final payment to be received in July 2038. The first payments received for 2022 totaled \$77,533.

In December 2022, the City recorded \$962,956 in deferred inflow of resources to support the following programs:

- Improving and expanding treatment for opioid use disorder;
- Supporting individuals in treatment and recovery, including providing comprehensive wrap-around services to individuals with opioid use disorder, including housing, transportation, education, job placement, job training or childcare;
- Addressing the needs of pregnant women and their families, including those with babies with neonatal disorder;
- Preventing opioid misuse, overprescribing and overdoses through, among other strategies, school-based and youth-focused programs, public education campaigns, increased availability and distribution of naloxone and other drugs that treat overdoses, additional training and enhancements to the prescription drug monitoring program; and
- Supporting first responders.

In addition, in late 2023, nationwide settlements were reached with three pharmacy chains – CVS, Walgreens, and Walmart – and two additional manufacturers – Allergan and Teva. The amount the City will receive from these settlements is unknown at this time.

NOTE 20:

Asset Retirement Obligation

The City has three types of assets which have asset retirement obligations under State law: fuel tanks, drinking water wells and resource protection wells.

The City first implemented GASB 83 in 2020 using a probability weighting average methodology. GASB 83 requires a government to evaluate all relevant factors at least annually to determine whether the effects of one or more of the factors are expected to significantly change the estimated asset retirement outlays. During this review, additional information was discovered that resulted in changes to the City's assumptions and methodology for 2021. Specifically, the cost estimate for each type of ARO, the estimated functional life of the asset was updated, and the amortization methodology was revised.

Fuel Tanks:

The City currently has four underground fuel tanks that have a legally enforcement liability associated with decommissioning costs at retirement. An underground fuel tank is an underground storage tank with unconnected underground piping, underground ancillary equipment, and containment systems. In accordance with WAC 173-360A and RCW 90.76, retirement of these assets would create a threat of releasing hazardous materials, mainly petroleum, requiring financial assurance to decommission such assets.

To determine the ARO for 2022 the city continued to update the cost of decommissioning the fuel tanks based on actual 2013 cost.

The city utilized a "remaining years methodology" and amortized the asset over a 35-year useful life.

<u>Underground Fuel Tank</u>	<u>Asset Remaining Useful Life in Years</u>	<u>Asset retirement obligation</u>
15,000 Gal UST (Diesel) in service since 9/25/1990	3	\$ 64,983
15,000 Gal UST (Unleaded gas) in service since 7/1/1997	10	64,984
15,000 Gal UST (Diesel) in service since 7/1/1997	10	64,984
600 Gal UST (Used motor oil) in service since 6/8/1998	11	64,984
		<u>\$ 259,935</u>

Drinking Water Wells

The City has five drinking water wells that have a legally enforcement liability associated with decommissioning costs of retirement. In accordance with WAC 173-160-381, WAC 173-162, and RCW Chapter 18.104 for the Washington Well Construction Act, certain decommissioning steps are required to be taken when these drinking water wells are abandoned.

To determine the ARO for 2022 the city focused on the linear foot and depth of the well to determine the cost to decommission.

The city utilized a “remaining years methodology” and amortized the asset over a 100-year useful life.

<u>Drinking Water Wells</u>	<u>Asset Remaining Useful Life in Years</u>	<u>Asset retirement obligation</u>
Wells 1 & 2	101	\$ 26,716
Wells 5	82	7,873
Wells 3	66	8,442
Wells 4	94	9,618
		<u>\$ 52,649</u>

Resource Protection Wells

The City has 87 resource protection wells that have a legally enforcement liability associated with decommissioning costs of retirement. In accordance with WAC 173-160-460 for resource protection wells, decommissioning steps are required to be taken when these assets are abandoned. Two resource protection wells were decommissioned in 2022.

To determine the ARO for 2022 the city continued to update the cost of decommissioning the fuel tanks based on actual average cost.

The city utilized a “remaining years methodology” and amortized the asset over a 50-year useful life.

<u>Resource Protection Wells</u>	<u>Asset Remaining Useful Life in Years</u>	<u>Asset retirement obligation</u>
4	22	\$ 21,432
2	24	10,716
3	28	16,074
5	29	26,790
4	31	21,432
1	33	5,358
1	34	5,358
30	35	151,098
6	36	32,148
9	37	48,222
2	38	10,716
10	39	53,580
1	41	5,358
3	44	16,074
4	48	21,432
		<u>\$ 445,788</u>

NOTE 21:
Prior Period Adjustments

Tourism Fund

For the fiscal year ending 2021, the City incorrectly reported \$364,157 as amount spent from ARPA funds. Actual amounts spent in 2021 were \$9,983 and \$85,420 in 2022 respectively. A prior period adjustment of \$268,754 was made to beginning net position of Tourism Fund in the Combining Statement of Revenues, Expenditures and Changes in Fund Balances – Non major Governmental Funds.

NOTE 22

Subsequent Events

Transportation Benefit District

On May 2, 2023, the City Council approved the formation of a Transportation Benefit District (TBD). The TBD will fund maintenance and improvements to city streets, public transportation, strategies to maximize safety and traveling choices, parking facilities, and other transportation projects designed to reduce congestion.

On June 20, 2023, the City Council adopted imposing a 1/10th of 1% sales tax in the City of Redmond to fund the TBD.

The City will begin collections on January 1, 2024, and anticipates generating approximately \$5.5 million per year.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond						
Schedule of Revenues, Expenditures and Changes in Fund Balance						
Budget and Actual - General Fund						
For the year ended December 31, 2022						
	Original Budget 2021-2022	Final Budget 2021-2022	2021 Actual	2022 Actual	Actual 2021-2022 Biennium	Variance with Final Budget Positive (Negative)
REVENUES						
Taxes	\$ 146,885,796	\$ 149,320,796	\$ 94,559,997	\$ 99,862,574	\$ 194,422,571	\$ 45,101,775
Licenses and permits	22,138,251	22,138,251	13,313,851	15,246,770	28,560,621	6,422,370
Contributions	4,128,974	4,128,974	1,379,367	4,317,759	5,697,126	1,568,152
Intergovernmental	8,302,761	21,586,619	7,484,510	6,173,178	13,657,688	(7,928,931)
Charges for services	25,956,838	28,141,148	15,029,489	15,749,471	30,778,960	2,637,812
Fines and forfeitures	6,001,898	1,173,491	293,749	278,875	572,624	(600,867)
Investment income	861,113	1,468,987	523,721	1,163,908	1,687,629	218,642
Net change in fair value of investment	200,000	200,000	(1,436,882)	(2,820,822)	(4,257,704)	(4,457,704)
Miscellaneous	442,555	6,290,080	2,602,625	2,768,001	5,370,626	(919,454)
Total revenues	214,918,186	234,448,346	133,750,427	142,739,714	276,490,141	42,041,795
EXPENDITURES						
Current						
General government	47,740,735	48,747,195	20,206,613	23,793,473	44,000,086	4,747,109
Public safety	104,260,031	106,406,376	53,255,479	58,348,663	111,604,142	(5,197,766)
Transportation	28,863,719	30,481,033	11,984,878	13,997,147	25,982,025	4,499,008
Economic environment	14,715,672	15,646,462	5,164,922	8,540,190	13,705,112	1,941,350
Culture and recreation	20,055,873	21,146,506	9,612,545	10,800,770	20,413,315	733,191
Social services	7,777,903	7,954,496	2,935,894	4,057,845	6,993,739	960,757
Physical environment	240,485	240,485	-	-	-	240,485
Capital outlay	3,143,900	5,045,874	950,412	4,147,013	5,097,425	(51,551)
Debt service						
Principal	193,860	193,860	94,451	451,646	546,097	(352,237)
Interest and issuance costs	-	-	2,597	205,011	207,608	(207,608)
Total expenditures	226,992,178	235,862,287	104,207,791	124,341,758	228,549,549	7,312,738
Excess (deficiency) of revenues over (under) expenditures	(12,073,992)	(1,413,941)	29,542,636	18,397,956	47,940,592	49,354,533
OTHER FINANCING SOURCES (USES)						
Disposition of capital assets	-	-	-	13,737	13,737	13,737
Leases	-	-	-	3,479,539	3,479,539	3,479,539
Transfers in	8,626,060	8,683,802	8,862,885	3,159,066	12,021,951	3,338,149
Transfers out	(22,249,731)	(53,125,200)	(41,910,074)	(11,537,968)	(53,448,042)	(322,842)
Total other financing sources and uses	(13,623,671)	(44,441,398)	(33,047,189)	(4,885,626)	(37,932,815)	6,508,583
Net change in fund balance	(25,697,663)	(45,855,339)	(3,504,553)	13,512,330	10,007,777	55,863,116
Fund balance-beginning	50,653,010	82,978,149	85,952,162	81,846,273	85,952,162	2,974,013
Prior period adjustment (Note 21)			(601,336)		(601,336)	(601,336)
Fund balance-ending	\$ 24,955,347	\$ 37,122,810	\$ 81,846,273	\$ 95,358,603	\$ 95,358,603	\$ 58,235,793

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Proportionate Share of the Net Pension Liability
PERS 1
As of June 30, 2022
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022
Employer's proportion of the net pension liability (asset) %	0.277269%	0.282854%	0.279288%	0.277829%	0.272760%	0.267873%	0.267230%	0.268282%
Employer's proportionate share of the net pension liability (asset) \$	14,503,747	15,190,592	13,252,433	12,407,938	10,488,590	9,457,363	3,263,504	7,469,955
TOTAL \$	14,503,747	15,190,592	13,252,433	12,407,938	10,488,590	9,457,363	3,263,504	7,469,955
Employer's covered payroll \$	31,572,345	33,640,475	34,727,464	36,583,419	38,037,993	40,491,902	40,927,146	45,890,131
Employer's proportionate share of the net pension liability as a percentage of covered payroll %	45.94%	45.16%	38.16%	33.92%	27.57%	23.36%	7.97%	16.28%
Plan fiduciary net position as a percentage of the total pension liability %	59.10%	57.03%	61.24%	63.22%	67.12%	68.64%	88.74%	76.56%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond Schedule of Proportionate Share of the Net Pension Liability PERS 2, 3 As of June 30, 2022 Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022
Employer's proportion of the net pension liability (asset) %	0.349456%	0.354613%	0.352032%	0.350327%	0.348441%	0.346017%	0.341492%	0.347312%
Employer's proportionate share of the net pension liability (asset) \$	12,486,262	17,854,484	12,231,429	5,981,522	3,384,547	4,425,360	(34,018,098)	(12,881,041)
TOTAL \$	12,486,262	17,854,484	12,231,429	5,981,522	3,384,547	4,425,360	(34,018,098)	(12,881,041)
Employer's covered payroll \$	31,081,296	33,183,481	34,513,096	36,338,197	37,874,599	40,387,810	40,844,260	45,778,975
Employer's proportionate share of the net pension liability as a percentage of covered payroll %	40.17%	53.81%	35.44%	16.46%	8.94%	10.96%	-83.29%	-28.14%
Plan fiduciary net position as a percentage of the total pension liability %	89.20%	85.82%	90.97%	95.77%	97.77%	97.22%	120.29%	106.73%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Proportionate Share of the Net Pension Liability
PSERS
As of June 30, 2022
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022
Employer's proportion of the net pension liability (asset) %	0.092909%	0.073365%	0.060021%	0.013917%	0.000000%	0.000000%	0.000000%	0.000000%
Employer's proportionate share of the net pension liability (asset) \$	16,958	31,179	11,760	172	-	-	-	-
TOTAL \$	16,958	31,179	11,760	172	-	-	-	-
Employer's covered payroll \$	268,804	242,743	212,505	54,645	-	-	-	-
Employer's proportionate share of the net pension liability as a percentage of covered payroll %	6.31%	12.84%	5.53%	0.31%	-	-	-	-
Plan fiduciary net position as a percentage of the total pension liability %	95.08%	90.41%	96.26%	99.79%	101.85%	101.68%	123.67%	105.96%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Proportionate Share of the Net Pension Liability
LEOFF 1
As of June 30, 2022
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022
Employer's proportion of the net pension liability (asset) %	0.061310%	0.066346%	0.066931%	0.067634%	0.068841%	0.070351%	0.071226%	0.073924%
Employer's proportionate share of the net pension liability (asset) \$	(738,921)	(683,554)	(1,015,491)	(1,227,897)	(1,360,719)	(1,328,585)	(2,439,891)	(2,120,593)
State's proportionate share of the net pension liability (asset) associated with the employer \$	(4,998,043)	(4,623,539)	(6,868,753)	(8,305,462)	(9,203,868)	(8,986,516)	(16,503,361)	(14,343,642)
TOTAL \$	(5,736,964)	(5,307,093)	(7,884,244)	(9,533,359)	(10,564,587)	(10,315,101)	(18,943,252)	(16,464,235)
Employer's covered payroll \$	182,331	-	-	-	-	-	-	-
Employer's proportionate share of the net pension liability as a percentage of covered payroll %	-405.26%	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Plan fiduciary net position as a percentage of the total pension liability %	127.36%	123.74%	135.96%	144.42%	148.78%	146.88%	187.45%	169.62%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Proportionate Share of the Net Pension Liability
LEOFF 2
As of June 30, 2022
Last 10 Fiscal Years *

	2015	2016	2017	2018	2019	2020	2021	2022
Employer's proportion of the net pension liability (asset) %	0.905449%	0.844407%	0.888184%	0.857127%	0.845952%	0.794078%	0.885280%	0.860454%
Employer's proportionate share of the net pension liability (asset) \$	(9,306,205)	(4,911,324)	(12,325,116)	(17,401,547)	(19,598,111)	(16,198,032)	(51,420,727)	(23,384,541)
State's proportionate share of the net pension liability (asset) associated with the employer \$	(6,153,272)	(3,201,826)	(7,995,073)	(11,267,173)	(12,834,137)	(10,357,414)	(33,171,982)	(15,147,996)
TOTAL \$	(15,459,477)	(8,113,150)	(20,320,189)	(28,668,720)	(32,432,247)	(26,555,446)	(84,592,709)	(38,532,537)
Employer's covered payroll \$	26,361,527	25,582,420	27,783,905	28,236,058	29,619,230	30,024,792	34,022,324	35,662,719
Employer's proportionate share of the net pension liability as a percentage of covered payroll %	-35.30%	-19.20%	-44.36%	-61.63%	-66.17%	-53.95%	-151.14%	-65.57%
Plan fiduciary net position as a percentage of the total pension liability %	111.67%	106.04%	113.36%	118.50%	119.43%	115.83%	142.00%	116.09%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Employer Contributions
PERS 1
As of December 31, 2022
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022
Statutorily or contractually required contributions	\$ 1,444,684	1,653,434	1,789,500	1,885,408	1,983,953	1,944,165	1,784,515	1,731,355
Contributions in relation to the statutorily or contractually required contributions	\$ (1,444,684)	(1,653,434)	(1,789,500)	(1,885,408)	(1,983,953)	(1,944,165)	(1,784,515)	(1,731,355)
Contribution deficiency (excess)	\$ -	-	-	-	-	-	-	-
Covered payroll	\$ 32,615,637	34,388,717	36,162,379	36,909,229	40,004,857	40,352,746	41,590,805	45,890,131
Contributions as a percentage of covered payroll	% 4.43%	4.81%	4.95%	5.11%	4.96%	4.82%	4.29%	3.77%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Employer Contributions
PERS 2, 3
As of December 31, 2022
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022
Statutorily or contractually required contributions	\$ 1,814,140	2,112,355	2,461,861	2,751,819	3,077,929	3,187,761	2,962,486	2,911,549
Contributions in relation to the statutorily or contractually required contributions	\$ (1,814,140)	(2,112,355)	(2,461,861)	(2,751,819)	(3,077,929)	(3,187,761)	(2,962,486)	(2,911,549)
Contribution deficiency (excess)	\$ -	-	-	-	-	-	-	-
Covered payroll	\$ 32,160,083	33,906,036	35,809,117	36,690,221	39,899,665	40,247,586	41,547,057	45,778,975
Contributions as a percentage of covered payroll	% 5.64%	6.23%	6.87%	7.50%	7.71%	7.92%	7.13%	6.36%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Employer Contributions
PSERS
As of December 31, 2022
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022
Statutorily or contractually required contributions \$	15,367	17,958	7,514	-	-	-	-	-
Contributions in relation to the statutorily or contractually required contributions \$	(15,367)	(17,958)	(7,514)	-	-	-	-	-
Contribution deficiency (excess) \$	-	-	-	-	-	-	-	-
Covered payroll \$	237,629	272,507	112,895	-	-	-	-	-
Contributions as a percentage of covered payroll %	6.47%	6.59%	6.66%	0.00%	0.00%	0.00%	0.00%	0.00%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Employer Contributions
LEOFF 2
As of December 31, 2022
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022
Statutorily or contractually required contributions	\$ 1,350,946	1,339,697	1,455,369	1,515,013	1,569,795	1,658,832	1,750,521	1,835,836
Contributions in relation to the statutorily or contractually required contributions	\$ (1,350,946)	(1,339,697)	(1,455,369)	(1,515,013)	(1,569,795)	(1,658,832)	(1,750,521)	(1,835,836)
Contribution deficiency (excess)	\$ -	-	-	-	-	-	-	-
Covered payroll	\$ 26,751,402	26,528,575	28,238,790	28,691,585	30,083,310	32,073,660	33,902,108	35,662,719
Contributions as a percentage of covered payroll	% 5.05%	5.05%	5.15%	5.28%	5.22%	5.17%	5.16%	5.15%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Changes in Total Pension Liability and Related Ratios
Firefighter's Pension Plan
Last 10 Fiscal Years

	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Total pension liability - beginning	\$ 589,347	\$ 518,247	\$ 640,242	\$ 676,110	\$ 692,473	\$ 685,451	\$ 567,121	\$ 483,433	\$ 331,168	\$ 557,526
Service cost	-	-	-	-	-	-	-	-	-	-
Interest	18,196	15,871	19,919	21,075	21,608	21,443	17,704	15,014	10,399	17,645
Changes in benefit terms	-	-	-	-	-	-	-	-	-	-
Differences between expected and actual experience	(52,640)	129,301	(106,394)	(21,894)	(3,536)	16,300	128,397	97,140	154,238	(231,779)
Changes of assumptions	-	(29,517)	-	-	-	-	-	-	-	-
Benefit payments, including refunds of contributions	(41,459)	(44,555)	(35,520)	(35,049)	(34,435)	(30,721)	(27,771)	(28,466)	(12,372)	(12,224)
Other changes	(75,903)	71,100	(121,995)	(35,868)	(16,363)	7,022	118,330	83,688	152,265	(226,358)
Net change in total pension liability	\$ 513,444	\$ 589,347	\$ 518,247	\$ 640,242	\$ 676,110	\$ 692,473	\$ 685,451	\$ 567,121	\$ 483,433	\$ 331,168
Total pension liability - ending	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Covered payroll	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Total pension liability as a % of covered employee payroll										

Notes to Schedule:

There are no assets accumulated in a trust that meets the criteria of a qualified plan under GASB Statements 67/68.

REQUIRED SUPPLEMENTARY INFORMATION

The City of Redmond Schedule of Changes in Total OPEB Liability and Related Ratios OPEB Plan- LEOFF 1 For the year ended December 31, 2022 Last 10 Fiscal Years*

	2022	2021	2020	2019	2018
Service cost	\$ -	\$ -	\$ -	\$ -	\$ -
Interest	\$ 392,846	\$ 397,423	\$ 523,514	\$ 578,786	\$ 557,907
Changes in benefit terms	\$ -	\$ -	\$ -	\$ -	\$ -
Changes in experience data and assumptions	\$ (3,756,077)	\$ 526,820	\$ 3,177,258	\$ 88,620	\$ (567,119)
Estimated benefit payments	\$ (728,562)	\$ (711,175)	\$ (637,970)	\$ (692,109)	\$ (547,753)
Other changes	\$ -	\$ -	\$ -	\$ -	\$ -
Net Change in total OPEB liability	\$ (4,091,793)	\$ 213,068	\$ 3,062,802	\$ (24,703)	\$ (556,965)
Total OPEB liability - beginning	\$ 18,549,651	\$ 18,336,583	\$ 15,273,781	\$ 15,298,484	\$ 15,855,449
Total OPEB liability - ending	\$ 14,457,858	\$ 18,549,651	\$ 18,336,583	\$ 15,273,781	\$ 15,298,484

Covered-employee payroll**

-

-

-

-

Total OPEB liability as a % of covered payroll

N/A

N/A

N/A

N/A

N/A

Notes to Schedule:

Changes of assumptions . Changes of assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period.

2022	3.54%
2021	2.16%
2020	2.21%
2019	3.50%
2018	3.87%

* Until a full 10-year trend is compiled, only information for those years available is presented.

No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB 75.

** Covered-employee payroll is the payroll of employees that are provided with OPEB through the OPEB plan (GASB 75, par. 246)

Notes to the Required Supplementary Information

Pensions

Change in Assumptions and Methods: Actuarial results that the Office of the State Actuary provided within the Department of Retirement Systems Participating Employer Financial Information report reflect the following changes in assumptions and methods:

- For all plans except LEOFF Plan 1, how terminated and vested member benefits are valued was corrected.
- How the basic minimum COLA in PERS Plan 1 is valued for legal order payees was improved.
- The average expected remaining service lives calculation was revised. It is used to recognize the changes in pension expense to no longer discount future years of service back to the present day.

Other Postemployment Benefits

Beginning in year 2021, valuation calculations for the Medical and Long-Term Care Benefits were done using the Alternative Measurement Method for GASB 75 as directed by the Office of the State Actuary.

Budget to Actual Schedules

The City's budget is adopted on a GAAP basis. Expenditure appropriations include ending fund balance.

City of Redmond
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2022

Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number	Expenditures			Passed through to Subrecipients	Note
				From Pass- Through Awards	From Direct Awards	Total		
CDBG - Entitlement Grants Cluster								
ASSISTANT SECRETARY FOR COMMUNITY PLANNING AND DEVELOPMENT, HOUSING AND URBAN DEVELOPMENT, DEPARTMENT OF (via King County - Department of Community and Human Services)	Community Development Block Grants/Entitlement Grants	14.218	6312019	81,926	-	81,926	40,963	1, 7
ASSISTANT SECRETARY FOR COMMUNITY PLANNING AND DEVELOPMENT, HOUSING AND URBAN DEVELOPMENT, DEPARTMENT OF (via King County - Department of Community and Human Services)	COVID 19 - Community Development Block Grants/Entitlement Grants	14.218	6181829	116,780	-	116,780	102,148	1, 7
ASSISTANT SECRETARY FOR COMMUNITY PLANNING AND DEVELOPMENT, HOUSING AND URBAN DEVELOPMENT, DEPARTMENT OF (via King County - Department of Community and Human Services)	COVID 19 - Community Development Block Grants/Entitlement Grants	14.218	6242299	70,927	-	70,927	70,927	1, 7
Total CDBG - Entitlement Grants Cluster:				269,633	-	269,633	214,038	
OFFICE ON VIOLENCE AGAINST WOMEN, JUSTICE, DEPARTMENT OF (via Washington State Office of the Attorney General)	Violence Against Women Formula Grants	16.588	SAKI 2017-AK- BX-0016	4,020	-	4,020	-	1, 7
Highway Planning and Construction Cluster								

The accompanying notes are an integral part of this schedule.

City of Redmond
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2022

	Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number	Expenditures			Passed through to Subrecipients	Note
					From Pass- Through Awards	From Direct Awards	Total		
	FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Department of Transportation)	Highway Planning and Construction	20.205	STPUL-2075 (010) LA-10056	1,601,713	-	1,601,713	-	1, 7
	FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Department of Transportation)	Highway Planning and Construction	20.205	CM-2080(003) LA-9589	1,402,371	-	1,402,371	-	1, 7
	FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Department of Transportation)	Highway Planning and Construction	20.205	STPUL-2085 (006) LA-10347	172,054	-	172,054	-	1, 7
	FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Department of Transportation)	Highway Planning and Construction	20.205	STPUL-2015 (094) LA-8680	2,293,335	-	2,293,335	-	1, 7
		Total Highway Planning and Construction Cluster:			5,469,473	-	5,469,473	-	
	Federal Transit Cluster								
	FEDERAL TRANSIT ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via King County Metro Transit)	Federal Transit Formula Grants	20.507	FTA-1731-2019 -4	17,939	-	17,939	-	1, 7

The accompanying notes are an integral part of this schedule.

City of Redmond
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2022

Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number	Expenditures			Passed through to Subrecipients	Note
				From Pass- Through Awards	From Direct Awards	Total		
Highway Safety Cluster		Total Federal Transit Cluster:		17,939	-	17,939	-	
NATIONAL HIGHWAY TRAFFIC SAFETY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Traffic Safety Commission)	State and Community Highway Safety	20.600	69-8016-0-7- 401	8,986	-	8,986	8,986	1, 7
Total Highway Safety Cluster:				8,986	-	8,986	8,986	
DEPARTMENTAL OFFICES, TREASURY, DEPARTMENT OF THE	CORONAVIRUS STATE AND LOCAL FISCAL RECOVERY FUNDS	21.027		-	85,420	85,420	-	1, 7
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via Pierce County Urban Search & Rescue Team)	National Urban Search and Rescue (US&R) Response System	97.025	5926-WA- TF1USAR	1,800	-	1,800	-	1, 7
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via Washington State Military Department)	Emergency Management Performance Grants	97.042	21EMPG E-22- 258	38,052	-	38,052	-	1, 7

The accompanying notes are an integral part of this schedule.

City of Redmond
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2022

Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number	Expenditures				Passed through to Subrecipients	Note
				From Pass- Through Awards	From Direct Awards	Total			
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via Washington State Emergency Management Division)	BRIC: Building Resilient Infrastructure and Communities	97.047	D22-021	1,715,099	-	1,715,099	-	-	1, 7
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via City of Seattle - Fire Department)	Homeland Security Grant Program	97.067	EMW-2019-SS- 00044-S01	8,435	-	8,435	-	-	1, 6
Total Federal Awards Expended:				7,533,437	85,420	7,618,857	223,024		

The accompanying notes are an integral part of this schedule.

CITY OF REDMOND
NOTES TO THE SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS
For the Year Ended December 31, 2022

NOTE 1 – BASIS OF ACCOUNTING

This Schedule is prepared on the same basis of accounting as the City's financial statements. The City uses the modified accrual basis of accounting for governmental fund financial statements and agency funds and the accrual basis of accounting for internal service and proprietary funds.

NOTE 2 - INDIRECT COST RATE

The City has elected to use the 10-percent de minimis indirect cost rate allowed under the Uniform Guidance.

NOTE 6 - NONCASH AWARDS - EQUIPMENT

The City received equipment and supplies that were purchased with federal Homeland Security funds by the state of Washington. The amount reported on the Schedule is the value of the property on the date it was received by the City and priced by the state of Washington.

NOTE 7 – PROGRAM COSTS

The amounts shown as current year expenditures represent only the federal grant portion of the program costs. Entire program costs, including the (city/county/district's) portion, are more than shown. Such expenditures are recognized following, as applicable, either the cost principles in the OMB Circular A-87, Cost Principles for State, Local, and Indian Tribal Governments, or the cost principles contained in Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

CORRECTIVE ACTION PLAN FOR FINDINGS REPORTED UNDER UNIFORM GUIDANCE

City of Redmond
January 1, 2022 through December 31, 2022

This schedule presents the corrective action planned by the City for findings reported in this report in accordance with Title 2 *U.S. Code of Federal Regulations* (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance).

Finding ref number: 2022-001	Finding caption: The City's internal controls were inadequate for ensuring proper revenue recognition.
Name, address, and telephone of City contact person: Julie Elsom, Accounting Manager 15670 NE 85th St Redmond, WA 98052 425-556-2181	
Corrective action the auditee plans to take in response to the finding: <i>Measures have been put in place to proactively monitor and address concerns:</i> • <i>Additional training has been provided to new staff.</i> • <i>Processes and procedures were updated to provide additional monitoring and tracking of when revenues are billed and received.</i> • <i>Additional levels of review for year-end receivables drafted during year end; specifically, to ensure revenue is received and recorded accordingly.</i>	
Anticipated date to complete the corrective action: As of 10/10/2024	

ABOUT THE STATE AUDITOR'S OFFICE

The State Auditor's Office is established in the Washington State Constitution and is part of the executive branch of state government. The State Auditor is elected by the people of Washington and serves four-year terms.

We work with state agencies, local governments and the public to achieve our vision of increasing trust in government by helping governments work better and deliver higher value.

In fulfilling our mission to provide citizens with independent and transparent examinations of how state and local governments use public funds, we hold ourselves to those same standards by continually improving our audit quality and operational efficiency, and by developing highly engaged and committed employees.

As an agency, the State Auditor's Office has the independence necessary to objectively perform audits, attestation engagements and investigations. Our work is designed to comply with professional standards as well as to satisfy the requirements of federal, state and local laws. The Office also has an extensive quality control program and undergoes regular external peer review to ensure our work meets the highest possible standards of accuracy, objectivity and clarity.

Our audits look at financial information and compliance with federal, state and local laws for all local governments, including schools, and all state agencies, including institutions of higher education. In addition, we conduct performance audits and cybersecurity audits of state agencies and local governments, as well as state whistleblower, fraud and citizen hotline investigations.

The results of our work are available to everyone through the more than 2,000 reports we publish each year on our website, www.sao.wa.gov. Additionally, we share regular news and other information via an email subscription service and social media channels.

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